



LIBERTY

Liberty Kenya Holdings Plc

Incorporating Heritage Insurance and Liberty Life Assurance

**Integrated report and
financial statements**

2019

A photograph of a smiling man with glasses and a young child playing with colorful blocks. The man is on the right, wearing a brown sweater, and the child is on the left, wearing a yellow shirt. They are both looking at the blocks. The background is a soft-focus indoor setting with a plant and a window.

LIBERTY KENYA HOLDINGS PLC

A legacy that delivers

Be prepared for life's ups and downs by turning to us for financial advice that is based on real human experiences.

We want to help you make tangible strides towards your unique direction in life. This is why we provide a holistic and supportive approach to life-based financial planning and advice.

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01

Our business

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About our 2019 integrated report

This is the first integrated report prepared by Liberty Kenya Holdings Plc (Liberty Kenya or the group or company) and is addressed primarily to our shareholders as the providers of financial capital. It contains information that other stakeholders may find valuable and we invite all stakeholders to review the report.

The purpose of this report is to provide concise information illustrating how Liberty Kenya creates, delivers and safeguards value for all our stakeholders, and how we deliver on our purpose of improving people's lives by making their financial freedom possible.

Scope and boundary

Our integrated report is intended to be published annually. This integrated report covers the performance of Liberty Kenya and its subsidiaries for the year ended 31 December 2019. Any material events up to the board approval date on 26 May 2020 are included. Liberty Kenya operates in Kenya and Tanzania and this report includes information from our operations in both countries.

Materiality

We consider a matter to be material if it has, or may have, a material impact on our ability to create value in the short, medium and longer term for our shareholders and key stakeholders. The material matters detailed on page 14 of this report were informed by those matters discussed by the board and its committees during the year, matters arising from the strategy setting process, and the legitimate concerns of our key stakeholders.

Frameworks and other reports

This report is prepared with the guidance of the International Integrated Reporting Framework (the Framework). We acknowledge that this inaugural report represents the start of our integrated reporting journey and that improvement remains to be made in the coming years. This will be achieved through a commitment to value-adding reporting and the application of integrated thinking to our strategy and operations.

The report conforms to the requirements of the International Financial Reporting Standards (IFRS), the Nairobi Securities Exchange (NSE) Listings Requirements and the Kenyan Companies Act, 2015.

This report is the only report published by Liberty Kenya although, as required by the Insurance Regulatory Authority, the annual financial statements of the group's two Kenyan operating subsidiaries are available online or on request from the group company secretary.

Assurance

The board, in conjunction with the group audit and risk committee, is ultimately responsible for Liberty Kenya's system of internal control.

Liberty Kenya applies a combined assurance approach, ensuring that assurance services and functions enable an effective control environment, and that these support the integrity of information for internal decision making and its external reports.

KPMG issued an unmodified audit opinion on the group's annual financial statements.

Guidance for readers

Throughout this report the various Liberty entities are referred to as:

- Liberty Holdings Limited: Liberty SA
- Liberty Kenya Holdings Plc: Liberty Kenya or the group or company
- Liberty Life Assurance Kenya Limited: Liberty Life
- The Heritage Insurance group incorporating The Heritage Insurance Company Kenya Limited and Heritage Insurance Company Tanzania Limited: Heritage Insurance

The following symbols have been used throughout the report to differentiate between Liberty Life and Heritage Insurance.



Liberty Life



Heritage Insurance

Board approval

The board has applied its collective mind to the preparation and presentation of the information in this report.

The board believes the report addresses all material issues and presents a balanced and fair account of the group's performance for the reporting period, as well as an accurate reflection of our core strategic commitments for the short, medium and long term.

The directors have applied their judgement regarding the disclosure of Liberty Kenya's strategic plans and have ensured that these disclosures do not place Liberty Kenya at a competitive disadvantage.

On the recommendation of the group audit and risk committee the board approved on 26 May 2020 the Liberty Kenya Holdings Plc 2019 integrated report which includes the annual report and financial statements for 2019.

Philip Odera
Chairman

Mike du Toit
Managing Director

Value created and performance summary

Stakeholders	Value created in 2019	
Customers  Placing the customer at the heart of our business	 DEATH AND DISABILITY CLAIMS PAID KShs 480 million (2018: KShs 422 million)	PENSION PAYMENTS KShs 2.1 billion (2018: KShs 2.6 billion)
	 PROPERTY CLAIMS PAID KShs 1.7 billion (2018: KShs 1.5 billion)	MEDICAL AND PERSONAL ACCIDENT CLAIMS PAID KShs 1.6 billion (2018: KShs 2.2 billion)
Employees and intermediaries  Providing an environment for our people to thrive	SALARIES AND BENEFITS PAID KShs 1.5 billion (2018: KShs 1.4 billion)	DIRECT TRAINING AND DEVELOPMENT COSTS KShs 22 million (2018: KShs 15 million)
	NUMBER OF EMPLOYEES AT 31 DECEMBER 361 (2018: 381)	NUMBER OF EMPLOYEES TRAINED 353 (2018: 381)
Regulators  Enhancing our reputation and building trust through compliance and ethical behaviour	 SOLVENCY REQUIREMENT RATIO 212% (2018: 213%)	TAXES AND LEVIES PAID KShs 659 million (2018: KShs 353 million)
	 SOLVENCY Kenya 310% (2018: 248%) Tanzania 164% (2018: 395%)	TAXES AND LEVIES PAID KShs 627 million (2018: KShs 659 million)
Investors  Delivering sustainable financial returns	PROFIT AFTER TAX KShs 740 million (2018: KShs 550 million)	RETURN ON EQUITY 9.5% (2018: 7.5%)
	SHARE PRICE AT 31 DECEMBER KShs 10.4 (2018: KShs 12.9)	DIVIDENDS PAID KShs 268 million (2018: KShs 268 million)
Civil society  Creating societal value and preserving our natural capital	CORPORATE SOCIAL RESPONSIBILITY SPEND KShs 12 million (2018: KShs 15 million)	CORPORATE SOCIAL RESPONSIBILITY SPEND 1.6% OF NET PROFIT AFTER TAX (2018: 2.7%)

Performance metric	2019	2018
	Actual	Actual
 RETENTION RATE	96%	95%
GROSS EARNED PREMIUMS	KShs 2.83 billion	KShs 2.79 billion
 RENEWAL RATE	76%	69%
GROSS EARNED PREMIUMS	KShs 7.94 billion	KShs 7.42 billion

	 VOLUNTARY EMPLOYEE TURNOVER	6%	4%
	FEMALE REPRESENTATION	54%	57%
	 VOLUNTARY EMPLOYEE TURNOVER	12%	11%
	FEMALE REPRESENTATION	46%	45%

 Independent directors represent 50% of all directors

Performed a board self evaluation

Annual director governance and technical training

Completion of annual governance audit

	 NET EARNED PREMIUMS	KShs 2.62 billion	KShs 2.60 billion
	TOTAL ASSETS	KShs 24.58 billion	KShs 23.70 billion
	 NET EARNED PREMIUMS	KShs 4.10 billion	KShs 3.71 billion
	TOTAL ASSETS	KShs 12.49 billion	KShs 11.63 billion

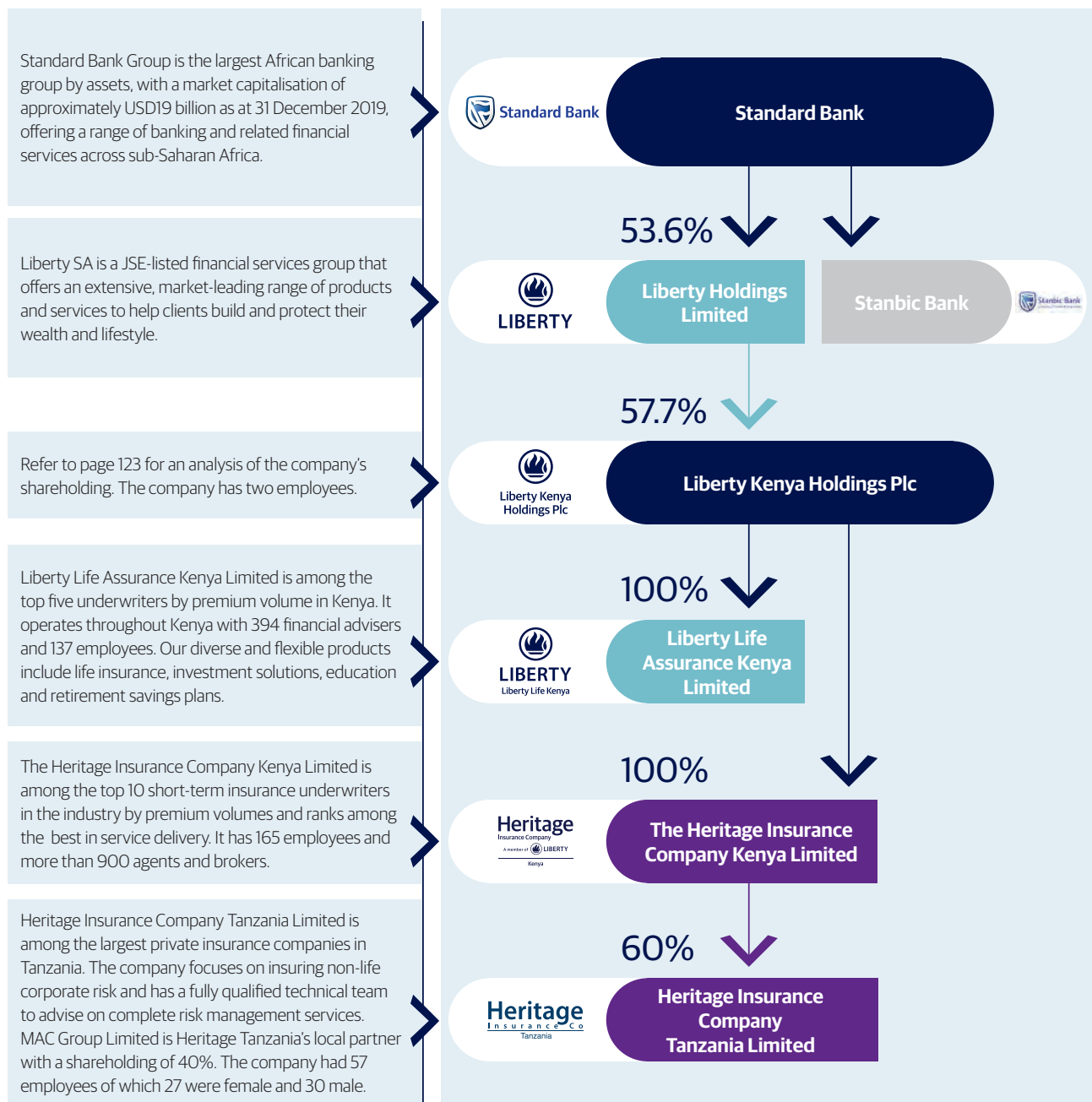
 118 high school students participated in the Liberty Life growth scholarship programme

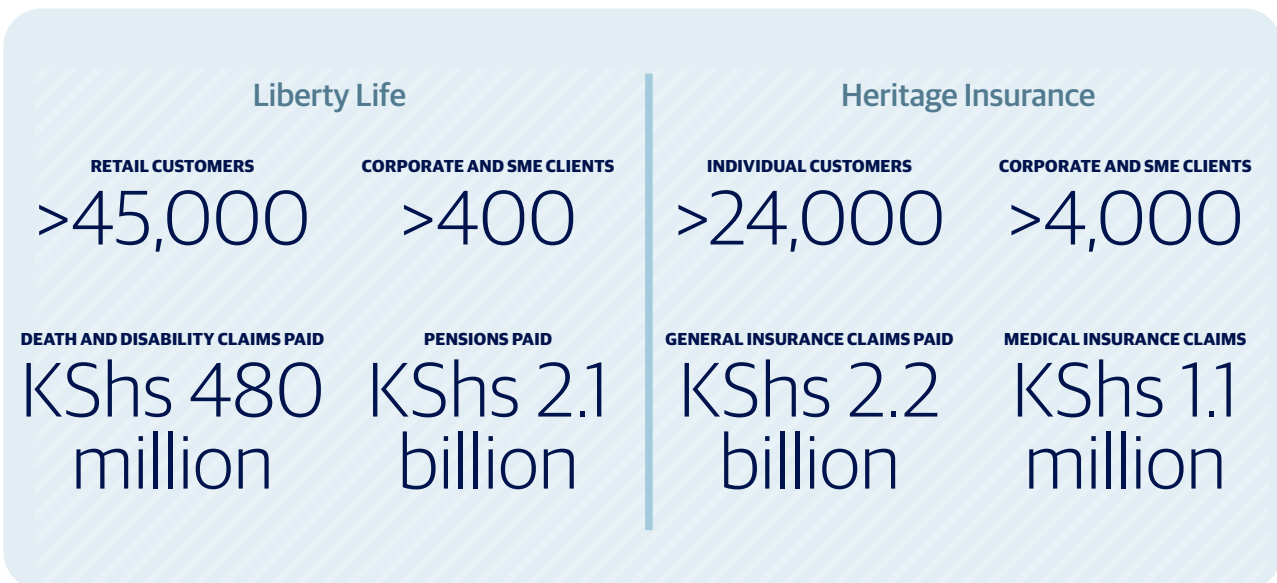
Heritage sponsored 25 high school students and 25 university students

Who we are

Liberty Kenya Holdings Plc is the investment holding company through which Liberty SA conducts its life and general insurance operations in Kenya and Tanzania. The company is listed on the NSE and has a free float of more than 42% of its shares.

With a proud heritage of over half a century, Liberty Kenya has been a pioneer in knowledge sharing and contributing positively to the financial services industry in Kenya and Tanzania. We continue to strive to change realities in Kenya and Tanzania, because Liberty is not just our name it's what we do!





In 2019 we aligned our purpose with that of Liberty SA:

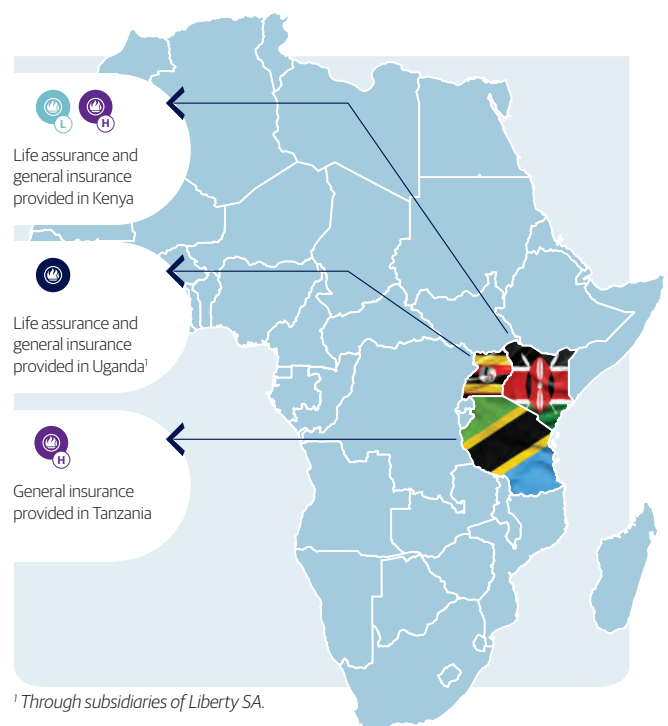
Improving people's lives by making their financial freedom possible

We also revisited our vision:

To be East Africa's trusted insurer through exceptional customer experience

Finally we revisited our strategy:

"Go to the market as one"
 – a single insurance provider, with common infrastructure and processes, but two brands



The Liberty values

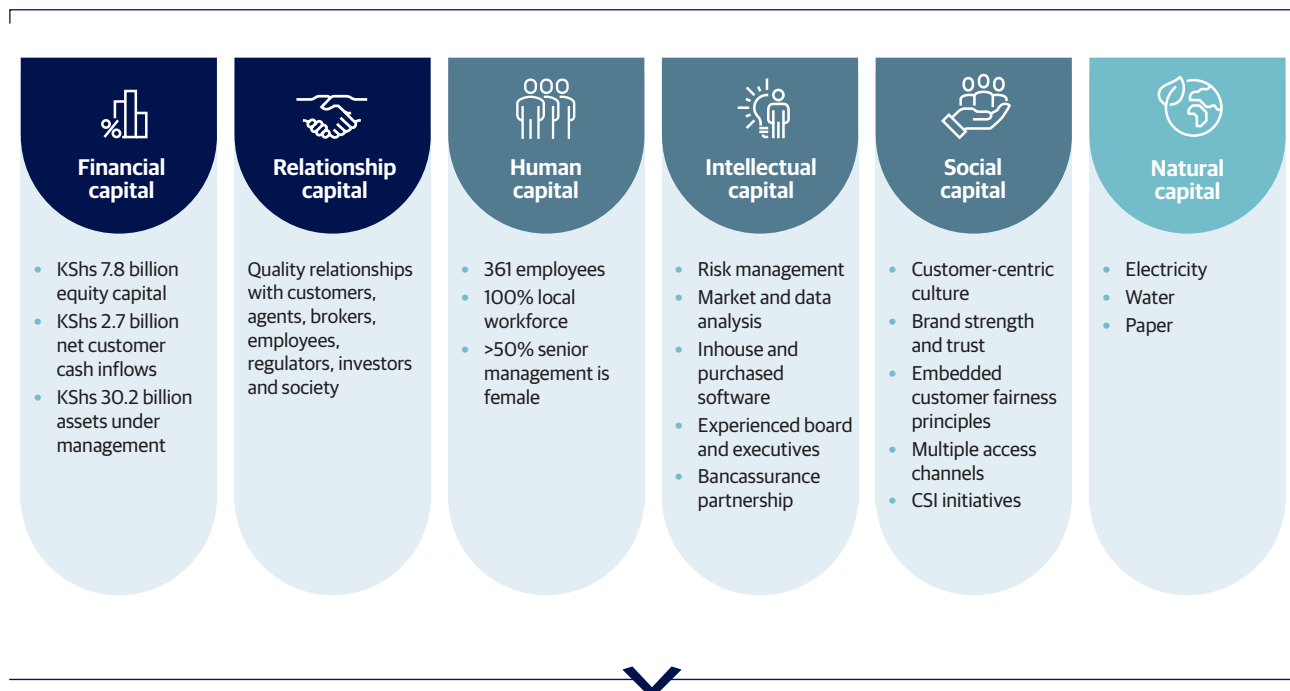
Involvement	Our humanity and empathy
Innovation	Our ingenuity and curiosity to do things better
Integrity	Our fairness and honouring our word
Insight	Our knowledge and understanding
Action	We roll up our sleeves and always find a way to make things happen

How we create value

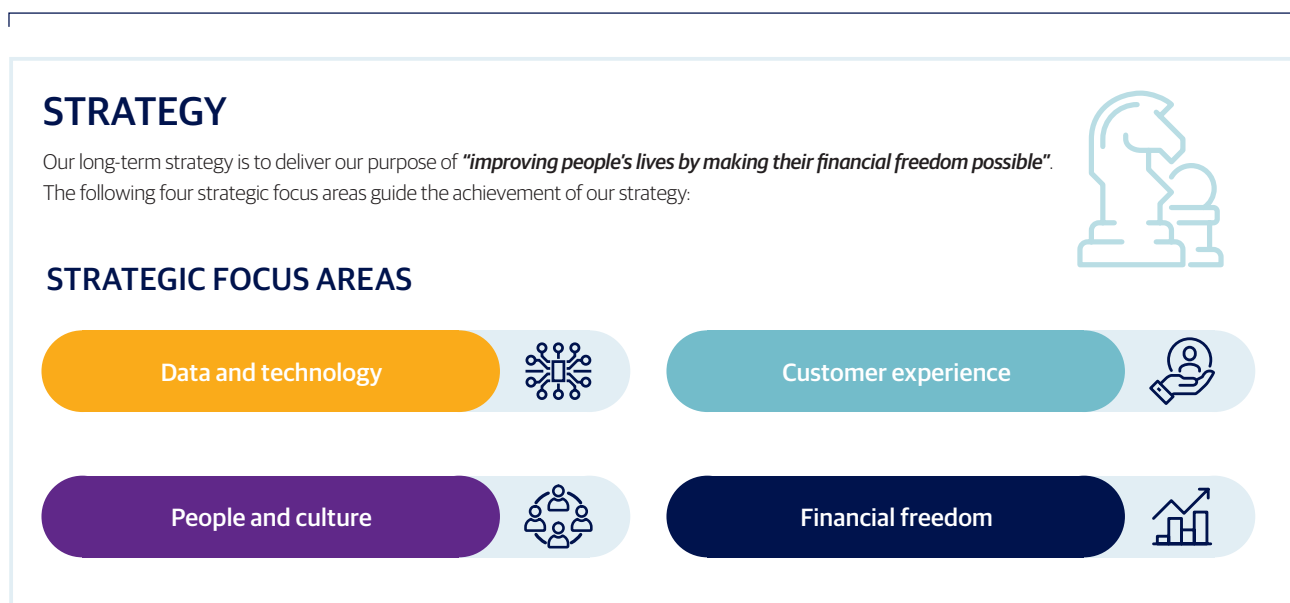
Our business model

Our business model is to sustainably utilise and replenish available capital resources to create value by meeting the insurance needs of our customers. In return, we charge an appropriate fee or derive underwriting profits by pooling similar insurable risks, enhanced by optimising offsetting risks.

Capitals and inputs



Guiding value creation





Managing value creation

GOVERNANCE AND MANAGEMENT STRUCTURES



We manage the value creation process through both governance and management structures. Governance structures are designed to ensure that Liberty Kenya, through its managers and employees, acts ethically, is effectively controlled, delivers sustainable financial performance and grows its brand and legitimacy. Management structures focus on delivering against our strategy, recognising and mitigating risks and recognising and acting on opportunities.

Value creating activities

INSURANCE UNDERWRITING

Contracted premium income for risks insured, less claims and related acquisition and service expenses (actual and expected over contract duration). Liberty Kenya provides assurance and insurance products for a variety of risk events.

RISK MANAGEMENT

The business of insurance is the assumption and spreading of risk to mitigate adverse financial consequences to customers. Liberty Kenya assumes risks transferred to it by customers and risks from being in business. Liberty Kenya's primary capability is to manage insurance risk and other risk types that may impact on the customer or Liberty Kenya. Managing the business within an accepted risk appetite range is a key outcome of our risk processes.

INVESTMENT INCOME

Net investment income on shareholder investment market exposures (capital invested and derived exposures from insurance contract obligations), less group administration and strategic expenses.

Outputs

Our life assurance and retirement products include:



Individual

Life protection
 Education plans
 Funeral and legacy plans
 Endowment policies
 Lump sum investing
 Saving for retirement
 Mortgage cover

Employer

Group life
 Group funeral plans
 Group pension plans

Our general (short-term) insurance products include:



Retail

Motor vehicle insurance
 Domestic insurance
 Personal accident cover
 Travel insurance

Corporate

Motor vehicle insurance
 Medical insurance
 Group personal accident cover
 All risks insurance
 Transit insurance
 Work Injury Benefits Act insurance
 Fidelity guarantee

Outcomes

Sustainable financial returns

Strong relationships

Engaged and motivated employees

Enhanced brand and reputation

Financial freedom for customers and beneficiaries

Our operating environment

The low level (<2%) of insurance penetration (gross premiums as a percentage of a country's gross domestic product) in East Africa for both life and general (short-term) insurance products presents an opportunity for market participants with suitable and affordable products and appropriate distribution channels. However, over the past eight years, growth in market penetration has been negligible or negative and insurers in the region have experienced diminishing returns.

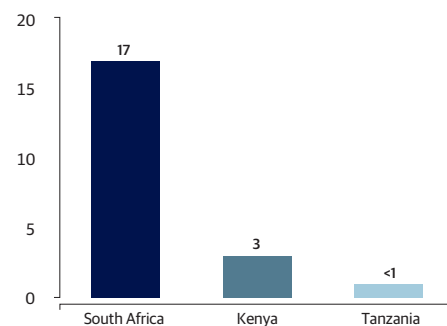
Global studies show that insurance purchases are correlated with a country's gross domestic product (GDP). Kenya's recent GDP growth peaked at 8.4% in 2010, but in subsequent years has been moderated to between 5.6%. In 2018, Tanzania's per capita GDP returned to USD1,000 per person following four years of disappointing economic expansion. Global disruptions including trade wars, Brexit and the coronavirus outbreak continue to threaten economic growth, especially in emerging markets that rely heavily on commodities and tourism.

In 2019, Kenya reported real GDP growth of 5.9%. This result was driven by household consumption, but was lower than 2018 as a result of unfavourable weather and reduced government investment. In Tanzania, real GDP growth concluded at 6.8% for 2019, down slightly from 7% in 2018.

Capital inflows, improved diaspora remittances and suitable forex reserves supported the Kenyan shilling in 2019. The Tanzanian shilling is among the top 10 most stable currencies in Africa, fluctuating less than 0.5% during 2019.

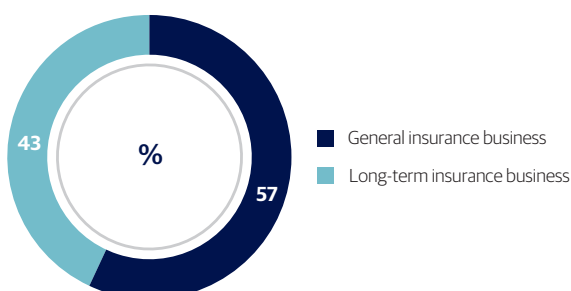
Real GDP growth is likely to continue over time, characterised by rising urbanisation and population growth. However, for many employed informally, retail insurance continues to be viewed as a luxury and its uptake is expected to remain subdued. In Kenya, the general insurance retail market is dominated by demand for motor and medical insurances. Growth in the medium term will be challenged by the COVID-19 pandemic.

Total insurance penetration in 2017 (%)



The relatively low penetration in Kenya and Tanzania reflects the opportunity presented by the insurance industry in these countries, driven in part by low levels of financial literacy and product affordability. Rising education and financial literacy levels, the growth of the middle class and the increase in the working population will have a large impact in the insurance industry in the region.

Gross premium income



In Kenya, general insurance business remained the largest contributor to industry activity, contributing 57.3% of the total premium. Motor insurance and medical insurance classes of business account for 67.1% of the gross premium income under the general insurance business.

**THERE
ARE 52
INSURANCE
COMPANIES
IN KENYA**

27

general
insurers

15

life
insurers

10

composite
insurers

The growth opportunity for life assurance is the demand for embedded insurance products protecting bank lending and simple affordable accessible products (e.g. funeral support). This growth was encouraged by the removal of the interest rate cap in November. Liberty Kenya's relationship with Stanbic Bank, in addition to other banks, offers a key differentiator in this market.

Demand for employee benefit products is also closely linked to world and regional economic performance.

The NSE all-share index responded to the repeal of the interest rate cap, posting an annual appreciation of 18.5%, driven by banking stocks although certain listed entities continued to struggle in the tough economic climate. The NSE yield curve shifted downwards by 18 points, resulting in capital gains for bond holders.

Amendments to the Kenya Insurance Act were published in 2019. These amendments included the definition of index-based insurance and micro-insurance, extended the Commissioner's powers to require any member of an insurance group to provide any information necessary for group-wide supervision, harmonised the power of the Minister, extended the delivery of policies to include email, removed the requirement to publicise lost policies, and further regulated complaints against insurers and insurance fraud.

The most critical aspect of the amendment was the replacement of section 156, requiring cash before cover. The collection of premiums by agents and brokers is no longer allowed and customers cannot be insured before the receipt of the premiums by the underwriting entity. This amendment is meant to enhance the prompt payment of premiums to underwriters while eliminating the perennial problem of outstanding premiums. The court granted a stay of execution orders after the brokers challenged the amendment. Although a final determination has not been made, the regulator gave brokers an ultimatum: obtain clearance letters from underwriters before being issued with trading licences for 2020. Many brokers have approached insurers, settling premiums and reconciling accounts, resulting in a reduction in premium debtors throughout the industry.

The period to exit from a guaranteed fund asset class was reduced to one year or less as provided in the exit clause of the deposit administration agreement. This new regulation took effect on 1 January 2020.

**THERE
ARE 30
INSURANCE
COMPANIES
IN TANZANIA**

25

general
insurers

4

life
insurers

1

composite
insurer

	Industry %	Liberty Life %
Kenya long-term insurance		
Gross premium income by class for 2019		
Pensions	30	38
Life assurance	26	29
Group life	22	21
Annuities	1	8
Investments	21	4
	100	100

	Industry %	Heritage Kenya %
Kenya general insurance		
Gross premium by income class for 2019		
Fire	10	14
Engineering	3	3
Motor	35	27
Accident	16	22
Marine	2	2
Aviation	2	2
Health	32	30
	100	100

	Industry ¹ %	Heritage Tanzania %
Tanzania general insurance		
Gross premium income by class for 2019		
Fire	19	46
Engineering	5	9
Motor	35	16
Accident	8	23
Marine	4	6
Aviation	3	0
Health	22	0
Other	4	0
	100	100

¹ 2018

Chairman's review

Good governance and competent leadership is critical in these difficult times.

PHILIP ODERA



Our inaugural integrated report

Welcome to Liberty Kenya Holdings Plc's premier integrated report. This report has been compiled to align with Liberty group standards and in response to the Capital Markets Authority's recommendation that listed companies introduce integrated reporting. It has been prepared to provide readers with a concise overview of how we create value over time for our various stakeholder groups and, to the extent possible, follows the international integrated reporting framework. We believe that over time this journey will support the leadership of Liberty Kenya Holdings and its operating subsidiaries in applying integrated thinking and we trust users will find value in its content.

The argument for insurance in the time of COVID-19

In the age of the global coronavirus pandemic, we are distinctly reminded of the suffering that this disease has brought to the world in a matter of months. The damage done to people's lives, their families, economic circumstances and their futures is already immense and it's still not clear when we'll be virus free. But this is exactly why insurers exist and why we remain relevant, to pool risks and support the minority affected by life's traumatic events. Such events are often more specific, affecting individuals and companies rather than communities and countries, and as such the underlying rationale for insuring with a reliable, responsibly managed and well-capitalised underwriter endures.

Heritage and Liberty Life communicated with their customers and employees the important aspects of COVID-19 and the steps they could take to mitigate against infection. Heritage also provided

members of Heritage Blue and Liberty Blue schemes with information concerning their benefits: access to diagnosis and treatment of COVID-19 at our network of contracted providers, including funding the costs associated with consultations, pathology tests and supportive medicines.

The directors of Liberty Kenya Holdings Plc chose not to pay a dividend to shareholders in order to strengthen the group's solvency ratios, augmenting its ability to fulfil the promises made to customers.

Governance at Liberty Kenya Holdings Plc

I'd like to welcome Gladys Ogallo to the board of Liberty Kenya Holdings Plc. Gladys, who was appointed in June 2019, has a wealth of governance and international board experience and we look forward to her future contributions. I'm pleased to note that Mike du Toit's contract was renewed early in 2020 and we know that we can rely on him to lead Liberty Kenya Holdings into the future. Andrew Lonmin-Davis, a representative of Liberty SA, was appointed to the boards of the operating companies in 2019. Andrew will provide support in the fields of actuarial services and investment oversight.

The board of the holding company conducted a valuable board evaluation during 2019. Although no material shortcomings were identified, some constructive suggestions were received from directors and we will investigate how best to incorporate these ideas in future deliberations.

Apart from the compliance and regulatory reporting, the board of Liberty Kenya Holdings Plc oversees the management of capital at subsidiary level, ensuring these units meet both regulatory and internally approved solvency requirements. In 2019, the directors reviewed and defined the role of the Liberty Kenya Holdings' board to include oversight, insight and foresight for the operating companies. To achieve these objectives, the operating companies will invite directors of Liberty Kenya Holdings Plc to future subsidiary board meetings as observers.

Appreciation

I'd like to congratulate everyone at the respective entities for delivering a very successful year: the consolidated 35% increase in profit after tax, and the industry awards in Kenya of Best General and Best Life Insurer of the year for Heritage Kenya and Liberty Life respectfully. Well done to all.

To our customers, intermediaries and employees, thank you for your continued support and the role you play in helping us achieve our purpose of improving people's lives by making their financial freedom possible. You are all truly valued.

My thanks also to my fellow board members for their unwavering support, commitment and robust contribution to board and committee deliberations throughout the year. In particular, I would like to express sincere gratitude to Mr Gayling May, who retires after diligent service to the group of over 10 years. We deeply appreciate his unwavering commitment and valuable support and wish him all the very best in retirement.

Finally, at the time of writing this, there is no clear resolution to the coronavirus crisis and so I wish you good health and stay safe.

Philip Odera
Chairman
26 May 2020

Managing director's review

In 2019 we continued with our organisational redesign, creating centres of excellence that will bring our two brands closer together – for the specific benefit of our customers.

MIKE DU TOIT



The year in review

As the chairman has already alluded to, 2019 was a very successful year for Liberty Kenya. For our customers, we continued to fulfil our obligations in terms of insurance and investment products, paying out nearly KShs 6.7 billion in claims and policyholder benefits. Receiving the industry life and general insurer of the year awards in Kenya was a fitting acknowledgement of the efforts made by our employees and intermediaries in meeting and exceeding customer expectations, through both products and service. To ensure we meet future obligations to our customers we maintained our solvency levels in excess of regulatory requirements.

Both Heritage Kenya and Liberty Life launched new products for their customers, each demonstrating the innovation present in our Kenyan operations and the support received from Liberty SA. The AutoCorrect product, through its encouragement of safe driving, not only reduces premiums and streamlines the claim process for customers, it also makes our roads safer for everyone. The Boresha Ustaafu income drawdown fund provides flexible investment options for retirees.

For our investors, a 5% growth in earned premium and a 66% increase in total investment income translated into a 35% increase in profit after tax, lifting our earnings per share to KShs 1.31 (2018: KShs 0.92) and our return on equity to 9.5% (2018: 7.5%). The bottom-line growth was driven largely by a 62% growth in earnings from Heritage Kenya. Heritage Tanzania faced higher claims and administration costs, while growing premium income and, importantly, successfully rolling out a robust new policy administration system. Liberty Life performed satisfactorily in a very competitive environment. Reserving for future

policyholder guaranteed benefits in the Boresha Maisha pension fund negatively impacted the overall result.

The uncertainty and volatility introduced to equity markets as a result of the coronavirus pandemic demands that our operating companies retain capital to meet likely future obligations. As such, the directors decided not to pay a dividend.

In Kenya, the group adopted a "one company, two brands" strategy during 2019. The benefits of this strategy include an increased focus on the customer, from enhanced service levels through digitalisation to a range of products and solutions that meet their every insurance need in both short-term and long-term lines.

We continued to provide a working environment that encourages our employees to engage across businesses and authority levels. We look to them to provide insights into where we can improve for our customers and other key stakeholders. We strive to be an employer of choice. Despite our efforts, the anxiety around the restructuring saw a slight upward increase in the number of voluntary departures during the year. The human capital centre of excellence is already working on plans to further promote talent development and retention within the group.

A significant proportion of our business is conducted through intermediaries: bancassurance, brokers and agents. Maintaining these relationships can sometimes be difficult, especially when legislation such as the requirement that all premiums be paid directly to insurers is introduced. The legislation aligns Kenya with most international insurance markets, however, its introduction has challenged some brokers' cash flows. For underwriters, eliminating premium debtors significantly reduces costs of administration, strengthens solvency, and makes the industry stronger for customers. We are hopeful that the challenges can be overcome in the short term as we truly believe these changes are in the best interests of the insurance market customers.

Plans for 2020

The setting of our strategy for the next three years means that our management team has many tasks ahead of them. Many of these are detailed in our strategy section commencing on page 16. In particular, we are specifically focusing our attention on how we can best use technology to support the access of products, information and support services for the benefit of our customers. However, depending on when and how the current COVID-19 pandemic is resolved, priorities may very well need to be adjusted. As of today, we remain focused on our customers, doing whatever we can to keep them healthy and being there for them when the unexpected happens.

Appreciation

Firstly, let me thank our customers for their continued support. They are the reason we exist, and we can never forget this. I also would like to thank our employees and intermediaries for their continued efforts to serve our customers. They continue to build Liberty Kenya into one of East Africa's leading insurers. Finally, the continued support of the directors, management, our regulators and the larger Liberty group is greatly appreciated.

Mike du Toit
 Managing Director
 26 May 2020

Our material matters

Liberty Kenya has a clearly defined business strategy, making it possible to identify events that would hinder us from creating value as well as identifying opportunities that could assist us in advancing our purpose.

Current and emerging risks that could threaten our business model, strategy and sustainability are identified and assessed through a top-down risk identification and assessment process. In addition, risks identified through the business unit strategic planning processes provide a bottom-up view.

The material matters detailed below were discussed by the board and its committees during the year, and arose from the strategy setting process, and the feedback from our key stakeholders.

Challenges and our responses



Low agency productivity



Agency revamp | Product review



Management expenses



Automation | Topline growth



High cost per policy



Increase agency productivity



Stagnated renewal rate



Channel remediation



Intermediary remuneration



Customer experience | Profit share



Unclear regulations



Compliance and contract reviews

Opportunities and our plans



Dominate the employer space



Upselling and cross-selling | Financial literacy



Growth in digital



Distribution | Personalisation



High cost per policy



Increased case count | Tailored solutions



Earning distribution channels



Affinities | Franchise



Data analytics



Relevance



Partnerships



Build capabilities | Quick to market

These material matters informed the development of our strategy and we provide more detail in the strategic section on page 16.

Stakeholder relationships

Relationship capital is a key resource for many businesses. At Liberty Kenya our success is built on trusting and enduring relationships with customers, established through a broad range of intermediaries. We constantly and actively manage these channel relationships and direct customer engagements.

Liberty Kenya is committed to understanding and responding to the interests and expectations of all stakeholders and partnering with them in finding lasting solutions to life's challenges. Proactive, ongoing stakeholder engagement is integrated into Liberty Kenya's business practices. Stakeholder management is viewed as a risk mitigation function, and more importantly, one that seeks to create shared value for the broader society and address the needs and expectations of key stakeholders.

Customers

Direct interactions between Liberty Life and its customers and Heritage and its customers build trust through transparency, responsiveness and integrity.

While many of our corporate customer engagements occur through intermediaries, direct customer engagements (with either direct or intermediated customers) offer opportunities to support intermediate relationships, build long-term direct customer relationships and enhance the Liberty Life and Heritage brands.

Direct customer communication occurs through customer experience centres and the relationship managers within the operations. The customer experience centres perform reactive engagements through various mediums, including call centres, emails and branch walk-ins. Proactive engagements regarding renewals, policy maintenance and premium collection are conducted by customer portfolio managers.

Health insurance members receive annual health screenings, regular health talks and products education. Members also experience in-hospital visits from clinicians to build relationships, mitigate against fraudulent claims and prevent unnecessary in-hospital costs.

Liberty Life has deployed a customer relationship management tool to monitor all customer conversations and service performance through various metrics, including net promoter scores, customer satisfaction surveys and complaint numbers.

Many Liberty Life customers can access their policy information, including investment performance, on our customer web portal.

Brokers, agents and other intermediaries

Proactive support and development of intermediaries promotes stronger relationships between them and our customers.

Intermediaries are often the face of Liberty Life and Heritage to our customers. While applying their knowledge and expertise to provide responsible and objective financial advice, they also learn our customers' needs, wants and expectations.

Approximately 60% of the business of both Liberty Life and Heritage is conducted through intermediaries. Both operating companies have dedicated business development teams that communicate with the range of brokers, agents, bancassurance agencies and financial advisers. Frequent one-on-one relationship engagements and branch visits are conducted.

Product information, product training and product launches provide opportunities to engage with intermediaries, obtaining insight into the needs of our ultimate customers.

Our business development teams constantly look to establish new relationships with brokers, agents, bancassurance agencies and financial advisers.

Employees

Opportunities to speak with and listen to employees promote continuous improvement in relationships and processes.

Day-to-day management and regular performance appraisals are the foundation for our engagement with employees.

We conduct quarterly employee townhalls to communicate Liberty Kenya's vision and strategy, and the managing directors conduct regular leadership forums with selected employees.

Regulators

Liberty Kenya believes in constructive and productive relationships with regulators and policymakers in our industry. In Kenya our primary engagement is with the Capital Markets Authority, Insurance Regulatory Authority and the Retirement Benefits Authority. In Tanzania we engage with the Insurance Regulatory Authority.

We also participate in industry associations, notably the Association of Kenya Insurers.

Investors

Liberty Holdings Limited (Liberty SA)

Our engagement activities with Liberty SA can be categorised into those related to the company's status as our majority shareholder and those associated with our joint operational activities. Liberty SA's representation on Liberty Kenya's board means that this shareholder is privy to strategic and financial information not readily available to other investors. We strictly control the distribution of information and fully comply with the NSE's requirements regarding the release of price sensitive information.

Individual shareholders

Liberty engages with these shareholders through public communication channels, including the publication of annual and interim results in national newspapers and its website. The company's AGM is well attended.

Civil society

Our engagements with civil society enhance the Liberty Life and Heritage brands by contributing to the development of the communities in which we operate.

Through targeted and meaningful engagement, we gain an understanding of our communities' needs and insight into the quality of our relationships with these communities.

Our strategy for the future

Our long-term strategy is to deliver our purpose of improving people's lives by making their financial freedom possible.

The board is responsible for providing overall strategy and direction for Liberty Kenya, and is required to steer and oversee the implementation of Liberty Kenya's business objectives and its strategies for achieving these objectives. The board directs Liberty Kenya on what is expected and acceptable in the pursuit of its business objectives.

Risk and risk appetite are constraints within which the business must operate to create value for all its stakeholders. Liberty Kenya's strategy is set with reference to the approved risk appetite and includes targeted metrics to monitor its achievement.

In 2019, Liberty SA adopted a more focused African strategy which is to aggressively grow its Kenya business. In response to this, Liberty Life and Heritage management, together with their boards and support from South Africa, worked on setting strategies for the next three years, through to December 2022.

In setting these strategies we determined three unique differentiators - the things that Liberty Kenya wanted to be associated with and known for:

Unique customer experience

Our humanity and empathy when dealing with customers

Financial freedom

Financial literacy and relevant solutions that will promote insurance penetration in Kenya and Tanzania

Partner of choice

Supporting our partners to build successful businesses

We confirmed the markets in which Liberty Kenya operates, analysing them for opportunities for our two brands, and how we should reach these markets:

- Individuals/retail
- Small and micro enterprises
- Corporate (including multinational corporations, non-governmental organisations, and government)
- Affinities/bancassurance/non-traditional aggregators

The primary goal from the strategy setting sessions was to maximise the benefits of our two respected brands, Liberty Life and Heritage, while identifying opportunities for synergies within the group, and more importantly, maximising the value we offer to customers. This "one business, two brands" approach will see Liberty Kenya:

- Adopt a common approach to our operating structures
- Establish shared centres of excellence for common processes and activities (this reorganisation commenced in 2019)
- Provide consistent value propositions to employees, customers and intermediaries
- Integrate our systems and share customer data
- Adopt a common brand purpose of "improving people's lives by making financial freedom possible"
- Collaborate on tenders, corporate social investment and marketing collateral
- Provide a one-stop shop for exceptional customer experiences
- Develop a holistic and uniform customer engagement experience across all distribution channels, utilising digital and other technologies

We identified four strategic focus areas that will guide us in delivering this goal and our purpose:

Customer experience



Financial freedom



People and culture



Data and technology





Customer experience



Our customers expect the highest levels of advice and service when dealing with Liberty Kenya, our intermediaries and support staff.

To meet these expectations, we must provide the best solutions through the best intermediaries. Customer service at all touchpoints, from onboarding to claims processing and payment, must be effective and efficient, employing the latest technology, and dispensed with humanity.

We see the delivery of exceptional customer experiences as key to our continued success. We must respond to the demographic and technological changes facing the insurance industry worldwide. Risk customers are becoming younger, more health conscious, living longer, and more discerning in terms of customer service and customer experience expectations. Customers are more engaged and informed through social media and expect simplicity and convenience from their insurer.

In line with Liberty Kenya's values we are committed to:

- Understanding our customers and their unique needs
- Treating customers with empathy and fairness
- Operating within regulatory frameworks
- Building mutually beneficial partnerships
- Creating quality relationships
- Developing and delivering tailored solutions, and
- Leveraging smart technologies.

Specific, customer-centric tasks identified to deliver our strategy include:

- Conducting a pricing review
- Building on customer journey mapping for better alignment of processes
- Identifying automation and digitalisation opportunities based on the documented customer journeys
- Reducing turn around times for customers
- Conducting targeted product and pricing research for retail customers
- Promoting our non-financial benefits, including financial literacy, medical screenings and defensive driving training
- Extending our straight-through processing capabilities to all products
- Implementing customer service portals on our technology platforms, and
- Providing Mind My Money training to SME customers in support of financial freedom.

The following topics represent our primary focus areas in order to respond to these changes:

- Customer journeys and empathy maps
- Non-financial benefits for customers
- Third-party partnerships
- Customer research
- Relationship management, and
- Customer feedback mechanisms.



Financial freedom



Financial freedom has a multitude of meanings. For retail customers it often means providing for relatives after their death, saving for their children's education or having enough resources to retire in comfort. Many corporate clients view financial freedom as having the security to overcome unexpected events and being recognised as a preferred employer through the benefits offered. Liberty Kenya makes all this possible.

The three themes that we will build the delivery of our strategy around are:

- Mind My Money
- Advice and knowledge, e.g. member education programmes, and
- Relevant solutions.

Our Mind My Money masterclasses empower participants to adopt the correct financial behaviours to prevent them from falling into financial distress or, if they already find themselves in this position, remind them of available support and where it fits in their broader financial planning journey. The workshops are based on five content pillars, namely managing your money, debt, risk, future and legacy.

Upon completion of the workshop, participants will understand how to:

- Have better control of their day-to-day financial management
- Repay their existing debt or, where they are currently overindebted, seek help from appropriate resources
- Take out appropriate and holistic cover for themselves and their dependants
- Make better savings and investment decisions, and
- Embark on estate planning to protect their dependants.

We reach our customers through various sales channels. We are committed to ensuring that the participants in these channels are appropriately educated about our solutions, committed to providing objective advice and operate in an ethical fashion. In growing our distribution channels, we will work with Stanbic, our bancassurance partner, to develop compelling customer value propositions for other banks and affinity groups, and revamp our agency model.

We will broaden and deepen the knowledge of our intermediaries of both our product sets – retail (individual) and corporate solutions through targeted training. The training will promote cross-selling, identify product deficiencies and assist in the development of compelling value propositions for the intermediaries.

In growing our portfolio of relevant products, we have identified the following areas that offer opportunities to meet customer needs:

- Develop new solutions for Stanbic, including vehicle and asset financing, a combined solution and educational saving, and
- Develop compelling solutions for the SME market.

In addition, selected retail solutions will be repackaged and relaunched to more clearly demonstrate their attributes and benefits for customers. These activities will be preceded by a customer orientation test.



People and culture



At Liberty Kenya our employees are central to our success. They are unique individuals with dreams, aspirations and a desire to develop themselves and their careers for a better tomorrow.

We understand the significance of attracting, retaining and growing talent to enable the delivery of the right solutions for our customers, effectively and efficiently. We offer competitive pay and benefits aligned to the market for different functions and skills.

Our people and culture strategies include the following areas of focus:

- Restructuring internally to maximise synergies and efficiencies by creating and strengthening centres of excellence capable of providing common services to both brands and all customers
- Improving the recognition and reward programme following the completion of the talent management framework
- Instilling a "get it done" philosophy which supports the one business, two brands strategy by building on our existing values of involvement, innovation, integrity, insight and action, and
- Adopting new Ways of Working (nWoW) that will see employees transition to a work environment that allows for:
 - Meaningful collaboration
 - Purposeful communication
 - Faster execution
 - Clear accountability, and
 - Reduced complexity.

These new ways of working have been linked to leadership behaviours.

- Establishing a group culture that describes acceptable and unacceptable behaviours, identifying culture traits including:
 - Humanity and care
 - Excellence
 - Loyalty
 - Experience and fun, and
 - Reduced complexity.

Data and technology



The primary objective of our data and technology strategy is to ensure that Liberty Kenya is future ready. Future readiness implies that Liberty Kenya is innovative and operates at a low cost, provides exceptional customer experience, is modular and agile, and uses data as a strategic asset.

The areas of focus for achieving future readiness include:

- Optimising core systems
- Automating processes
- Adopting digitalisation to modify our business model
- Process alignment (internal and external)
- Cross-selling and upselling built on data analysis, and
- Gaining greater customer insights.

Technology within the human capital environment will be used to enhance both human capital process management and the employee experience. Ultimately, we wish to create interactive, digital experiences for our employees while automating reports and management information.



Awards in 2019

Liberty Life Kenya and Heritage Insurance Kenya dominated the insurance categories at the Think Business Insurance Awards, affirming its efficiency in insurance provision and valuable financial advisory services to Kenyans.

With a combined total of 13 individual awards, Liberty Life and Heritage Kenya won the coveted overall Life Insurer of the Year Award and General Insurer of the Year Award respectively.

Liberty Life bagged top honours in the Product Innovation and Distribution, Risk Management, Training, Customer Centricity, Best in Customer Satisfaction and Claims Settlement awards and emerged third in the Product Distribution and Marketing Category.

Heritage Insurance topped the charts in Medical Underwriter, Claims Settlement and Risk Management awards while emerging second in Product Innovation and Distribution, and earned a close third in Sustainable Corporate Social Responsibility and Customer Centricity.



Overall Top
Life Insurer



Overall Top
General Insurer

Other firsts

Product Innovation and Distribution

Risk Management

Training

Customer Centricity

Best in Customer Satisfaction

Claims Settlement

Other firsts

Medical Underwriter

Claims Settlement

Risk Management



02

Governance, leadership and risk

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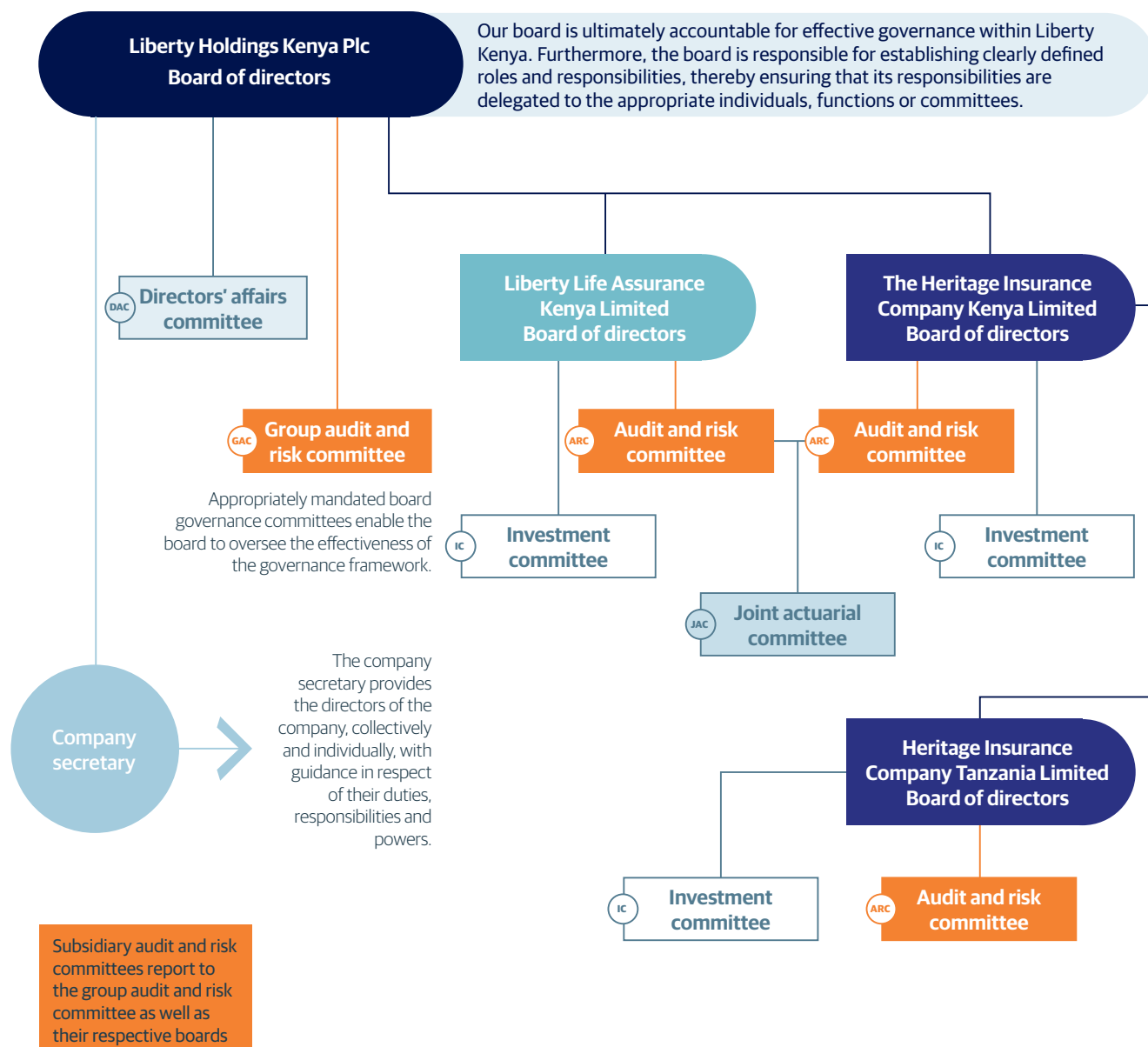
Corporate governance report

Corporate governance

The company views the application of good corporate governance practices as key to achieving a healthy and sustainable return on investment for its shareholders, while fulfilling its social mandate to improve the quality of life for all stakeholders. The directors therefore remain committed to maintaining the highest standards of good corporate governance in all jurisdictions that the company operates in for the benefit of all stakeholders.

The company has adopted the Capital Markets Authority's code of corporate governance practices for Issuers of Securities to the public, 2015 ("the Code"). The Code sets out the principles and makes specific recommendations on structures and processes which companies should implement in making good corporate governance an integral part of their business dealings and culture. In keeping with the Code, a governance audit for the financial year ended 31 December 2019 was undertaken by an independent accredited governance auditor to assess the level of application of good governance practices in the company. This is the second year of reporting on the Code and the board is happy to note that the company has made progressive steps towards full application of the Code, and this forms part of the efforts to constantly improve governance practices. Based on the overall performance of the company, the governance auditor's opinion is that the board has established, implemented and overseen an effective governance framework structure, and the control environment is consistent with the legal and regulatory requirements, internal policies and good governance practices in the interest of all stakeholders.

Our governance structure





Composition of the board

The company is led by an effective board that provides strategic direction, and oversees and ensures that management is creating value for all stakeholders. The board currently comprises six (6) directors, all of whom are non-executive with the exception of the managing director. Three (3) of the six (6) directors are independent. In determining the independence status of the directors, the company has applied the criteria set out in the Code. The board, through the directors' affairs committee, carries out an annual assessment on each director's independence status to ensure that the board maintains a healthy ratio of independent directors, which at the very least should meet the minimum requirement prescribed by the Code – one-third. Each director's profile is given on page 26 of this report and highlights, amongst others, the director's experience, age, independence status and other key board memberships. Notwithstanding a director's non-executive and/or independence status on the board, all directors recognise that they are collectively responsible to the shareholders and stakeholders for the viable long-term sustainability of the company.

Changes in board membership

All appointments to and resignations from the board are carried out in accordance with the articles of association and are disclosed to the shareholders and to the public as prescribed by the Capital Markets Authority regulations and the Code. Also, in accordance with the articles of association, at least one third of the directors retire by rotation at each annual general meeting and are eligible to seek re-election. In determining the directors retiring by rotation, consideration is given to those who have been in office longest since their last election.

Induction of new board members

Newly appointed directors undergo a comprehensive, formal and tailor-made induction programme to ensure their effective contribution on the board and committees. The induction, amongst others, covers the nature of the group's business and its organisational structure, board and committee mandates, financial performance review over the previous financial periods as well as the role, duties and responsibilities expected of the directors. The directors receive an induction pack which comprises the memorandum and articles of association, board charter and directors' code of ethics, committees' terms of reference and minutes from previous board meetings. The induction process is coordinated by the chairman, the managing director and the company secretary.

Board charter

The board has put in place a board charter that defines the governance parameters within which the board exists and sets out specific responsibilities to be discharged by the board and directors collectively, as well as certain roles and duties incumbent upon directors as individuals. Each director is called upon to subscribe to the charter and, in doing so, acknowledges the company's values and commits to upholding them. The charter is available on the company's website at www.libertykenya.co.ke

Role of the board

The board's primary responsibility is that of fostering the long-term business of the company consistent with its fiduciary responsibility to the shareholders. The responsibilities of the board are articulated in the board charter while the conduct of board members is governed by the directors' code of ethics and conduct. Both documents are available on the company's website (www.libertykenya.co.ke). The responsibilities imposed by these documents are in addition to those imposed by legislation and regulations applicable to the company. During the year under review the board met four (4) times to monitor business performance against the business plan and budget. In addition, the directors held a strategy retreat which included all the group directors to agree the group strategy for 2020-2022 as well as the 2020 budgets.

Senior management and other officers may be required to attend board meetings by invitation to ensure informed decision-making by the directors. The company secretary attends all the meetings of the board to primarily advise on legal, regulatory and governance issues and ensure accurate documentation of board decisions. In addition, the board invites independent professionals to attend meetings and provide advice as may be necessary.

Separation of the role of the chairman and managing director

The board charter stipulates a clear separation of the role and responsibilities of the chairman and the managing director. The chairman is a non-executive director and his primary role is to direct the board's business and act as its facilitator and guide, ensuring the board is effective in its task of setting and implementing the company's direction and strategy. The managing director is responsible for the day-to-day leadership of the company's business affairs and ensures the execution of strategy as set by the board. The separation of the roles is to promote accountability and facilitate division of responsibilities as well as to ensure a balance of power and authority such that no one individual has unfettered powers of decision making.

Board committees

In order to effectively carry out its governance responsibilities, the board has established standing committees as listed below and delegated specific mandates to them. These committees operate under clearly articulated terms of reference which clarify their responsibilities and scope of authority. The committees have unrestricted access to any information within the company and have unfettered access to the company secretary and independent professionals to enable them to effectively discharge their functions. All committees report to the board at each board meeting, highlighting matters discussed at their respective meetings and recommended actions for board approval in appropriate cases. Notwithstanding the delegated authority to these committees, the board remains fully responsible for the areas overseen by the committees and activities of the committees. The mandates of the committees and their membership are summarised as follows:

Group audit and risk committee (GAC)

The mandate of the GAC is to assist the board in the following five areas where the key responsibilities include financial reporting and compliance with applicable financial reporting standards; oversight of the internal audit function and their review of financial and operational controls; liaising with external auditors including receiving and reviewing their reports and letters; monitoring compliance with legal and regulatory requirements and reviewing risk management issues within the group.

The GAC also oversees the activities of subsidiary audit and risk committees.

Directors' affairs committee (DAC)

This committee reviews all new nominees to the board and is mandated to assess the performance, remuneration and effectiveness of directors of the company and its subsidiaries. The DAC also facilitates board evaluations to measure and monitor its performance in corporate governance matters.

Membership of the above committees is highlighted on page 26.

Director's remuneration

The company has a clear remuneration policy for executive and non-executive directors. The policy is deemed to be fair and equitable, as well as benchmarked to the market so as to attract and retain the required skills and experience. The remuneration of the non-executive directors is reviewed by the DAC. The current directors' remuneration report is presented on page 53.

Conflict of interest

The group ensures that the governance framework not only monitors compliance with legislation and regulations, but also monitors the ethical climate within the organisation. Towards this end, all employees, upon joining the company and on an annual basis, are required to sign up to the code of conduct and ethics which aims to encourage honest and ethical business conduct. The board has also adopted a directors' code of ethics and conduct. One of the key principles underlying ethical business conduct is the avoidance and disclosure of conflict of interest. Directors are under a statutory obligation to avoid a situation in which the director has, or can have, a direct or indirect interest that conflicts or may conflict with the interests of the company.

Insider trading policy

The Capital Markets Authority Act has prescribed certain regulations that expressly prohibit the use of unpublished insider information. Insider information is generally information that:

- Relates to the company and the company's securities
- Has not been made public, and
- If it were made public, is likely to have a material effect on the price of the securities.

The company has also adopted an insider trading policy with the objective of promoting transparency and accountability by directors and employees of the company and its operating subsidiaries. The company's insider trading policy prohibits insiders from trading in the securities of the company at any time they are in possession of insider information.

Meetings and attendance

	Liberty Kenya		
	Board meetings	GAC	DAC
P Odera	5/5	-	1/1
G May	4/5	3/3	-
P Gethi	5/5	3/3	1/1
G Ogallo	3/3	-	-
M du Toit	5/5	-	-
J Hubbard	4/5	-	1/1
R Shah	-	3/3	-



Corporate governance framework for the subsidiaries

The corporate governance framework of Liberty Life Assurance Kenya Limited, The Heritage Insurance Company Kenya and Heritage Insurance Company Tanzania Limited (the operating subsidiaries) comprises the board of directors, committees of the board, management and operations committees, as well as policies, procedures and systems which together govern the management of the businesses.

Boards of directors

The mandate of the boards of directors is to implement principles of good corporate governance, determine the strategic direction of the companies and ensure sustainability of the businesses. The boards of directors are therefore responsible for implementing the strategic plan through oversight, enhanced shareholder value, company growth, profitability, financial reporting and accountability. During the year under review, the boards each met five (5) times to monitor business performance against the business plan and budget. During the year, the directors held a strategy retreat which was attended by all directors to agree the group strategy for 2020 – 2022 as well as the 2020 budgets.

Board committees

In order to effectively carry out their governance responsibilities, the boards have established three standing committees as listed below and delegated specific mandates to them. These committees operate under clearly articulated terms of reference which clarify their responsibilities and scope of authority. The mandates of the committees and their membership are summarised as follows:

Audit and risk committees (ARC)

The mandate of the ARC is to assist the board in areas where the key responsibilities include financial reporting and compliance with applicable financial reporting standards, oversight of the internal audit function and their review of financial and operational controls, liaising with external auditors including receiving and reviewing their reports and letters, monitoring compliance with legal and regulatory requirements and reviewing risk management issues within the group.

The subsidiary ARC's report to the GAC.

Joint actuarial committee (JAC)

This is a joint sub-committee of the audit and risk committees of the Kenyan subsidiaries. Its mandate is to consider the technical actuarial matters and reports that inform the decisions of the ARC and the boards.

The investment committee (IC)

The mandate of the IC is to oversee the development of the companies' investment strategy and to monitor its implementation. The committee monitors performance of the companies' investment portfolio in accordance with the investment strategy and reviews compliance managers with benchmarks and performance standards.

Membership of the above committees is highlighted on page 27

Adoption of corporate governance principles

The operating subsidiaries adhere to the principles of good corporate governance adopted from those applied by the company and set out above. This relates to:

- The board charter
- Composition of the boards
- Directors' code of ethics and conduct
- Directors' remuneration
- Separation of the role of the chairman and managing director
- Changes in board membership – all appointments to, and resignations from, the board are carried out in accordance with the articles of association and the recommendations of the DAC, and
- Induction of new board members.

Board of directors



Philip Odera (61)
NON-EXECUTIVE CHAIRMAN
Appointed: September 2016



DAC

3

Mr Philip Odera has 29 years of experience in the banking and financial services industry, rising from the position of commodities analyst in Boston (USA) at Kramer Brokerage Company and was until his recent retirement the chief executive, Stanbic Bank Kenya Limited.



Gayling May (77)
INDEPENDENT DIRECTOR
Appointed: December 2009



GAC DAC

10

Mr Gayling R May has an extensive accounting background, having worked for PricewaterhouseCoopers in various countries for 37 years.

Non-executive director of Liberty Life Assurance Kenya Limited and The Heritage Insurance Company Kenya Limited. He is chairman of the subsidiaries' audit and risk committees



Peter Gethi (54)
INDEPENDENT DIRECTOR
Appointed: December 2009



GAC DAC

ARC Heritage Tanzania

10

Mr Peter Gethi is the chairman of The Heritage Insurance Company Kenya Limited and Liberty Life Assurance Kenya Limited. He is a non-executive director of Heritage Insurance Company Tanzania Limited, and a director of Stanbic Holdings Limited and Stanbic Bank Limited.



Gladys Ogallo (53)
INDEPENDENT DIRECTOR
Appointed: June 2019



<1

Mrs Gladys Ogallo is an experienced and accomplished board member, serving on both African and international boards. She has sector experience in telecommunications, banking, insurance, investment and education, with special reference to managing human capital.



Mike du Toit (57)
MANAGING DIRECTOR
Appointed: December 2008



IC ARC Subsidiaries

11

Mr Mike du Toit is a career banker, with extensive experience in the financial services field across sub-Saharan Africa, having worked and lived in, amongst others, Botswana, Mozambique, South Africa and Uganda.

Non-executive director of Liberty Life Assurance Kenya Limited and The Heritage Insurance Company Kenya Limited and Heritage Insurance Company Tanzania Limited. He is chairman of the subsidiaries' investment committees



Jeffrey Hubbard (55)
NON-EXECUTIVE DIRECTOR
Appointed: June 2017



DAC

2

Mr Jeffrey Hubbard is currently the Liberty group business development executive, which includes responsibility for Liberty's businesses outside of South Africa as well as components of the South African insurance operations.



Caroline Kioni
COMPANY SECRETARY

Ms Caroline Kioni is an experienced advocate of the High Court of Kenya, a certified public secretary and governance expert with an exceptional range of skills acquired over her career.

Ms Kioni is also the company secretary for the Kenyan subsidiary companies

Subsidiaries' boards of directors

Liberty Life Assurance Kenya and The Heritage Insurance Company Kenya **boards of directors**

With the exception of the executive directors, the membership of the boards of the Kenyan subsidiaries are identical.



Catherine Mitchem ⁽⁴⁸⁾

INDEPENDENT DIRECTOR
 Appointed: 2017



IC

2



Rachel Mbai ⁽⁵⁴⁾

INDEPENDENT DIRECTOR
 Appointed: 2017



ARC

2



Rajesh Shah ⁽⁶²⁾

INDEPENDENT DIRECTOR
 Appointed: 2018



GAC ARC

1



Stuart Wenman ⁽⁴⁹⁾

NON-EXECUTIVE DIRECTOR
 Appointed: 2009



IC JAC ARC

10



Andrew Lonmon-Davis ⁽⁵⁴⁾

NON-EXECUTIVE DIRECTOR
 Appointed: 2019



IC JAC ARC

<1

Executive directors



Abel Munda ⁽⁵⁷⁾

MANAGING DIRECTOR
 Appointed: 2005



IC

14



Godfrey Kioi ⁽⁵⁵⁾

MANAGING DIRECTOR
 Appointed: 2014



IC

5

Non-executive director of Heritage Insurance Company Tanzania Limited

Heritage Insurance Company Tanzania **board of directors**

Yogesh Manek ⁽⁶⁴⁾

NON-EXECUTIVE CHAIRMAN
 Appointed: 1998



IC

21

Juma Mwapachu ⁽⁷⁷⁾

NON-EXECUTIVE DIRECTOR
 Appointed: 1998



21

Geetha Sivakumar ⁽⁴²⁾

NON-EXECUTIVE DIRECTOR
 MAC Group Limited representative
 Appointed: 2018



IC ARC

1

Ravi Singh ⁽⁴³⁾

NON-EXECUTIVE DIRECTOR
 Appointed: 2016



ARC

3

Non-executive director
 Independent director
 Executive director

Group audit and risk committee
 Directors' affairs committee
 Subsidiary audit and risk committee
 Investment committee of the subsidiary boards
 Joint actuarial committee

Committee chairman
 Completed years of service on respective board
 (***) Denotes age as at 31 December 2019

Governance auditor's report

The Code of Corporate Governance for Issuers of Securities to the Public, 2015 ("the Code"), requires the Board of a listed Company to subject the Company to an annual Governance Audit to check the level of compliance with sound governance practices.

The Code specifically requires the Annual Governance Audit to be conducted by a competent and recognised professional accredited for that purpose by the Institute of Certified Secretaries (ICS). In compliance with the Code, Liberty Kenya Holdings Plc. retained Ms Catherine Musakali of Dorion Associates ("the Auditor") to conduct a Governance Audit of the governance structures, procedures and processes of the Company in order to assure the Board that its goals, structure and operations are consistent with the law, the Code, as well as the latest developments in Corporate Governance; and that the Company has adopted best practices in Corporate Governance as a means of ensuring sustainability. The Code further requires that after undergoing the Governance Audit, the Board should provide an explicit statement on the level of compliance.

The scope of the Audit is derived from the Code, the Companies Act, 2015 and the Governance Audit Tool developed by the ICS. More specifically, the Audit covers the following broad areas:

1. Leadership and strategic management;
2. Transparency and disclosure;
3. Compliance with laws and regulations;
4. Communication with stakeholders;
5. Board independence and governance;
6. Board systems and procedures;
7. Consistent shareholder and stakeholders' value enhancement; and
8. Corporate social responsibility and investment.

Governance auditor's responsibility

Our responsibility is to express an opinion on the existence and effectiveness of governance instruments, policies, structures, systems and practices in the Company in accordance with best governance practices as envisaged within the legal and regulatory framework. We conducted our audit in accordance with the Institute of Certified Secretaries' Governance Audit Standards and Guidelines, which conform to global Standards. These standards require that we plan and perform the Governance Audit to obtain reasonable assurance on the adequacy and effectiveness of the Company's policies, systems, practices and processes. The Audit involved obtaining audit evidence on a sample basis. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a reasonable basis for our opinion.

Opinion

In our opinion, the Board has put in place a satisfactory governance framework in compliance with the legal and regulatory requirements, and in this regard, we issue an unqualified opinion. Identified instances of non-compliance have been reported to the Board.

FCS. Catherine Musakali, ICPSK GA. No 006

Dorion Associates

Thompsons Estate, Diani Close, Compound 7, House 3 Nairobi.

Tel number: +254 202353383/+254 722616119

26 May 2020

Statement of directors' responsibilities

The Kenya Companies Act, 2015 requires Directors to act in good faith, to promote the success of the Company for the benefit of its stakeholders and to avoid conflict between their personal interests and those of the Company, always acting in the best interest of the Company.

The Code of Corporate Governance for Issuers of Securities to the Public, 2015 ("the Code") requires listed companies to engage the services of an independent and accredited Governance Auditor to establish the extent to which the Board has applied Corporate Governance principles. The Code further requires that after undergoing the Governance Audit, the Directors should provide an explicit statement on the level of compliance.

The Directors are responsible for putting in place governance structures and systems that support the practice of good governance in accordance with best practice, the requirements of the Kenya Companies Act, the Code and the Governance Audit Tool developed by the Institute of Certified Secretaries (ICS). The responsibility includes planning, designing and maintaining governance structures that ensure effective leadership and strategic management, transparency and disclosure, compliance with laws and regulations, communication with stakeholders, Board independence and governance, Board systems and procedures, consistent shareholder and stakeholders' value enhancement and corporate social responsibility and investment.

The Directors also accept responsibility for putting in place an effective and efficient Management Team and effective internal control and risk governance systems that are designed to promote good governance practice.

The Directors accept that the independent Governance Audit does not relieve them of their responsibilities.

The Directors are not aware of any material governance issues that may adversely impact the operations of the Company.

As required by the Code therefore, the Directors commissioned a Governance Audit with the aim of ensuring that the Company has complied with the Act, the Code, and adopted best practices in Corporate Governance in order to deliver long term value to stakeholders.

The Directors have adopted this Governance Audit report for the year ended 31st December 2019, and which discloses the state of Governance within the Company.

Adoption of the Governance Audit Report

The Governance Audit Report was adopted by the board of directors on 26 May 2020.



Philip Odera
Chairman



Mike du Toit
Managing Director

Risk management

The business of insurance is the assumption and pooling of risk to mitigate adverse financial consequences for both policyholders and shareholders. Accepting and managing risks within an appropriate risk appetite is the key element of our value creation journey.

The risk management system is an integral part of Liberty Kenya's overall governance, management, reporting processes, policies and culture.

Liberty Kenya's risk philosophy is to ensure sustainable growth of its business, by encouraging appropriate risk-taking while operating within its approved risk appetite.

Liberty Kenya's risk preferences

- Risks that the group actively seeks as a result of being in the business of underwriting and managing risks – all of which are viewed as value-enhancing
- Risks that are not actively sought but arise as a consequence of being in business and which are managed to an acceptable level to protect value

Risk strategy

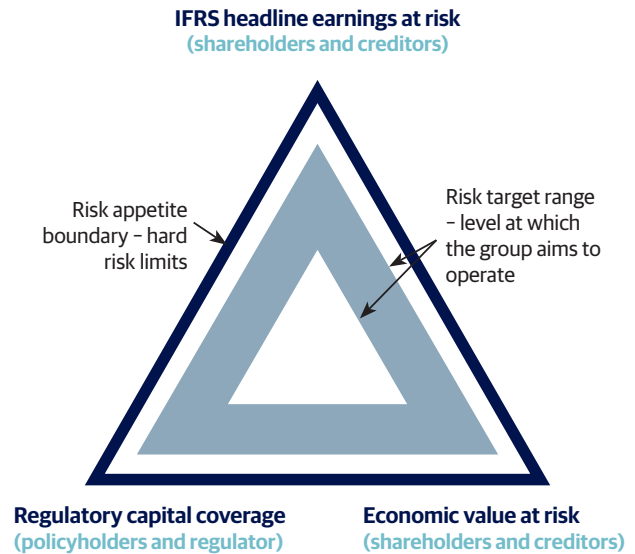
Liberty Kenya's approach to risk management places consideration of risk as a focal point in business activities. It enables the business to make informed risk-based decisions and manage expected returns by selecting the risks it is willing to assume.

Risk environment

Liberty Kenya's significant risk categories are strategic and business, insurance, market, credit, liquidity, operational, business conduct, and legal and compliance risks. Management continues to drive actions to enhance the control environment as well as to deal with the risks the business faces.

Risk appetite and risk target

Liberty Kenya's strategic plans are subject to a trade-off between risk and reward, considering the risk appetite and risk targets approved by the board. The risk appetite contains statements which express the quantitative limits for measurable risks that can be taken by the business as well as qualitative definitive constraints on acceptable and unacceptable behaviour in pursuit of business objectives.



The qualitative risk appetite statements provide boundaries on what is acceptable and unacceptable in pursuit of business goals relating to reputation and conduct.

Reputation

We will not deliberately and knowingly engage in any business, activity or relationship which, in the absence of any mitigating actions, could result in reputational damage to Liberty Kenya, Liberty Life, Heritage or the larger Liberty family, today and into the future. We proactively protect and uplift the Liberty Life and Heritage brands in all our interactions.

Conduct

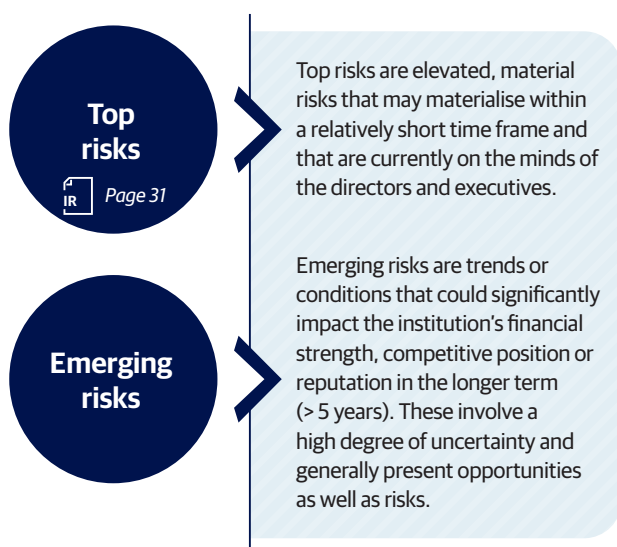
We place the customer at the heart of everything we do and operate in a manner where fair play and ethical behaviour underpin all our business activities and relationships. We have no appetite for deliberately and knowingly breaching legislative, regulatory and internal policy requirements.

Risk identification, assessment and measurement

Liberty has a clearly defined business strategy, making it possible to identify events that would hinder the business from creating value as well as identifying opportunities that might assist the business in advancing its purpose.

Current and emerging risks that could threaten the business model, strategy and sustainability are identified and assessed through a top-down process. In addition, risks identified through the business unit strategic planning processes provide a bottom-up view.

The business performs regular and robust risk quantifications to measure the risk profile at an aggregate level, per legal entity, per business unit and at a material risk type level to ensure that the business is being managed within risk limits and risk appetite and close to the risk target range.



In support of risk identification, assessment and measurement, a comprehensive scenario analysis is undertaken to identify severe but plausible scenarios.

Risk management

Liberty Kenya has adopted an enterprise risk management (ERM) approach. Liberty Kenya's risk management framework is substantially based on the ERM principles, which define the overall risk management system that ensures that it conducts its business in the right way and manages its financial resources responsibly to safeguard the interests of all stakeholders.

The board is ultimately accountable for the effective governance of risk management. The board delegates its oversight and responsibilities in terms of the three lines of defence risk governance model. Liberty Kenya is supported in its management of risk by Liberty SA.

Once the level of risk that Liberty Kenya is willing to take has been set by the board and the risks ranked and prioritised, management (the first line of defence) is able to determine the mitigation strategy deemed to be most effective. Mitigants used depend on the risk type and are subject to oversight by the risk and compliance the second line of defence. Controls are audited by group internal audit services, the third line of defence.

IT governance

The board is accountable for the governance of information technology and data, and receives reports concerning key IT initiatives.

The chief information officer drives the implementation of effective governance practices with the operating companies providing management oversight over all IT initiatives.

Compliance

The board delegates responsibility for compliance to management and monitors this through the compliance control function. Oversight of compliance risk management is delegated to the risk and compliance function, which provides oversight and facilitates effective management of compliance risk through the audit and risk committee.

Executive management must perform their delegated role of ensuring compliance within the business, at the same time allowing the compliance function to perform its independent advisory, monitoring and reporting role.

The risk and compliance function provides a quarterly report on the status of compliance risk management within Liberty Kenya's operating subsidiaries, significant areas of non-compliance and provides feedback on interaction with regulators.

Coronavirus – COVID-19

The coronavirus (COVID-19) poses a significant threat to global health and the World Health Organisation (WHO) has officially characterised the situation as a pandemic. Although the WHO is currently of the view that governments in all countries can still change the course of this pandemic, there is concern that countries may not implement the measures required to suppress and control its spread. The spread of COVID-19 is having significant impacts on global investment markets and it further poses material business continuity and insurance risks to Liberty. Contingency plans and mitigating actions are being introduced. With the rapidly evolving situation, developments are being closely monitored so that appropriate actions are taken.



Top risks

The following represent the identified top risks for Liberty Life and the mitigating actions adopted by management.

 Top risks – material matters	Management action
Ineffective channel management and lack of appropriate distribution capability, resulting in lower sales volumes at suitable margins	• Revamp the tied agents and enhance product propositions through continuous monitoring, production and engagement of the sales team. • Implement sales incentives to drive growth in case count and premium income. Acquire more assets under Boresha Maisha and income drawdown products.
Lack of appropriate distribution and service capability resulting in the reduction of the in-force book	• Implement straight-through processing to enhance the customer experience. • Convert customers from deposit administration plans to the Boresha Maisha product. • Implement recommendations arising from the lapse business study to improve customer loyalty.
Inadequate implementation of the customer value proposition resulting in unmet customer expectations	• Automate processes, including the improvement and review of current processes and turnaround times.
The quality of data/information resulting in the decision-making process being compromised	• Continuous review of applications submitted via various platforms. • Training and awareness for all staff on the data quality which is expected for the KYC processes. • Control environment improvement and the elimination of operational failures.
Investment income below market average, impacting on with profits, deposit administration and Boresha Maisha product propositions	• Review investment income, including strategic asset allocation and investment policy statement with the aim of ensuring investment returns are comparable with other competitive products and options. • Asset and liability management at portfolio level.

The following represent the identified top risks for Heritage Kenya and the mitigating actions adopted by management.

 Top risks – material matters	Management action
Inability to meet targeted gross written premium	• Weekly review meetings with sales and distribution teams for enhanced monitoring, pipeline review and renewals.
Inability and delay in collecting premiums due from customers and intermediaries, deviating from board-approved credit policy	• Monthly production reconciliations and engagements with intermediaries to address inconsistencies. • Implement the credit policy in the operating system for enhanced monitoring. • Closely monitor debt collection activities with weekly credit oversight meetings.
Inability to write profitable business, resulting in high claims ratio impacting profitability	• Conduct regular analysis of claims data to identify any erratic trends. • Closely monitor claims ratios.
Inadequate and ineffective internal controls resulting in operational failures	• Review all process design authorities and update. • Test control exercises to ensure full compliance. • Continue to track the resolution of operational risks to improve the quality of data provided to management.
Lack of risk ownership by business unit leads	• Identify and assess various risks within the business and include these in risk registers, controls identified and engagements with stakeholders to mitigate the ongoing risks. • Track risks through risk function facilitated engagements, with escalation of significant risks that impact on the business. • Review policies in line with the risk and compliance enhancement programme.

Risk management continued

The following represent the identified common risks for Liberty Life and Heritage Kenya and the mitigating actions adopted by management.

 Top risks – material matters	Management action
Expenses increasing at a faster rate than sales growth, resulting in a high expense ratio	• Management's focus is on: – Increasing sales volumes – Reviewing the expense allocation model – Management of expense tracking – Tracking the benefits achieved by key projects • An expense management strategy has been developed and its effectiveness will be tracked and monitored.
Losses that may arise from inadequate and ineffective practices during the recruitment, development, management and/or retention of employees and contractors	• Employee retention is enhanced by frequent and relevant training plans, including training on individual development plans. • Develop succession plans with a focus on enhanced staff retention strategies. • Develop talent management framework, including talent retention programmes and performance management.
Lack of effective processes and execution resulting in errors, incorrect payments, delays in processing of transactions leading to dissatisfied customers and payment of unauthorised claims	• The operational units are required to update and sign off on their processes. • Design authorities. • All staff undergo appropriate and relevant training. • Continuous review of all claims to embed a risk awareness culture.
Risk of loss caused by the inappropriate behaviour of individuals (including financial advisers)	• Continuous review of complaints and actions to aid in resolution. • Service desk items review to include reports on complaints from the various departments.
Cyber security risk and governance	• All cyber security and IT policies to be reviewed, approved and enforced. • Conduct cyber risk workshops with IT and risk. • Align information security controls.
Legal and compliance risk - Changing regulations and interpretation of existing laws - Regulatory sanctions and compliance - The lack of fulfilment of contractual obligations	• Report outcomes from compliance monitoring quarterly. • Review all contracts for compliance.
Image and reputation risk which may impair future profitability or sustainability	• Align the recruitment of agents with Liberty Life's targeted market segments to transform Liberty Life from a once-in-a-lifetime solution provider to household and lifetime provider. • Heritage faces potential reputational damage due to association with ongoing investigations on corruption in government projects, namely the Arror and Kimwarer dams. The President cancelled the Kimwarer Dam project. The Arror Dam is to be downscaled. The performance bonds for Itare Dam have been called on by Rift Valley Water Works Development Agency. Engagements are ongoing with the reinsurers on the appropriate response.



03

Delivering for stakeholders

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Customers

Placing the customer at the heart of our business

Insurance has traditionally been a product-centric business, focused on developing the best products for a given risk and delivering those in the most cost effective manner. Now, because of technology, increased competition from non-traditional players and heightened consumer awareness and connectivity, we need to understand and service our customers better than ever.

We need to understand our customers' true needs in order to refine the products and services we offer, and the ways in which we interact and serve them.

Our customers expect the highest levels of advice and service when dealing with Liberty Life and Heritage advisers, brokers and support staff.

Customer service at all touchpoints, from onboarding to claims processing and payment, must be effective and efficient, employing the latest technology, and dispensed with humanity.

Customers expect value-creating and competitive products, which support their goal of financial freedom. Supporting our tied and independent financial advisers and brokers is critical to our success.

Treating Customers Fairly (TCF) is the legislative and regulatory embodiment of a fair and more transparent consumer environment and promotes more efficient and equitable financial services. Liberty Kenya seeks to differentiate itself in the market by providing products that customers perceive to have value. It is our responsibility to balance shareholder value and customer fairness in the creation of customer value. By adopting a customer-centric approach, we seek to internalise TCF as part of our culture. By using the TCF outcomes to inform our customer service principles, we have embedded TCF across the organisation, elevating it beyond regulatory compliance.

Value created for customers includes the objective advice of financial advisers and brokers, risk solutions that provide peace of mind for families and companies and investment and retirement products that allow individuals, families and employees to achieve their long-term savings goals.

Six core consumer outcomes of TCF

- Customers can be confident that they are dealing with firms where the fair treatment of customers is central to the firm's culture.
- Products and services marketed and sold in the retail market are designed to meet the needs of identified customer groups and are targeted accordingly.
- Customers are given clear information and kept appropriately informed before, during and after the time of contracting.
- Where customers receive advice, the advice is suitable and takes account of their circumstances.
- Customers are provided with products that perform as firms have led them to expect and the associated service is both of an acceptable standard and what they have been led to expect.
- Customers do not face unreasonable post-sales barriers to change product, switch provider, submit a claim or make a complaint.

Liberty Life



Value created in 2019

Claims and policyholder benefits paid

DEATH AND DISABILITY CLAIMS PAID

KShs 480 million ↑ 14%

(2018: KShs 422 million)

PENSION PAYMENTS

KShs 2.1 billion ↓ 21%

(2018: KShs 2.6 billion)

INVESTMENT MATURITIES

KShs 19,439 ↓ 13%

(2018: KShs 22,227)

Performance

Retail life persistency

72%

(2018: 72%)

Retail life renewed business ↓ 2%

Retail life new business ↓ 3%

Reflects a very difficult year for customers

Group risk renewed business ↑ 6%

Group risk new business ↑ 19%

Driven by cross-selling initiatives in conjunction with Heritage Insurance and the bancassurance channel

Retirement savings renewed business ↑ 1%

Retirement savings new business ↑ 97%

Boresha Maisha individual pension plans increased 67% to 1,130 schemes

TOTAL COLLECTED PREMIUM

KShs 5.6 billion

(2018: KShs 4.9 billion)

SOLVENCY

212%

(2018: 213%)

We maintained our ability to fulfil our promises to customers

In 2019 Liberty Life launched Boresha Ustaafu, an income drawdown solution which provides retirees with flexible investment options. An Education Protector product was developed, approved and launched towards the end of the year.

We introduced straight-through processing during 2019. Direct and agent sourced onboarding of customers is now paperless, increasing efficiency, reducing costs and improving customer service.

We also implemented a touchpoint based focus on customer experience across the process value chain – onboarding, servicing, and claims – where feedback from customers was sought from each touchpoint. This enabled the improvement of our net promoter score (NPS) to a high of 47 in 2019 (2018: 35).

We completed the mapping of the claims customer journey and continue to design a solution for improved customer service.

To enhance customer service further, the group undertook an organisational restructure, creating centres of excellence and aligning processes across both the Liberty Life and Heritage brands. We continued tracking the implementation of the customer value proposition promises (dependability, accessibility and personalised servicing).

To mitigate against volatility in returns for policyholders, Liberty Life continued to invest predominantly in fixed income securities, which generated more than 90% of the company's investment income.

Bonuses declared for retail life – with profits products remained consistent at 1.5% (simple reversionary bonus) and 7.5% (terminal bonus). Similarly, bonuses for the income builder products were maintained. We approved increased bonuses for the deposit administration guaranteed product at 8%, (2018: 2%) and the Boresha Maisha guaranteed products at 8%, (2018: 4%).

We made significant progress in the clean-up of customer data aimed at ensuring compliance with anti-money laundering and unclaimed financial assets regulations as well as enhancing the quality of our customer engagement.

We continued our digital transformation journey, adding Boresha Maisha statements to the customer portal and piloting an e-learning platform for our agents. Customers can update personal information using this portal, although such changes are verified and authorised subsequently by Liberty Life staff.

Finally, we implemented some key process automations to enhance operational efficiency and customer service:

- Automatic allocation for MPesa payments
- Automatic statement dispatch for pension customers
- Enhancement of customer portal to include pension customers – both retail and corporate



Customers (continued)

Heritage Kenya



Value created in 2019

Claims and policyholder benefits incurred

MEDICAL

KShs 1,189 million ↓ 8%
(2018: KShs 1,286 million)

MOTOR

KShs 884 million ↓ 12%
(2018: KShs 1,001 million)

ACCIDENT

KShs 375 million ↓ 43%
(2018: KShs 661 million)

FIRE

KShs 67 million ↓ 63%
(2018: KShs 183 million)

Performance

RENEWAL RATE

72%
(2018: 67%)

CLAIMS RATIO

43%
(2018: 53%)

Non-medical

37%
(2018: 51%)
Improved risk selection

Medical

67%
(2018: 68%)
Improved claims management and shedding of poor performing schemes

DEBT COLLECTION RATE

97%
(2018: 91%)
"Cash before cover" amendment to the Kenyan Insurance Act and robust credit management encouraged the collection of premium debtors

AVERAGE INVESTMENT RETURN

10%
(2018: 9%)

SOLVENCY

310%
(2018: 248%)
Focused attention on risk-based solvency metrics

NET PROMOTER SCORE

44%
(Target: 30%)

In 2019 Heritage launched the first telematics motor solution in Kenya. Auto Correct encourages careful and safe driving, reduces premiums and streamlines the claims process.

The Association of Kenya Insurers (AKI) developed a virtual motor insurance certificate. Insurance companies have a dedicated platform known as the AKI Vehicle Insurance Certificate (VIC) issuance from where insurers are able to conveniently order, generate and distribute virtual certificates to customers.

We continued to monitor customer service levels across both branches and other distribution channels on a daily basis. Feedback from promoters addressed four key areas of service: service, staff, brand and communication. Detractors' feedback presented opportunities for improvement in the following areas: claims, price, product knowledge and rigidity.

Our customer satisfaction survey was still in progress at year end.

Medical insurance member education is one of the methods identified to enhance the customer experience. During 2019 we conducted 104 sessions of member education, promoting knowledge of the product structure, design terms and conditions, better utilisation of benefits, fraud awareness and the reduction of unnecessary utilisation of benefits.

Health talks are also provided alongside these member education sessions. Our Chronic Disease Management Programme helps members with early detection of chronic disease for better management of the disease.

The number and nature of complaints, as well as the average resolution time taken is collected and analysed across all departments on a monthly basis. A total of 51 complaints were received in 2019, with the resolution time being not exceeding five days.

To protect both our medical policyholders and ourselves, we introduced biometric identification to minimise fraud. Other fraud deterrent measures include automated benefit utilisation notifications to members, serialised stationery (prescription slips supplied to providers by Heritage) and claims pre-authorisation and screening procedures.

As with Liberty Life, we continued with the validation of customer information to facilitate compliance with anti-money laundering legislation. This was fully achieved by year end.

We completed the documentation of the system requirements to facilitate improved claims tracking and customer notification. The implementation of this automated system is scheduled for the third quarter of 2020.

The year was characterised by growth in bank deposits and fixed income investments during the period owing to increased premium collections. The company continues to ensure that it maximises its income-generating assets to meet and exceed solvency regulations.

Heritage Tanzania



Value created in 2019

Claims and policyholder benefits incurred

MOTOR

TShs 2,035 million ↑ 14%
(2018: TShs 1,790 million)

MEDICAL

TShs 1,802 million ↑ 20%
(2018: TShs 1,496 million)

OTHER

TShs 1,918¹ million ↑ 23%
(2018: TShs 1,555 million)
¹ Includes fire claims of TShs 722 million

Performance

RENEWAL RATE

88%
(2018: 85%)

CLAIMS RATIO

37%
(2018: 39%)

Non-medical

26%
(2018: 37%)

Medical

95%
(2018: 90%)

Renewed business ↑ 28%

New business ↑ 28%

Driven by the expansion of the bancassurance and agency channels

AVERAGE INVESTMENT RETURN

11%
(2018: 11%)

SOLVENCY

164%
(2018: 395%)

The Tanzanian operation established a service office on the island of Zanzibar during the year.

A more integrated policy administration system, which enhances customer service, data management and management information was successfully implemented during the year.





Employees and intermediaries

Providing an environment for our people to thrive

At Liberty Kenya our employees are central to our success. They are unique individuals with dreams, aspirations and a desire to develop themselves and their careers for a better tomorrow.

Our intermediary channels, including tied and independent financial advisers, brokers and agents represent the best in the industry and provide responsible and objective advice to our customers.

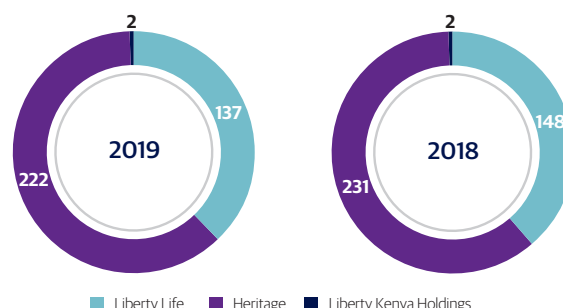
We understand the significance of attracting, retaining and growing both internal and external talent to enable the delivery of the right solutions to our customers, effectively and efficiently. We offer competitive pay and benefits to our employees and commissions that are aligned to the market to our representatives.

Employee-related material matters demonstrate Liberty Kenya's ability to provide an environment in which they can thrive, where they are motivated to provide high levels of customer service, are enthusiastic about Liberty Kenya's success and optimistic about their future careers.

Similarly, we must provide effective training on the products and solutions which meet the needs of our customers, support our various distribution channels with the necessary infrastructure, therefore facilitating sales through third parties.

Human resources in Kenya is a shared resource, supporting both Liberty Life and Heritage operations. Our people offerings are centralised and are in the process of being standardised, ensuring a uniform experience across the two brands. Our people priorities are anchored by the right employee experience, making it imperative that employee lifecycle events receive the desired level of engagement and correct emphasis.

Employees

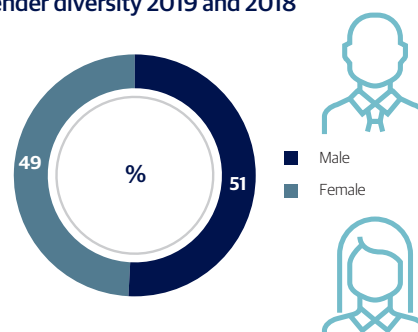


During the year we closed three branches and combined them either with the Mombasa or head office branches. We also finalised our organisational redesign to support the one company, two brands strategy. This reorganisation leads to the establishment of centres of excellence, supporting both brands and the elimination of cash collections from our business.

WE SAW A SLIGHT INCREASE IN THE OVERALL VOLUNTARY EMPLOYEE TURNOVER FROM

8.0% to 9.7%

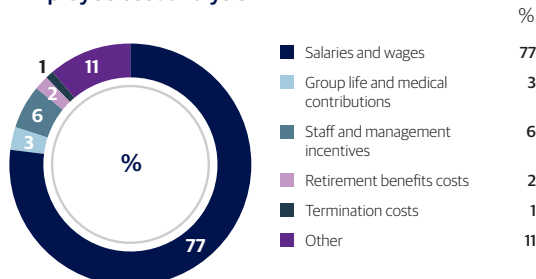
Gender diversity 2019 and 2018



We maintained our balanced workforce, consciously promoting women to management positions to benefit from diversity at this level.

WE CONTINUED WITH OUR ORGANISATIONAL REDESIGN, CREATING CENTRES OF EXCELLENCE THAT WILL BRING OUR TWO BRANDS CLOSER TOGETHER - FOR THE SPECIFIC BENEFIT OF THE CUSTOMER.

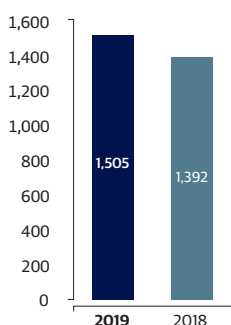
Employee cost analysis



All employees, including management, have performance management contracts, agreed key performance indicators, been instructed in the performance management process, and undergo bi-annual performance reviews. These reviews assist employees to understand their roles, deliverables and performance against targets. Non-performance results in establishing development plans to support improved performance.

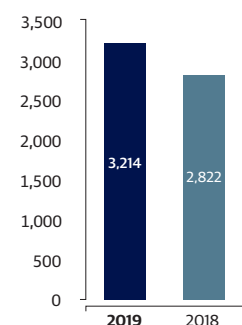
Total remuneration costs

KShs' 000



Average fixed remuneration per employee

KShs' 000



Remuneration packages are geared to each employee's level of influence and role complexity. The balance between guaranteed and variable pay is appropriately structured and does not reward risk-taking outside of board-approved risk mandates. All employees have some level of variable pay as part of their remuneration package. The average salary increase across the group was 6%.

TRAINING COSTS

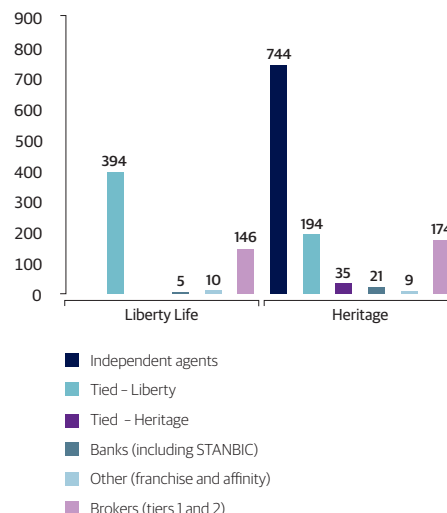
KShs 22 million

(2018: KShs 15 million)

We continue to invest in developing our employees, providing role-specific training, together with leadership and management development. During 2019 a total of 353 employees (2018: 382) received at least some form of training.

In addition, we provide job experience for student actuaries as part of our commitment to the industry and promoting Liberty Kenya as a preferred employer.

Distribution participants



We actively manage our various distribution channels to maximise the value such channels create for both Liberty Kenya and the channel participants.

The tied agency channel contributes approximately 92% of Liberty Life's annual policy count with bancassurance channels contributing 8%. Agent productivity improved marginally in 2019 and a variety of initiatives were implemented to achieve this, including a revision of the remuneration structure. Our longer-term objective is to restructure the agency workforce management system through targeted management development. Further development of agents will be delivered through the use of the Mind My Money financial literacy programme to further professionalise the workforce and assist in accessing the employer market.

Brokers contribute approximately 41% to Heritage Kenya's gross written premium, followed by agents at 25%, and bancassurance agreements at 18%. Approximately 16% of Heritage's gross written premium arises from direct sales.

We support independent brokers with product knowledge, with more than 30 brokers being trained on the Auto Correct product. Product revision training is also provided when considered necessary.

Our widely distributed branches combined with independent agents make a significant contribution to Heritage's retail gross written premium. Despite closing three branches in 2019, we increased the number of independent agents by 18%. Agents and branch staff are provided with product training. Agents participate in sales competitions.



Regulators

Enhancing our reputation and building trust through compliance and ethical behaviour

Our stakeholders expect us to manage business risk and behave in an ethical manner that ensures compliance with the form and substance of laws, regulations, codes and standards.

Liberty Kenya is regulated by the Capital Markets Authority, engages with the Nairobi Stock Exchange (NSE) and the Central Depository and Settlement Corporation Limited. Its two Kenyan subsidiaries are regulated by the Insurance Regulatory Authority. Liberty Life Kenya is also regulated by Retirement Benefits Authority. Heritage in Tanzania is regulated by the Tanzania Insurance Regulatory Authority.

Through our governance structures and processes we aim to anticipate, meet and exceed the requirements of the increasing regulation of our industry. We strive to conduct our business in a responsible manner from managing our environmental footprint to protecting customers' and employees' personal information. Ultimately our goal is to manage our business in a safe, secure and profitable manner for the benefit of all stakeholders, build trust and enhance our reputation and that of the industry.

Despite the amendment to the Kenyan Insurance Act, which now requires a company's deferred tax liability to be treated as an admissible liability when computing its solvency, Liberty Life maintained its solvency ratio and Heritage improved its solvency ratio during the year. This improvement was the result of a reduction in credit risk through the collection of premium debtors following the introduction of the cash before cover legislation.

To meet anticipated regulatory changes, Heritage Kenya increased its tier 1 capital by issuing additional share capital during the year to KShs 1 billion (2018: KShs 500 million).

Liberty Life's actuarial department produces a full analysis of surplus on an annual basis. This exercise is verified by an external third-party statutory actuary consultancy. The analysis of surplus provides the board and management with sight of the sources of profits and losses by business class and product.

Board members are informed quarterly of new and anticipated legislation. In addition, all directors participated in corporate governance training in October 2019 as part of the annual governance compliance programme.

Following on from Liberty SA's risk and compliance enhancement programme which commenced in 2017, Liberty Kenya implemented a similar project to identify and address internal control weaknesses. At year end, the project was some 70% complete and management reported an overall improvement in internal controls.

The Unclaimed Financial Assets Act, 2011 came into force on 16 December 2011. The Act provides a legislative framework for dealing with unclaimed (abandoned) financial assets in Kenya. Section 38 of the Act established the Unclaimed Financial Assets Authority (UFAA), whose primary mandate is to receive unclaimed financial assets from the holders, safeguard and reunite the assets with their rightful owners.



Maintained a capital level in excess of regulatory requirements and managed the business within risk appetite

Liberty Life
SOLVENCY RATIO
212%
(2018: 213%)

Heritage Insurance Kenya
SOLVENCY RATIO
310%
(2018: 248%)

Heritage Insurance Tanzania
SOLVENCY RATIO
164%
(2018: 395%)

Liberty Kenya filed its annual UFAA return on 1 November 2019 and released KShs 734,188 of unclaimed dividends to the authority. This was for unclaimed dividends for the period 2015/2016. During the fourth quarter, the authority engaged a firm of independent auditors to affirm Liberty Kenya's compliance status. The auditors established that Liberty Kenya was fully compliant and did not find any issue to highlight.

During 2019, Liberty Kenya and its subsidiaries were compliant in all material respects with the requirements of the Companies Act, the Companies Act Regulations, the Insurance Act, the Insurance Act Regulations and Guidelines, the Retirement Benefits Act, the Retirement Benefits Act Regulations and the Income Tax Act.

When determining bonuses, Liberty Life considers all generations of policyholders, neither advantaging nor disadvantaging a particular group. Over-declaring bonuses in one year will be advantageous to policyholders surrendering and disadvantageous to those staying as the additional bonus will have to be recouped from future returns. Meeting this objective is achieved by maintaining a bonus stabilisation reserve between -15% to +5% of assets.

The credit ratings of both Liberty Life and Heritage were reviewed by Global Credit Ratings (GCR). As a reflection of the operating companies' national scale and financial strength, GCR re-rated both companies to AA from AA-.



Investors

Delivering sustainable financial returns

Liberty Kenya has two main lines of business that generate value, namely long-term insurance (risk and investment products) and general insurance (short-term risk business).

Through the operations of its subsidiaries, Liberty Kenya earns income from these activities in the form of underwriting profits, fees and commissions. Additional value is created by the efficient management and investment of available capital, being the financial capital held for regulatory requirements.

Liberty Kenya's primary basis of value measurement for investors is return on equity. Earnings per share, share price growth and dividends paid are the tangible gauges of value created for shareholders.

Return on equity

9.5%
(2018: 7.5%)

Group profit for the year of KShs 740 million represents a year-on-year increase of 34.7%. Total equity at 31 December increased by 5.4% during the year.

Earnings per share

KShs 1.31
(2018: KShs 0.92)

The increase in year-on-year profit is also reflected in the basic and diluted earnings per share figure.

Share price (At 31 December)

KShs 10.35
(2018: KShs 12.90)

During 2019, Liberty Kenya's share price declined by nearly 20%. Overall volumes traded were small demonstrating that most shareholders regard the company as a long term sound investment.

Dividends paid to ordinary shareholders

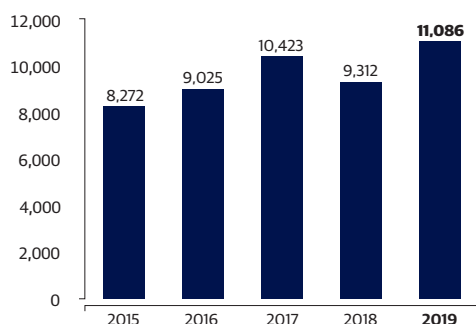
**KShs 268
million**
(2018: KShs 268 million)

The KShs 268 million of dividends paid to ordinary shareholders relating to 2018 financial year represents KShs 0.50 per share.

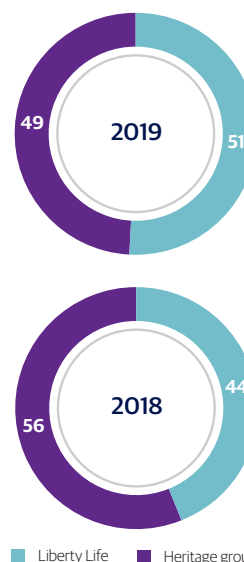
The directors, having taken note of the potential impact of the COVID-19 pandemic and related impacts on the prevailing market and economic conditions on the capital and liquidity of the operating subsidiaries, do not recommend payment of a dividend in 2020 for 2019.

Total income

KShs million



Total income contribution %

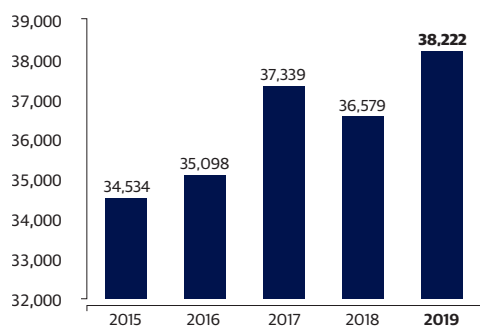




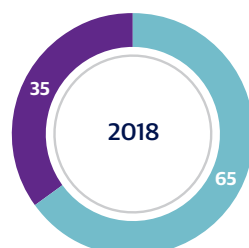
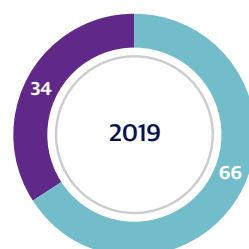
Investors (continued)

Total assets

KShs million



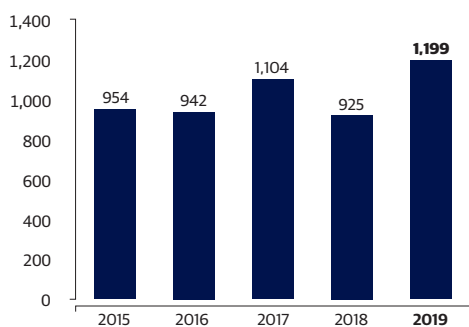
Total assets contribution %



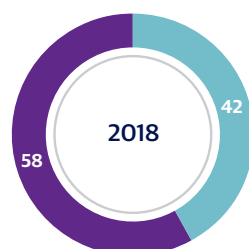
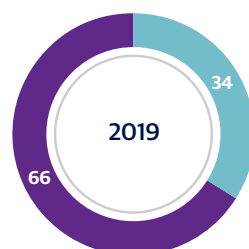
Liberty Life Heritage group

Profit before tax

KShs million



Profit before tax contribution %



Liberty Life Heritage group

Liberty Life Kenya

RETURN ON EQUITY	CLAIMS RATIO	SOLVENCY	EXPENSE RATIO	TOTAL ASSETS	LIABILITIES UNDER INSURANCE AND INVESTMENT CONTRACTS
11.5%	40%	212%	21%	KShs 24,581 million	KShs 19,699 million
(2018: 11.3%)	(2018: 53%)	(2018: 213%)	(2018: 22%)	(2018: KShs 23,702 million)	(2018: KShs 18,637 million)

Operating results

Key metrics

KShs million	2019	2018	% change
Gross earned premiums	2,828.2	2,794.3	1.2
Net earned premiums	2,623.1	2,601.3	0.8
Commissions earned	72.3	122.4	(40.9)
Total investment income	2,926.1	1,548.2	89.0
Claims and policyholder benefits	3,532.4	2,290.6	54.2
Net claims and policyholder benefits	3,478.2	2,302.1	51.1
Commission expenses	436.6	356.0	22.7
Operating and other expenses	1,240.5	1,155.6	7.3
Profit before tax	478.6	473.9	1.0

The disappointing growth in premium income reflects the difficult economic conditions faced by both individuals and corporates. The group risk business outperformed the retail life operations.

Renewal rates in the group life business area increased by approximately 6% year on year while new business increased by 19% year on year through partnering with our Heritage colleagues to cross-sell products. The broker channel exceeding its targets and there was continued growth from the bancassurance channel.

The persistency rate for our retail life business improved marginally during 2019 to 72.3%. Despite improved productivity, new business in the retail life business was down 11% on 2018, due to low productivity of the agency workforce. The overall policy count fell by approximately 4% over the year.

VALUE OF NEW BUSINESS

KShs 149 million

(2018: KShs 116 million)

VALUE OF NEW BUSINESS MARGIN

2.23%

(2018: 2.78%)

The value of new business is a good measure of the economic value of profits likely to emerge in future from new business. It is also a good measure of the quality of underwriting practice, from product development, pricing, distribution, servicing of the book and other customer experience measures as well as profitability to shareholders.

New business within the retirement savings class included the deposit administration and Boresha Maisha funds, which almost doubled during 2019. Growth in the Boresha Ustaafu (income drawdown) fund business was disappointing, although there were significant prospects at year end.

The 89% year on year increase in total investment income reflects the improved local equity returns, especially amongst the banks following the lifting of the interest rate cap. Lower market yields also resulted in capital gains on the company's fixed income investments.

The sharp increase in policyholder benefits is the result of increased reserving for the Boresha Maisha fund given the rise in contributions and good investment returns.

The organisational redesign project costs and the concomitant redundancy costs were mainly responsible for the increase in operating costs. However, the operating costs ratio of 21.0% (2018 21.4%) showed a year on year improvement.



Investors (continued)

Heritage group



RETURN ON EQUITY

17.5%

(2018: 12.0%)

SOLVENCY KENYA

310%

(2018: 246%)

SOLVENCY TANZANIA

164%

(2018: 395%)

TOTAL ASSETS

KShs 12,485 million

(2018: KShs 11,633 million)

LIABILITIES UNDER INSURANCE CONTRACTS

KShs 3,598 million

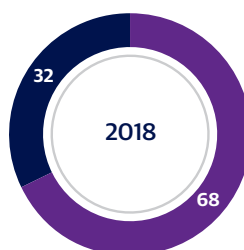
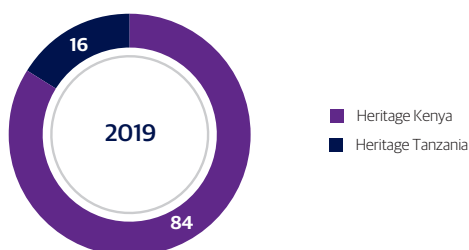
(2018: KShs 3,452 million)

Operating results – (Heritage Insurance Kenya and Heritage Insurance Tanzania)

Key metrics

KShs million	2019	2018	% change
Gross earned premiums	7,942.9	7,423.3	7.0
Net earned premiums	4,099.8	3,707.9	10.6
Commissions earned	757.4	721.6	5.0
Claims and policyholder benefits	3,355.8	3,705.1	(9.4)
Net claims and policyholder benefits	1,733.5	1,891.4	(8.3)
Commission expenses	949.6	810.1	17.2
Operating and other expenses	1,869.0	1,673.5	11.7
Profit before tax	927.7	649.4	42.9

Contribution to profit after tax %



Operating results – Heritage Kenya

Key metrics

KShs million	2019	2018	% change
Gross earned premiums	5,585.9	5,528.3	1.0
Net earned premiums	3,406.3	3,146.2	8.3
Commissions earned	462.5	524.5	(11.8)
Claims and policyholder benefits	2,514.8	3,131.0	(19.7)
Net claims and policyholder benefits	1,475.6	1,673.7	(11.8)
Commission expenses	610.8	612.1	(0.2)
Operating and other expenses	1,511.9	1,395.2	8.4
Profit before tax	854.5	527.5	62.0

The growth in premium income was subdued in 2019 largely due to the difficult operating environment. This is evidenced by the poor annual growth of only 3.7% for the industry as a whole.

In January 2019 the Kenyan Insurance Regulatory Authority issued a circular prohibiting the payment of any form of administration fee to insurance intermediaries. Whilst there was a run-off of these administration fees, Heritage was fully compliant by the end of the year, having a significant influence on where intermediaries channel their business.

Heritage Kenya recorded a renewal rate of 72% and grew its new business by 31%. Most of the clients lost were on account of pricing especially in the medical business.

Due to improved premium collections and favourable claims ratios, assets under management increased by 1%. The company divested from all equity investments with the exception of STANLIB's IReit by the third quarter of the year. This is in line with desire to reduce the risk of volatility in earnings. A new type of premium debt provision at 2% of written premium was introduced in the year.

There was a fundamental change in the reinsurance arrangement for the company's medical business, reducing the business being ceded to reinsurers, improving the average retention ratio to 61% (2018: 57%) but leading to a decrease in commission income.

The business recorded an improved claims experience in all product categories.

There was marked improvement in profitability except in the medical business. Although the loss ratio for the medical class improved in 2019, management reviewed the expense allocation methodology resulting in an increased percentage cost allocation to this class.

The company adopted outstanding claims reserve discounting. The board approved the phased-release of the discounting adjustment between May 2019 and December 2020. Due to better claims management, the incurred but not reported percentages were also reduced in the year.

Factors impacting on operating costs and other expenses include the following:

- The provision for doubtful premium debts in the year was based on a historical average of 2% that remains uncollected after one year. The impact of this was an increase in bad debts provision net of collections.
- The adoption of IFRS 16 Leases required all lessees to recognise a right-of-use asset and the corresponding lease liability. The right-of-use asset is amortised over the duration of the lease. The adoption of this standard corresponded with the renewal of the lease for Liberty House.
- The company closed three branches resulting in the write-down of fixtures and fittings.

Operating results – Heritage Tanzania

Key metrics

KShs million	2019	2018	% change
Gross earned premiums	2,357.0	1,895.1	24.4
Net earned premiums	693.5	561.7	23.5
Commissions earned	294.9	197.1	49.6
Claims and policyholder benefits	841.0	574.1	46.5
Net claims and policyholder benefits	257.9	217.7	18.5
Commission expenses	338.8	198.0	71.1
Operating and other expenses	357.1	278.4	28.3
Profit before tax	153.0	202.6	-24.5

The results of the Tanzanian subsidiary were significantly impacted by the adoption of IFRS 16 Leases, which requires lessees to capitalise all significant lease arrangements on inception of the lease as right-of-use assets, with corresponding finance lease liabilities on the statement of financial position. These lease charges, together with the introduction of administration fees during the year, are reflected in the increase in operating and other expenses.

The payment of administration fees and the expansion of the bancassurance channel resulted in a notable increase in gross earned premiums. The business recorded a renewal rate of 88%.

The overall loss ratio of 37% represents an improvement on the prior year of 39%. The year on year increase in claims arose mainly from higher fire and medical claims in the last quarter of the year. Accident and aviation claims declined significantly in 2019.

Commission expenses reflect the increase in fire business and inward reinsurance business recorded during the year.



Civil society

We seek to play a meaningful role in society by strengthening communities, understanding and managing our environmental impacts and contributing to the economies in which we operate.

Liberty Kenya's success is inherently linked to the prosperity and wellbeing of the societies in which we operate. Through active risk management and sound relationships, our products enable customers to mitigate against life's traumatic events and grow their wealth for retirement.

The value created for customers must also translate into value for other stakeholders, including investors, employees and civil society. To this end, our corporate social investment strategy considers education, health and targeted sponsorships as opportunities for growth, innovation and differentiation.

Our board-approved CSI policy focuses mainly on education as the key pillar, while incorporating other areas of national significance. The CSI policy has the following guiding principles:

1

**Strategic
relevance**

Concerned primarily with education needs in the society

2

**Proportional
payback**

Expenses incurred and resources allocated are covered by the notional value of the benefit derived by ensuring customer loyalty and employee satisfaction

3

Substance

Sufficient to make a real and measurable impact on society

4

Sustainability

Projects should be sustainable for the impact to be felt by the intended beneficiaries

In approving the CSI policy, the board considered its impact on the company's products, services, operations and procedures to ensure they balance the needs of all stakeholders especially shareholders, employees, customers and the community at large.

Creating societal value and preserving our natural capital

Education

IN 2019 A TOTAL OF

118

high school students were selected for the Liberty Life grants scholarship programme

Of these, 99 were continuing students and 19 were new selections – six on full scholarships and 13 on partial scholarships. Heritage sponsored 50 students, 25 in high school and 25 in university programmes.

HERITAGE KENYA SPONSORED

50 students

25 in high school and
25 in university programmes.

A two-day mentorship programme for scholarship beneficiaries was conducted in April, at which staff members interacted with the students. A total of 98 students participated in the complementary Evolve programme, aimed at developing Kenya's next leaders.

We conduct regular visits to schools to maintain close relationships with the students on the programme and the schools where they study. The aim of these visits is not only to engage the scholarship students, but also to provide mentorship to the greater school community and explore additional areas of partnership. Alumni of Liberty Kenya scholarship programmes and current staff members conduct these activities.

LIBERTY INVESTED A TOTAL OF

KShs 12 million

in education in 2019
(2018: KShs 15 million)



Health

In June 2019, Liberty Kenya sponsored the 9th edition of the Association of Kenyan Insurers (AKI) medical camp held in **Isinya Medical Centre** in Kajiado County. The aim of these medical camps is to raise awareness of common diseases and ailments, promote good nutrition and to offer diagnostic treatment and referral services to the community. The medical camps bring together insurance companies, community, medical personnel from nearby hospitals and health facilities.

Liberty Kenya staff participated in the **Nyeri Hospice Charity Walk** in September 2019 at Dedan Kimathi Stadium in Nyeri. The event was aimed at raising funds for the construction of an in-patient wing to respond to the growing needs of patients. Nyeri Hospice provides palliative care to patients with life-limiting illnesses from cancer, HIV/Aids and non-communicable diseases within the Mount Kenya region. The hospice also offers home-based care and outpatient palliative care services to patients.



Liberty Kenya staff participated in the Kenya Society for the Blind charity climb in September at **Mount Longonot**. The annual event aims at raising funds to promote the welfare of the visually impaired, treat and prevent avoidable blindness and rehabilitation.



In November 2019, the CSI committee undertook a cancer awareness activity in **Eldoret**. There were two main events: a breakfast discussion on cancer matters in partnership with Faraja Cancer Support Trust and a medical camp tent in conjunction with **St Luke Hospital** at the Eldoret office reaching out to residents in Eldoret town. The aim was to create awareness and share information pertaining to cancer.

Sponsorship

In May 2019, Liberty Kenya sponsored the annual Mater Heart Run at KICC, the main fundraising avenue for the cardiac programme in Kenya.

We also supported the sixth Annual Faraja Cancer Trust **White Water Rafting Challenge**. The annual event raises funds for cancer patients and their caregivers – with the bulk of the funds going towards financing the trust's operations. Teams from both Liberty Life and Heritage participated in the event.



The CSI team took part in the 2019 **Starehe Girls' Centre** Charity Walk in June. The annual event aims at raising funds in support of educating girls from underprivileged backgrounds across the country. The 10-kilometer walk was held at the **Ngong Forest Sanctuary**, with the company team walking side by side with students on the scholarship programme.



Finally, Liberty Kenya supported the annual **Starehe Boys' Centre** founders' day in July. This event is held by the Starehe Boys' Centre fraternity to commemorate the year the school was founded.





04

Annual report and financial statements

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Liberty Kenya Holdings Plc (LKH) is incorporated in Kenya under the Kenyan Companies Act, 2015 as a limited liability company, and is domiciled in Kenya. Liberty Holdings Limited (LHL), a South African registered investment holding company owns 57.74% of LKH.

The company was listed on the Nairobi Securities Exchange on 21 April 2011.

Directors

		First appointed
P Odera (Chairman)		2/09/2016
M du Toit (Managing Director)		17/12/2008
P Gethi (Non-executive)		17/12/2009
G May (Non-executive)		17/12/2009
G Ogallo (Non-executive)		10/06/2019
J Hubbard (Non-executive)		16/06/2017

Secretary

C Kioni (Ms)
PO Box 30390-00100
Nairobi

Independent auditor

KPMG Kenya
Certified public accountants
8th Floor, ABC Towers Waiyaki Way
PO Box 40612-00100
Nairobi

Registered office

LR No 209/8592/2
Liberty House
Mamlaka Road
P.O. Box 30390-00100
Nairobi

Governance auditor

Dorion associates
Thompson Estate, Diani close, Compound 7, Hosuse 3
Nairobi

Share registrar

Image Registrars Limited
Securities, Registrars and Trustees
5th Floor
Barclays Plaza, Loita Street
PO Box 9287-00100 GPO
Nairobi

Lawyers

Coulson Harney Advocates
5th Floor, ICEA Lion Centre
Riverside Park, Chiromo Road
PO Box 10643-00100
Nairobi

Principal bankers

Stanbic Bank Kenya Limited
Stanbic Centre, Chiromo Road
PO Box 72833-00200
Nairobi

Subsidiaries

- Liberty Life Assurance Kenya Limited (100%)
- The Heritage Insurance Company Kenya Limited (100%)
- Heritage Insurance Company Tanzania Limited (60%)
- CfC Investment Limited (100%)

Directors' responsibility for financial reporting

The directors are responsible for the preparation and presentation of the consolidated and separate financial statements of Liberty Kenya Holdings Plc (group and company) set out on pages 60 to 120 which comprise the group and company statements of financial position as at 31 December 2019, the group and company statements of comprehensive income, the group and company statements of changes in equity and the group and company statements of cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

The directors' responsibilities include: determining that the basis of accounting described on page 66 is an acceptable basis for preparing and presenting of the consolidated and separate financial statements in the circumstances, preparation and presentation of consolidated and separate financial statements in accordance with International Financial Reporting Standards (IFRS) and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenya Companies Act, 2015 the directors are required to prepare financial statements for each financial year which give a true and fair view of the financial position of the group and the company as at the end of the financial year and of the profit or loss of the group and company for that year. It also requires the directors to ensure that the group and company keeps proper accounting records which disclose with reasonable accuracy the financial position of the group and the company.

The directors accept responsibility for the annual consolidated and separate financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with IFRS and in the manner required by the Act. The directors are of the opinion that the financial statements give a true and fair view of the financial position of the group and the company and of the group's and the company's profit or loss.

The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of consolidated and separate financial statements, as well as adequate systems of internal financial control.

The directors have made an assessment of the group's and the company's ability to continue as a going concern and have no reason to believe the group and the company will not be a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The consolidated and separate financial statements, as indicated, were approved and authorised for issue by the board of directors on 26 May 2020.



P Odera
Chairman



M du Toit
Managing Director

The directors submit their report together with the audited consolidated and separate financial statements for the year ended 31 December 2019, in accordance with the Kenya Companies Act, 2015, which disclose the state of affairs of Liberty Kenya Holdings Plc and its subsidiaries (together the "group").

1. Principal activities

The group is engaged in the business of insurance and wealth management through its subsidiaries namely Liberty Life Assurance Kenya Limited, Heritage Insurance Company Kenya Limited, Heritage Insurance Tanzania Company Limited and CFC Investments Limited. The group underwrites classes of long-term in Kenya and all general insurance in Kenya and Tanzania as defined in the Kenyan Insurance Act and Tanzania Insurance Act except for bond investments. It also issues investment contracts in Kenya to provide customers with asset management solutions for their savings and retirement needs.

2. Results and dividend

Profit for the year ended 31 December 2019 was KShs 740,393,000 (2018: KShs 549,526,000). In consideration of the uncertainty the Covid-19 pandemic is causing the directors do not recommend a dividend (2018: KShs 0.50 per share).

3. Directors

The names of the directors who held office during the year and to the date of this report are set out on page 26 and 49.

4. Relevant audit information

The directors in office at the date of this report confirm that:

- There is no relevant information of which the company's auditor is unaware; and

- Each director has taken all the steps that they ought to have taken as a director to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

5. Employees

The number of people employed by the group at the end of the year was 361 (2018: 381). Of the 361 members of staff employed by the group at 31 December 2019, 203 are male and 158 are female.

The group also had an average of 39 employees in management and 322 in non-management (2018: management 38, non-management 343).

6. Auditor

The company's auditor, KPMG Kenya, have expressed their willingness to continue in office in accordance with section 721 of the Kenyan Companies Act, 2015.

7. Business overview

The group earnings for the year ended 31 December 2019 increased by 35% over 2018.

Sections 1-3 of the integrated report contain business review, governance, leadership, risk management and how the group delivers value to its shareholders.

The table below shows the key items that had the largest impact on the earnings and how they moved in comparison to 2018.

Summary profit after tax by entity

	December 2019 KShs'000	December 2018 KShs'000	Change
Heritage Insurance Kenya Limited	609,133	380,648	60%
Heritage Insurance Tanzania Limited	97,976	139,537	(30%)
Heritage group	707,109	520,185	36%
Liberty Life Assurance Kenya Limited	320,089	308,470	4%
Liberty Kenya Holdings Plc	278,131	(28,466)	>100%
Total	1,305,329	800,189	63%
Consolidation entries	(564,936)	(250,663)	
Profit after tax	740,393	549,526	35%

Consolidation entries

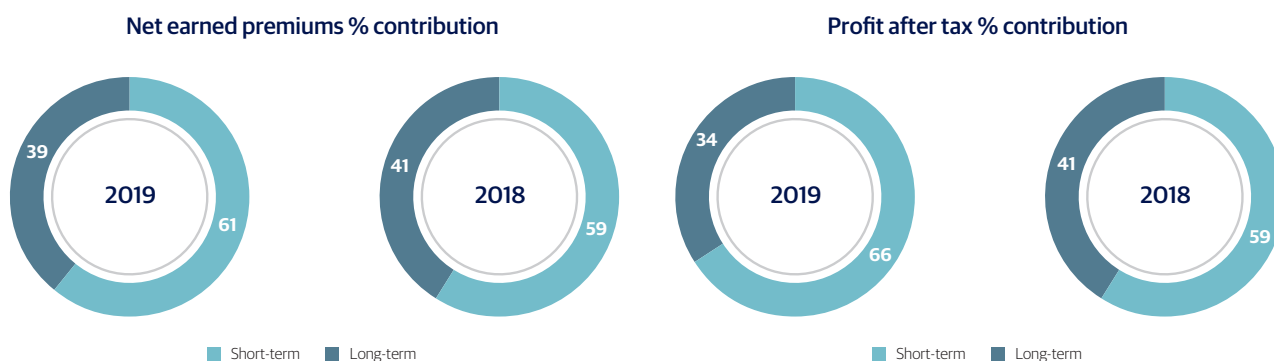
	December 2019 KShs'000	December 2018 KShs'000
Dividends from Heritage Insurance Kenya Limited	223,000	328,000
Dividends from Liberty Life Assurance Kenya Limited	271,000	370,000
Dividends from CFC Investments Limited	-	102,669
Dividends from Heritage Insurance Tanzania Limited	79,865	80,786
IFRS 16 elimination*	(8,929)	-
Impairment of subsidiary	-	(630,792)
	564,936	250,663

*IFRS 16 eliminations relate to the portion of lease that Heritage Insurance Kenya Limited takes up from a related party - Liberty Life Assurance Kenya Limited

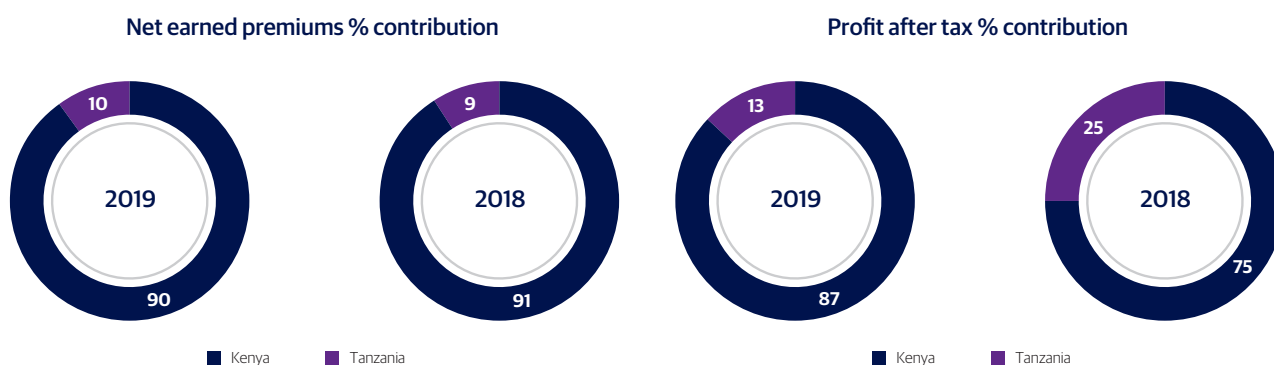
Directors' report (continued)

8. Segment information

Results by business unit



Results by geographical spread



Detailed segment information is shown on page 68-70

9. Covid-19

The COVID-19 coronavirus poses a significant threat to global health and the World Health Organisation (WHO) has officially characterised the situation as a pandemic. Although the WHO is currently of the view that all countries, leaders and populations can still change the course of this pandemic through mitigation measures, there is concern that countries may not implement the measures required to suppress and control its spread. The spread of COVID-19 is having significant impacts on global investment markets and it further poses material business continuity and insurance risks to the group. Contingency plans and mitigating actions are being introduced. With the rapidly evolving situation, developments are being closely monitored so that appropriate actions are taken.

10. Approval of financial statements

The financial statements were approved and authorised for issue by the board of directors on 26 May 2020.

By order of the board

C. Kioni
Company Secretary

Directors' remuneration report

Liberty Kenya Holdings Plc (Liberty) hereby presents the Directors' Remuneration Report for the year ended 31 December 2019. This report is in compliance with the Liberty group's remuneration policy, the Capital Markets Authority Code of Corporate Governance Guidelines on director's remuneration and the Companies Act, 2015. A key provision of the company's principles is that reward will directly support the business strategy with clear and measurable linkage to business performance.

Our remuneration system seeks to recognise the contribution individuals make to the success of the company and reflect the value of the roles they are performing, as well as the level to which they perform them. Our approach to recognising our employees' contribution to the business is based on the principles of:

Market: Our remuneration levels reflect the competitive market and compare favourably with relevant competitors for such skills.

Communication: We aim to give details to every employee of the component values of their total remuneration package and the criteria that may affect it.

Effectiveness: We aim to seek out best practice and ensure our remuneration programmes remain effective for the business and individuals.

Overall: Our remuneration components are reviewed regularly and are subject to external benchmarking to ensure that we continually offer competitive total reward packages. We are committed to ensuring appropriate remuneration and recognition is applied in a fair and consistent manner

Details of directors

Name	Position
Mr. Philip Odera	Non-executive (Chairman)
Mr. Mike du Toit	Executive (Managing Director)
Mr. Gayling May	Non-executive
Mr. Peter Gethi	Non-executive
Mr. Jeff Hubbard	Non-executive
Ms. Gladys Ogallo	Non-executive

Non-executive directors retire on rotation after serving three years, and are eligible to seek re-election by shareholders in accordance with the company's articles of association at annual general meetings. The chairman and non-executive directors do not have service agreements.

Directors' appointment and retirement term

Director	Appointment	Retirement date by rotation at the AGM
Mr. Philip Odera	2-Sep-16	2020
Mr. Mike du Toit	17-Dec-08	Executive (No rotation)
Mr. Gayling May	17-Dec-09	2020
Mr. Peter Gethi	17-Dec-09	2021
Mr. Jeff Hubbard	16-Jun-17	2020
Ms. Gladys Ogallo	10-Jun-19	2022

Remuneration policy for the non-executive chairman and non-executive directors

The remuneration of the non-executive chairman and non-executive directors is determined by the Directors' Affairs Committee of the company. These board members receive annual fees and allowances for attending meetings. Non-executive roles are not entitled to any performance related pay or pension.

The fees for non-executive directors are set at a level that is considered appropriate to attract individuals with the necessary experience and ability to oversee the business. Fees are paid in cash.

The amount of fees reflects the commensurate responsibility and time commitment given to the board and board committees.

The company's policy is to appoint the non-executive directors for an initial three-year period, which may be extended for a further term by mutual consent or via approval by shareholders at an annual general meeting. The initial appointments and any subsequent reappointments are subject to annual election or re-election by shareholders.

The appointment of non-executive directors is subject to a formal appointment and induction process. The approval from the Capital Markets Authority is a prerequisite for the formal appointment of any director.

Executive directors remuneration

The remuneration of executive directors is determined by the Director's Affairs Committee and is with commensurate market and levels of responsibility.

Board evaluation

The performance of board members and the board collectively is based on board evaluations conducted periodically. The evaluation is in the form of a questionnaire that is completed individually and reviewed together. The questionnaire is designed to capture key matrixes that are considered important for the strategic direction of the group. Some of the key matrix assessments are as follows:

- Structure of the board and composition
- Process, training and conduct of meetings
- Effectiveness

The list of the reward components

Directors' fees and benefits are as follows and are subject to periodic review taking into account market practice and the role of the directors.

1. Retainer fees

This is competitive taking into account market rates of pay. Fees are reviewed by the Directors' Affairs Committee every two years after a survey of prevailing market movements. Any increases are determined in accordance with the business's ability to fund the increase. Retainer fees are paid on a quarterly basis.

2. Attendance fees

Non-executive directors are paid an attendance fee in recognition of the time spent attending board or committee meetings as well as meetings for the subsidiary companies. These are also benchmarked on market rates and trends.

3. Insurance cover

The group provides directors' and officers' liability insurance cover in line with best practice.

4. Travel and accommodation when on company business

Liberty caters for travel and accommodation costs in line with its travel and entertainment policy in place for directors attending board and company related meetings and matters.

Changes to directors' remuneration

Non-executive directors fees were increased by an overall 8% effective July 2019, the last increase being in 2016.

For the financial year ended 31 December, 2019, the total non-executive directors remuneration in KShs 000s was KShs 6,060 (2018 - KShs 4,350) and for executive directors was KShs 93,274 (2019 - KShs 96,795).

The total amount of emoluments paid to directors for services rendered during the year 2019 is also disclosed in Note 34 to the Financial Statements.

Directors' remuneration report (continued)

KShs '000	2019			2018		
	Retainer fees	Attendance fees	Total	Retainer Fees	Attendance Fees	Total
Mr. P Odera	498	1,110	1,608	340	571	911
Mr. Dr. Susan Mboya	-	-	-	324	480	804
Mr. Gayling May	366	1,091	1,457	309	1,058	1,367
Mr. Peter Gethi	366	1,153	1,519	309	959	1,268
Ms. Gladys Ogallo	212	468	680	-	-	-
Mr. Jeff Hubbard (i)	-	-	-	-	-	-
Member of the audit and risk committee of the subsidiary boards						
Mr. Rajesh Shah	366	430	796	-	-	-
Total	1,808	4,252	6,060	1,282	3,068	4,350

ⁱ Retainers and board attendance fees are only paid to non-executive directors. Mr. Jeff Hubbard is the nominated director representing the controlling shareholder, Liberty Holdings Limited. No fees were charged for his services as a director for 2019 or 2018.

ⁱⁱ The cost incurred by the company to purchase insurance cover on behalf of directors amounted to KShs. 560,000 (2018: KShs 555,000).

ⁱⁱⁱ No amount was paid as an expense allowance that is not chargeable to income tax, or would befit the director as an individual, or paid to or receivable by the director in respect of qualifying services.

^{iv} No compensation for loss of office was paid to or receivable by any director in connection with the termination of qualifying services in the year.

^v No director is entitled to any compensation upon the termination or end of their tenure as a member of the board.

^{vi} There were no other sums paid to third parties in respect of directors' services.

^{vii} Mr Shah, while not a member of the board, is a member of the audit and risk committee of the subsidiary boards.

Executive director remuneration policy

Service contracts

The managing director is the only executive director of the company. As at 31 December he had a service contract with the company which was terminable by either party giving three months' notice, and expires on 28 February 2020.

Name	Date of contract	Type of contract	Unexpired term	Notice period	Amount payable on early termination
KShs '000					
Mike du Toit	17 December 2008	Renewable contract	2 months	3 months	18,636
The remuneration of the managing director including but not limited to contract terms, monthly pay and participation in the group short term incentive plans are set by the Liberty group Remuneration Committee and endorsed by the Director's Affairs Committee.			in cash and is subject to annual review each year. Judgement is used but consideration is given to a number of internal and external factors including responsibilities, market positioning, and inflation and company performance.		
The salary for the executive director who is also the regional group Executive for East and Central Africa, is set at a level which is considered appropriate to attract an individual with the necessary experience and ability to oversee the businesses across the region. The salary is paid			Neither at the end of the financial year, nor at any time during the year, did there exist any arrangement to which the company is a party, under which the director acquired benefits by means of acquisition of shares in the company or a long-term investment scheme.		

KShs '000	2019	2018
Mike du Toit		
Basic pay	76,108	76,013
Other benefits ⁽ⁱ⁾	11,295	15,498
Bonus	2,476	2,684
Non-cash benefits ⁽ⁱⁱ⁾	3,395	2,600
Total	93,274	96,795

ⁱ Other benefits comprise air passage, accommodation allowance, club membership, telephone, school fees, national social security fund and national hospital insurance fund company contributions.

ⁱⁱ Non-cash benefits consist of company car benefit.

Pension/gratuity: The company does not operate a pension or gratuity scheme to the benefit of the managing director. All benefits are subjected to tax at prevailing PAYE rates.

Approval of 2018 directors' remuneration report

At the annual general meeting held on 7 June 2019, the shareholders approved the directors' remuneration report for 2018. The report was unanimously approved by the shareholders present.

Further, the company conducted a poll as required by the Companies Act to vote on the directors' remuneration report and the results were published on the company's website (www.LibertyKenya.co.ke). It is also a requirement that the tally of the results is observed by an independent person. KPMG was retained to observe the entire process and reported that the results were credible. The poll results are summarised below and were communicated to CMA/NSE on 10 June 2019. Summary of poll results was as follows;

	Number	Percentage	Comments
Total number of shares registered for AGM	471,757,181	88.1%	Of the total shareholding
Number of ordinary shares	535 707 499		
	471,757,181	100.0%	
Total number of valid notes cast	391,901,164	83.1%	Of total attendance at the AGM
Percentage of votes abstentions	79,856,017	16.9%	Of total attendance at the AGM
Resolution		100.0%	
Percentage of votes in favour	391,901,164	100.0%	Of total votes cast
Percentage of votes against	-	0.0%	Of total votes cast
Percentage of votes rejected	-	0.0%	

Approval of the directors' remuneration report

The directors confirm that this report has been prepared in accordance with the Kenyan Companies Act 2015, the Capital Markets Authority (CMA) Code and Listing Rules and reflects the disclosure requirements under IFRS.

By order of the board



C Kioni
26 May 2020

Independent auditor's report

To the members of Liberty Kenya Holdings Plc

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Liberty Kenya Holdings Plc (the group and company) set out on pages 60 to 120, which comprise the group and company statements of financial position as at 31 December 2019, group and company statements of other comprehensive income, group and company statements of changes in equity and group and company statements of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of Liberty Kenya Holdings Plc as at 31 December 2019, and of the consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and in the manner required by Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the consolidated and separate Financial Statements* section of our report. We are independent of the group and Company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants (IESBA Code)* together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the group and company financial statements of the current period. These matters were addressed in the context of our audit of the group and company financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

The key audit matter	How the matter was addressed
Short-term insurance contract liabilities – in the consolidated financial statements, (note 13, detailed accounting policy note 5)	Our audit procedures in this area included, among others;
Short term insurance contract liabilities constitute about 12% of the group's total liabilities. Valuation of these liabilities is highly judgmental, and requires a number of assumptions to be made that have high estimation uncertainty. This is particularly the case for those liabilities that are recognised in respect of claims that have occurred, but have not yet been reported to the group. Small changes in the assumptions used to value the liabilities, particularly those relating to the amount and timing of future claims, can lead to material impacts on the valuation of insurance liabilities. The key assumptions that drive the reserving calculations include graduated development factors, loss ratios, inflation assumptions and claims expense assumptions. The valuation of insurance contract liabilities depends on accuracy of data about the volume, amount and pattern of current and historical claims since they are often used to form expectations about future claims. If the data used in calculating insurance liabilities, or for forming judgements over key assumptions, is not complete and accurate then material impacts on the valuation of insurance liabilities may arise. Consequently, we have determined the valuation of short term insurance contract liabilities to be a key audit matter.	- Evaluating and testing of key controls around the claims handling and reserve setting processes of the group; - Checking for any unrecorded liabilities at the end of the period; - Checking samples of claims reserves through comparing the estimated amount of the reserve to appropriate documentation, such as reports from loss adjusters; - Re-performing reconciliations between the data recorded in the financial systems and the data used in the actuarial reserving calculations; - Re-projecting the incurred but not reported reserve balances using the actuarially-determined reserve percentages per class of business; - Using internal actuarial specialists to evaluate the reserving methodology applied and analytically review the valuation results presented and movements since the previous year end. We focused on understanding the methodologies applied and examined areas of judgement such as changes in valuation assumptions; and - We also considered the validity of management's liability adequacy testing by assessing the reasonableness of the projected cash flows and challenging the assumptions adopted by comparing company and industry experience data and specific product features. - Assessing whether the disclosures appropriately disclosed the judgements which exist when determining the insurance contract liabilities. As part of this, assessing whether the disclosure of the key judgements and assumption made was sufficiently clear.

Report on the audit of the consolidated and separate financial statements (continued)

The key audit matter	How the matter was addressed
Long-term Insurance and deposit administration contract liabilities – in the consolidated financial statements, (note 10, detailed accounting policy note 5) The group has significant long term insurance contract liabilities and deposit administration liabilities representing about 66% of the group's total liabilities. This is an area that involves significant judgement over uncertain future outcomes, mainly the ultimate total settlement value of long-term policyholder liabilities. Economic and operating assumptions, such as investment returns, mortality and persistency (including consideration of policyholder behaviour), expenses and expense inflation, withdrawals and sensitivity analysis are the key inputs used to estimate these long-term liabilities. The assumptions to be made have high estimation uncertainty and changes in the estimates may lead to material impact on the valuation of the liabilities. The valuation also depends on accurate data extraction from the information systems. If the data used is not complete and accurate then material impacts on the valuation of policyholder liabilities may also arise. As a result of the above factors, insurance and deposit administration contract liabilities was considered to be a key audit matter.	Our audit procedures in this area included, among others; • Comparing the assumptions to expectations based on the group's historical experience, current trends and our own industry knowledge; • Assessing the unit fund build-up for the unit-linked products; • Evaluating the governance around the overall group reserving process, including the scrutiny applied by the internal and appointed external actuaries. We assessed qualifications and experience of those responsible and examined the output of the reviews to assess the scope and depth of these processes. Our evaluation of the methodologies and key assumptions enabled us to assess the quality of the challenge applied through the group's reserving process; • Using internal actuarial specialists to evaluate the reserving methodology applied and analytically reviewed the valuation results presented and movements since the previous year end. We focused on understanding the methodologies applied and examined areas of judgement such as changes in valuation assumptions; • Considering the validity of management's liability adequacy testing by assessing the reasonableness of the projected cash flows and challenging the assumptions adopted by comparing company and industry experience data and specific product features; and • We also considered whether the group's disclosures in relation to the assumptions used in the calculation of insurance contract and pension liabilities are compliant with the relevant accounting requirements in particular the sensitivities of these assumptions to alternative scenarios and inputs.
The key audit matter	How the matter was addressed
Premium and reinsurance income and receivables – in the consolidated financial statements, (note 19,20,9) Significant judgment is involved in premium income recognition, determination of unearned premiums and estimation of provisions for uncollected premiums receivables. There are inherent risks in the valuation of insurance and reinsurance receivables and these balances require judgement to be applied by the Directors and Management in the valuation. In addition their processing requires manual adjustments to be made. Due to the significant judgement involved in determination of premium income and receivables, we considered premium income and receivables to be a key audit matter.	Our audit procedures in this area included, among others; • Our audit procedures in this area included, among others; • Evaluation and testing of key controls over the processes designed to record and monitor premium income and insurance and reinsurance receivables; • Inspection of management's aged premium receivable analysis and recoveries as at 31 December 2019 • Understanding the terms of the reinsurance programmes in place and assessing the reasonableness of the reinsurance assets relative to gross provisions. • Testing of the manual adjustments on a sample basis by tracing back to supporting documentation. • Assessing the premium receivables that fall under the scope of IFRS 9 Financial Instruments for impairment; and • Assessing the adequacy and accuracy of disclosures of key judgements and assumptions used in determination of premium income and receivables.

Independent auditor's report (continued)

To the members of Liberty Kenya Holdings Plc

Report on the audit of the consolidated and separate financial statements (continued)

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Integrated Report and Financial Statements, but does not include the Consolidated and Separate financial statements and our auditor's report thereon.

Our opinion on the Consolidated and Separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Consolidated and Separate financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of directors for the consolidated and separate financial statements

As stated on page 50, the Directors are responsible for the preparation of the Consolidated and Separate financial statements that give a true and fair view in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015 and for such internal control, as the Directors determine is necessary to enable the preparation of the Consolidated and Separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the Consolidated and Separate financial statements, the Directors are responsible for assessing the group's and Company's abilities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the group and/or Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the Consolidated and Separate financial statements

Our objectives are to obtain reasonable assurance about whether the Consolidated and Separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated and Separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit.

We also

- Identify and assess the risks of material misstatement of the Consolidated and Separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our unqualified opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's and Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated and Separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and/or company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated and Separate financial statements, including the disclosures, and whether the Consolidated and Separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have compiled with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable related safeguards.

From the matters communicated with Directors, we determine those matters that were of most significance in the audit of the Consolidated and Separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that:

- In our opinion, the information given in the report of the Directors on pages 51 and 52 is consistent with the financial statements; and
- Our report on the financial statements is unqualified.
- The auditable part of the Directors' remuneration report on pages 53 to 55 has been properly prepared in accordance with the Kenyan companies Act 2015

The signing Partner responsible for the audit resulting in this independent auditor's report is CPA Alexander Mbai - P/2172.

KPMG Kenya

Certified Public Accountants
PO Box 40612 - 00100
Nairobi

26 May 2020

Guide to the consolidated and company annual financial statements and notes



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These annual financial statements form an integral part of our annual reporting suite and should be read in conjunction with the Liberty Kenya Holdings Plc annual integrated report for 2019.

Group and company statements of financial position

As at 31 December 2019

KShs'000	Notes	Group		Company	
		2019	2018	2019	2018
Assets					
Intangible assets	3	1,432,035	1,423,572	-	-
Properties	4	1,284,687	1,821,528	-	-
Equipment	5	131,128	157,939	-	-
Right-of-use assets	5	112,158	-	-	-
Interest in subsidiaries	6	-	-	2,571,541	2,571,541
Deferred taxation	12	230,766	221,494	-	-
Deferred acquisition costs	7	128,529	72,268	-	-
Reinsurance assets		2,739,290	2,701,761	-	-
Short-term insurance	13	2,709,114	2,625,590	-	-
Long-term insurance	10	30,176	76,171	-	-
Financial investments	8	25,634,927	22,456,803	-	-
Prepayments, insurance and other receivables	9	1,343,772	1,262,829	-	-
Cash and cash equivalents	11	4,493,680	6,240,923	12,859	10,659
Current taxation	29	30,882	94,922	-	-
Investment property held for sale	4	660,000	125,000	-	-
Total assets		38,221,854	36,579,039	2,584,400	2,582,200
Liabilities					
Long-term policyholder liabilities		19,955,727	18,944,035	-	-
Insurance contracts	10	3,373,865	3,190,991	-	-
Investment contracts with discretionary participation features	10	4,889,658	5,860,977	-	-
Financial liabilities under investment contracts	16	11,692,204	9,892,067	-	-
Short-term insurance liabilities	13	3,598,041	3,452,303	-	-
Outstanding reported claims		2,965,871	2,797,727	-	-
Incurred but not reported		632,170	654,576	-	-
Deferred taxation	12	1,064,840	1,059,984	-	-
Unearned premium reserve		3,158,674	3,054,112	-	-
Short-term insurance	13	2,995,655	2,846,218	-	-
Long-term insurance		163,019	207,894	-	-
Insurance and other payables	14	2,236,790	2,296,321	31,912	39,989
Lease liabilities	15	109,792	-	-	-
Current taxation	29	65,098	153,145	-	-
Total liabilities		30,188,962	28,959,900	31,912	39,989
Equity					
Ordinary shareholders' equity		7,768,268	7,338,093	2,552,488	2,542,211
Share capital	18	535,707	535,707	535,707	535,707
Share premium	18	1,490,480	1,490,480	1,490,480	1,490,480
Retained surplus		3,764,499	3,381,579	526,301	516,024
Other reserves		1,977,582	1,930,327	-	-
Non-controlling interests		264,624	281,046	-	-
Total equity		8,032,892	7,619,139	2,552,488	2,542,211
Total equity and liabilities		38,221,854	36,579,039	2,584,400	2,582,200

The financial statements on pages 60 to 65, the notes on pages 66 to 100 including the detailed accounting policies on pages 101 to 120 were approved and authorised for issue by the board of directors on 26 May 2020 and were signed on its behalf by:



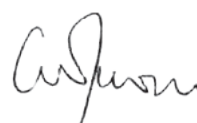
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The notes on pages 66 to 100 and the detailed accounting policies on pages 101 to 120 form an integral part of the financial statements.

Group and company statements of comprehensive income

for the year ended 31 December 2019

KShs'000	Notes	Group		Company	
		2019	2018	2019	2018
Revenue					
Insurance premiums	19	10,771,164	10,217,603	-	-
Reinsurance premiums	19	(4,048,265)	(3,908,377)	-	-
Net insurance premiums		6,722,899	6,309,226	-	-
Revenue from contracts with customers	20	829,724	844,015	-	-
Investment income	21.1	75,102	96,159	494,000	800,669
Interest income on financial assets using the effective interest rate method	21.2	350,840	415,752	-	-
Fair value adjustment to assets held at fair value through profit and loss	22	3,078,216	1,588,489	-	-
Other income	20	29,212	58,409	-	-
Impairment of subsidiary	23	-	-	-	(630,792)
Total income		11,085,993	9,312,050	494,000	169,877
Claims and policyholder benefits under insurance contracts	24	(6,728,680)	(7,376,181)	-	-
Insurance claims recovered from reinsurers	24	1,676,359	1,802,242	-	-
Change in long-term policyholder assets and liabilities		695,004	2,208,757	-	-
Liabilities under insurance contracts		(230,320)	153,632	-	-
Investment contracts with discretionary participation features		971,319	1,972,621	-	-
Applicable to reinsurers		(45,995)	82,504	-	-
Fair value adjustment to policyholder liabilities under investment contracts	16	(854,456)	(828,319)	-	-
Acquisition costs	25	(1,386,268)	(1,166,084)	-	-
Other operating expenses	26	(3,275,308)	(3,027,509)	(215,869)	(198,343)
Finance costs	27	(13,272)	-	-	-
Profit before taxation		1,199,372	924,956	278,131	(28,466)
Taxation	29	(458,979)	(375,430)	-	-
Profit for the year		740,393	549,526	278,131	(28,466)
Other comprehensive income		(5,618)	(32,116)	-	-
<i>Items that may be reclassified subsequently to profit and loss</i>		(5,638)	(34,650)	-	-
Foreign currency translation		(5,638)	(34,650)	-	-
<i>Items that may not be reclassified subsequently to profit and loss</i>		20	2,534	-	-
Owner occupied properties – fair value adjustment		2,826	14,879	-	-
Income and capital gains tax relating to owner occupied properties fair value adjustment		(8)	(1,086)	-	-
Change in long-term policyholder insurance liabilities (application of shadow accounting)		(2,798)	(11,259)	-	-
Total comprehensive income for the year		734,775	517,410	278,131	(28,466)
Total earnings attributable to:					
Shareholders' equity		701,203	493,711	278,131	(28,466)
Non-controlling interests	28	39,190	55,815	-	-
		740,393	549,526	278,131	(28,466)
Total comprehensive income attributable to:					
Shareholders' equity		698,029	472,582	278,131	(28,466)
Non-controlling interests		36,746	44,828	-	-
		734,775	517,410	278,131	(28,466)
Basic and diluted earnings per share (KShs)	30	1.31	0.92	0.52	(0.05)

The notes on pages 66 to 100 and the detailed accounting policies on pages 101 to 120 form an integral part of the financial statements.

Group statement of changes in equity

for the year ended 31 December 2019

KShs'000	Share Capital KShs'000	Share Premium KShs'000
Balance at 1 January 2018	535,707	1,490,480
Profit for the year	-	-
Other comprehensive income		
Recognition of deferred income tax on revaluation of owner occupied property	-	-
Gain on revaluation of owner occupied property	-	-
Change in long term policyholder insurance liabilities – Application for shadow accounting	-	-
Foreign currency translation differences	-	-
Total comprehensive income	-	-
Transfer between reserves	-	-
Dividends	-	-
Total contributions with owners of the company	-	-
Balance at 31 December 2018	535,707	1,490,480
Balance at 1 January 2019	535,707	1,490,480
Profit for the year	-	-
Other comprehensive income		
Recognition of deferred income tax on revaluation of owner occupied property	-	-
Gain on revaluation of owner occupied property	-	-
Change in long term policyholder insurance liabilities – Application for shadow accounting	-	-
Foreign currency translation differences	-	-
Total comprehensive income	-	-
Transfer between reserves	-	-
Dividends	-	-
Total contributions with owners of the company	-	-
Balance at 31 December 2019	535,707	1,490,480



	Currency translation KShs'000	Statutory reserve KShs'000	Revaluation reserve KShs'000	Revenue reserve KShs'000	Non controlling interest KShs'000	Total equity KShs'000
	(64,922)	1,819,343	217,271	3,135,486	291,550	7,424,915
	-	-	-	493,711	55,815	549,526
	-	-	(1,086)	-	-	(1,086)
	-	-	14,879	-	-	14,879
	-	-	(11,259)	-	-	(11,259)
	17,419	(6,195)	(2,436)	(32,451)	(10,987)	(34,650)
	17,419	(6,195)	98	461,260	44,828	517,410
	-	(52,687)	-	52,687	-	-
	-	-	-	(267,854)	(55,332)	(323,186)
	-	(52,687)	-	(215,167)	(55,332)	(323,186)
	(47,503)	1,760,461	217,369	3,381,579	281,046	7,619,139
	(47,503)	1,760,461	217,369	3,381,579	281,046	7,619,139
	-	-	-	701,203	39,190	740,393
	-	-	(8)	-	-	(8)
	-	-	2,826	-	-	2,826
	-	-	(2,798)	-	-	(2,798)
	(703)	(1,394)	-	(1,097)	(2,444)	(5,638)
	(703)	(1,394)	20	700,106	36,746	734,775
	-	49,332	-	(49,332)	-	-
	-	-	-	(267,854)	(53,168)	(321,022)
	-	49,332	-	(317,186)	(53,168)	(321,022)
	(48,206)	1,808,399	217,389	3,764,499	264,624	8,032,892

Company statement of changes in equity

for the year ended 31 December 2019

KShs'000	Share Capital KShs'000	Share Premium KShs'000	Revenue reserve KShs'000	Total equity KShs'000
Balance at 1 January 2018	535,707	1,490,480	812,345	2,838,532
Loss for the year	-	-	(28,466)	(28,466)
Total comprehensive income	-	-	(28,466)	(28,466)
Dividends	-	-	(267,855)	(267,855)
Balance at 31 December 2018	535,707	1,490,480	516,024	2,542,211
Balance at 1 January 2019	535,707	1,490,480	516,024	2,542,211
Profit for the year	-	-	278,131	278,131
Total comprehensive income	-	-	278,131	278,131
Dividends	-	-	(267,854)	(267,854)
Balance at 31 December 2019	535,707	1,490,480	526,301	2,552,488

Group and company statements of cash flows

for the year ended 31 December 2019

KShs'000	Notes	Group		Company	
		2019	2018	2019	2018
Cash flows from operating activities	31	(1,163,841)	(928,896)	270,055	261,165
Cash generated/(utilised) by operations		(1,013,999)	(1,026,274)	-	-
Cash receipts from policyholders		13,534,615	12,492,908	-	-
Cash paid to policyholders, intermediaries, suppliers and employees		(14,548,614)	(13,519,182)	-	-
Interest received		350,840	415,752	-	-
Finance costs		(13,272)	-	-	-
Taxation paid	29	(487,410)	(318,374)	-	-
Cash flows from investing activities		(218,598)	3,825,883	-	-
Purchase of equipment	5.2.1	(33,555)	(94,160)	-	-
Proceeds on sale of equipment		4,674	7,536	-	-
Acquisition of intangible assets	3	(85,417)	(78,295)	-	-
Purchase of properties	4.2	(638)	-	-	-
Net purchase of financial instruments ⁽¹⁾		(103,662)	3,990,802	-	-
Cash flows from financing activities		(361,028)	(323,186)	(267,855)	(267,855)
Repayment of lease liability		(40,006)	-	-	-
Dividends paid		(321,022)	(323,186)	(267,855)	(267,855)
Net increase in cash and cash equivalents		(1,743,467)	2 573,801	2,200	(6,690)
Cash and cash equivalents at the beginning of the year		6,240,923	3 689,506	10,659	17,349
Foreign currency translation		(3,776)	(22,384)	-	-
Cash and cash equivalents at the end of the year	11	4,493,680	6 240,923	12,859	10,659

⁽¹⁾ This includes the net purchases of mutual funds that are classified as associates and subsidiaries.

The notes on pages 66 to 100 and the detailed accounting policies on pages 101 to 120 form an integral part of the financial statements.

Accounting Principles

Basis of preparation

The 2019 group and company annual financial statements of Liberty Kenya Holdings Plc have been prepared in accordance with and containing information required by:

- the International Financial Reporting Standards (IFRS); and
- the Kenyan Companies Act, 2015;

For Kenyan Companies Act 2015 reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of comprehensive income in these financial statements.

The financial statements are presented in the functional currency, Kenya Shillings (KShs), rounded to the nearest thousand.

The accounting policies applied in the preparation of these annual financial statements are in terms of IFRS and are consistent with those applied in the prior year group and company annual financial statements except for the mandatory adoption of IFRS 16 *Leases*. The group applied IFRS 16 retrospectively from 1 January 2019, using the modified retrospective approach. Comparatives, as permitted by IFRS 16, are not restated under this approach. There was no impact to opening retained earnings on adoption of IFRS 16. IFRS 16 replaces IAS 17 *Leases* as well as the related interpretations and sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, being the lessee and the lessor.

The standard requires lessees to capitalise all significant lease arrangements on inception of the lease as right-of-use assets with corresponding finance lease liabilities on the statement of financial position. The group has included the right-of-use assets on the statement of financial position. As at 1 January 2019, a right-of-use asset of KShs 125 million was recognised with a corresponding finance lease liability on the statement of financial position.

- Operating lease charges will continue to be recognised for short-term leases and leases of low value items (which includes the month-to-month property leases, printing equipment, computer leasing charges where applicable, and other miscellaneous leases). Refer to the Changes in accounting and presentation policies' note 32 for more detail.

Various amendments issued by the IASB as well as IFRIC 23 Uncertainty over Income Tax Treatments were also adopted for the year commencing 1 January 2019. There is no impact on the group's or company's current financial results, disclosures or comparative information as a result of these amendments.

Accounting policy elections

Where permitted under IFRS, the group and company adopts accounting policy choices which increase the relevance of reported profit in line with how the business is managed and to eliminate, as much as possible, accounting mismatches within profit or loss

The group and company has made the following accounting policy elections in terms of IFRS, with reference to the detailed accounting policies shown in brackets:

- For all financial assets and financial liabilities that are measured at fair value through profit or loss, all income statement movements (including dividends, interest received and finance costs) are classified as fair value adjustments. (accounting policy 4)
- Equipment is stated at cost less accumulated depreciation (accounting policy 6.5)
- Investment and owner-occupied properties are accounted for using the fair value model (accounting policy 6)
- After initial recognition, intangible assets are carried at cost less accumulated amortisation and any accumulated impairment losses (accounting policy 6.4)
- Application of shadow accounting to changes in policyholder liabilities arising from fair value remeasurement of owner-occupied properties backing insurance liabilities as applicable to eliminate an accounting mismatch in profit or loss (accounting policy 5.3)
- Although the application of the local actuarial valuation bases is not an accounting policy election as such, IFRS refers the measurement of these assets and liabilities to existing local practice until the adoption of IFRS 17 effective 1 January 2023 (following IASB due process).

Key judgements in applying assumptions on application of accounting policies

for the year ended 31 December 2019

Key assumptions can materially affect the reported amounts of assets and liabilities. The assumptions require complex management judgements and are therefore continually evaluated. They are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The following key assumptions are considered material assumptions applied in preparing these annual financial statements.

Classification and measurement of financial instruments

IFRS 9 requires an entity to assess its business model to determine the classification of financial assets. A business model refers to how an entity manages its financial assets in order to generate cash flows. Management applies judgement to determine the level at which the business model assessment is applied.

Liberty Kenya Holdings Plc (LKH) business model is as an investment holding company. Through its subsidiaries, it utilises and renews available capital resources sustainably to create value by providing solutions to individuals or groups of individuals to meet their insurance risks and investment needs.

The financial assets held by LKH's subsidiaries as part of its operating activities are managed with the objective of realising cash flows through the sale of assets. Management makes decisions based on the assets' fair values and manages the assets to realise those fair values.

Properties at fair value

Investment and owner-occupied properties are measured at fair value by external valuation appraisers taking into account characteristics of the properties that market participants would take into account when pricing the property at measurement date. The key assumptions in the determination of the fair value are the exit capitalisation and discount rates. Other inputs considered relate to existing tenant terms, location, vacancy levels and restrictions, if any, on the sale or use of the asset. Determination of fair value also considers the current use of the property in terms of its highest and best use, taking into account the use of the asset that is physically possible, legally permissible and financially feasible.

Key judgements in applying assumptions on application of accounting policies (CONTINUED)

for the year ended 31 December 2019

Fair value of unlisted financial instruments disclosed in level 3 in the fair value hierarchy

The fair value of financial instruments significantly affects the measurement of profit and loss and disclosures of financial risks in the financial statements. Fair value calculations are dependent on various sources of external and internal observable data and on sophisticated modelling techniques used to value financial instruments. Financial instruments disclosed as level 3 have more unobservable inputs and the valuation requires greater judgement and estimation in determining appropriate valuation techniques and obtaining relevant and reliable inputs.

The judgement as to whether a market is active may include, for example, consideration of factors such as the magnitude and frequency of trading activity, the availability of prices and the size of bid/offer spreads. In inactive markets, obtaining assurance that the transaction price provides evidence of fair value or determining the adjustments to transaction prices that are necessary to measure the fair value of the asset or liability requires additional work during the valuation process.

Policyholder insurance and investment contracts with discretionary participation features

Policyholder assets and liabilities under long-term insurance contracts and related reinsurance assets and liabilities

Liability and asset determination: Policyholder assets and liabilities under insurance contracts include provisions for the net present value of expected future benefits and expected future costs, less expected future premiums; and for claims incurred and not reported (IBNR). An IBNR provision is an estimate of the ultimate cost of claims where the loss event has occurred prior to financial position date, but which have not been reported at that date. Reinsurance assets and liabilities under insurance contracts include provisions for the net present value of expected future reinsurance premiums and expected future reinsurance recoveries.

The key assumptions applied, and analysis of their sensitivity have been detailed in the insurance risk and sensitivity analysis components of the risk disclosures section of this report.

Policyholder liabilities – investment contracts with discretionary participation features (DPF)

Liability determination: The full liability represents the total fair value of the matching asset portfolio and an estimate of the cost of any guarantees provided. Current policyholder obligations are estimated by calculating a net present value of expected future cash flows allowing for assumed future bonus rates. The difference between the fair value of the matching asset portfolio and the estimate of the current policyholder obligations is the bonus stabilisation reserve. A significant component making up the liability is a book of business called "deposit administration". The product features include annual declaration of vesting investment bonuses. This feature brings the policies into the definition of investment contracts with discretionary participation features.

Insurance contract liabilities

Estimates are made for short-term business claims and claims Incurred But Not Reported (IBNR) as at the period end based on the historical claims' development statistics and evaluation of the current, past and future assumptions. Using the Bonehuetter Fergusson model, the group has developed estimates of expected claims outstanding.

The group determines its liabilities on its long-term insurance contracts on a realistic basis, namely the gross premium valuation (GPV) method. The GPV method makes explicit assumptions on expected future debts, investment returns lapses, expenses and bonuses as well as margins for uncertainty on these assumptions. Assumptions used are based on recent experience investigations conducted by the group while taking into consideration prior year assumptions and the outlook of future experience.

Mortality

An appropriate base table of standard mortality is applied in the valuation of all contract types and classes of business. The estimated number of deaths determines the value of the benefit payments and the value of the valuation premiums. The main source of uncertainty is that epidemics such as HIV/Aids could result in future mortality being significantly worse than in the past for the age groups in which the group has significant exposure to mortality risk. However, continuing improvements in medical care and social conditions could result in improvements in longevity in excess of those allowed for in the estimates used to determine the liability for contracts where the group is exposed to longevity risk.

An investigation into mortality experience is performed annually. The investigation period extends over the latest four full years for all classes of business. The results of the investigation are used to make decisions on whether to continue using the industry table or change to other appropriate tables that best match experience.

Morbidity

The incidence of disability claims is derived from industry experience studies, adjusted where appropriate for Liberty Life Assurance Kenya Limited's own experience. The same is true for the incidence of recovery from disability.

Withdrawal

The withdrawal assumptions are based on the most recent withdrawal investigations considering past as well as expected future trends. The withdrawal rates are analysed by product type and policy duration. These withdrawal rates vary considerably by duration, policy term and company. Typically, the rates are higher for risk type products versus investment type products and are higher at early durations.

Impairment of goodwill

The group tests annually whether goodwill was impaired in accordance with the accounting policy note 6.4. The recoverable amounts of cash-generating units have been determined based on value-in-use calculations.

Income taxes

The group is subject to income taxes in various jurisdictions. Significant judgment is required in determining the group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Impairment of receivables

The group recognizes expected credit losses (ECL) on debt financial assets classified as amortised cost. The measurement basis of the ECL of a financial asset includes assessing whether there has been a significant increase in credit risk (SICR) at the reporting date which includes forward-looking information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions. A significant change in credit risk (SICR) is when there is a material change in the probability of default, since origination.

Notes to the annual financial statements

for the year ended 31 December 2019

1. Segment information

The group is currently organised in line with the Insurance Act which classifies insurance and investment contracts into two main categories (long-term and general which includes medical) depending on the duration of risk.

The results of the business units are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance.

An operating segment is a component of the group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. Identification of segments and the measurement of segment result is based on the group's internal reporting to management.

The group is organised by business units and geographical spread. The business units are segmented as follows;

1. Long-term business
2. Short-term business
3. Holding company

Long-term and short-term operations are described in detail on page 109 note 5.3. The holding company is represented by Liberty Kenya Holdings and is primarily involved in investing activities through its subsidiaries as described on page 6.

The group produces segmented financial statements i.e. profit or loss and statement of financial position in compliance with IFRS 8.

The group does not have any one major customer that contributes more than 10 percent of its revenues.

Segment earnings – results by business unit

2019 KShs'000	Long-term business	Short-term business	Holding company	Consolidation adjustments	IFRS reported
Net insurance premiums	2,623,146	4,099,753	-	-	6,722,899
Investment returns and other income	2,942,124	622,718	494,000	(525,472)	3,533,370
Revenue from contracts with customers	72,294	757,430	-	-	829,724
Total income	5,637,564	5,479,901	494,000	(525,472)	11,085,993
Net claims and policyholder benefits	(3,318,790)	(1,733,531)	-	-	(5,052,321)
Change in policyholders assets and liabilities	695,004	-	-	-	695,004
Fair value adjustments to policyholder liabilities under investment contracts	(854,456)	-	-	-	(854,456)
Acquisition costs	(436,640)	(949,628)	-	-	(1,386,268)
Marketing and administration expenses	(1,240,505)	(1,843,191)	(215,869)	24,457	(3,275,308)
Finance costs	(3,564)	(25,849)	-	16,141	(13,272)
Profit before taxation	478,613	927,702	278,131	(485,074)	1,199,372
Taxation	(158,524)	(300,455)	-	-	(458,979)
Total earnings	320,089	627,247	278,131	(485,074)	740,393
Other comprehensive income/(loss)	20	(5,638)	-	-	(5,618)
Total comprehensive income	320,109	621,609	(278,131)	(485,074)	734,775
Attributable to non-controlling interests	-	(36,746)	-	-	(36,746)
Total comprehensive income attributable to shareholders	320,109	584,863	(278,131)	(485,074)	698,029

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

1. Segment information (continued)

Segment earnings – results by business unit

2019 KShs'000	Long-term business	Short-term business	Holding company	Consolidation adjustments	IFRS reported
Total assets	24,581,211	12,485,395	2,584,400	(1,429,152)	38,221,854
Equipment	52,020	79,108	-	-	131,128
Right-of-use assets	28,314	194,673	-	(110,829)	112,158
Intangible assets	120,455	56,585	-	1,254,995	1,432,035
Investment in subsidiary	-	-	2,571,541	(2,571,541)	-
Property	1,284,687	-	-	-	1,284,687
Financial investments	20,686,204	4,948,723	-	-	25,634,927
Reinsurer's share of insurance liabilities	30,176	2,709,114	-	-	2,739,290
Other assets	2,379,355	4,497,192	12,859	(1,777)	6,887,629
Total liabilities	21,784,451	8,498,192	31,911	(125,592)	30,188,962
Insurance contract liabilities	3,373,865	3,598,041	-	-	6,971,906
Policyholder liabilities under investment contracts	11,692,204	-	-	-	11,692,204
Investment contracts with discretionary participation features	4,889,658	-	-	-	4,889,658
Unearned premium reserves	163,019	2,995,655	-	-	3,158,674
Other liabilities	1,665,705	1,904,496	31,911	(125,592)	3,476,520

Other financial detail by financial segment

2019 KShs'000	Long-term business	Short-term business	Holding company	IFRS reported
Additions to property and equipment (note 4.2 & 5.2.1)	5,570	28,623	-	34,193
Additions to right-of-use assets (note 5.2.2)	8,143	16,311	-	24,454
Additions to intangible assets (note 3)	61,582	23,835	-	85,417

2018 KShs '000	Long-term business	Short-term business	Holding company	Consolidation adjustments	IFRS reported
Net insurance premiums	2,601,340	3,707,886	-	-	6,309,226
Investment returns	1,563,862	594,947	800,669	(800,669)	2,158,809
Revenue from contracts with customers	122,407	721,608	-	-	844,015
Total income	4,287,609	5,024,441	800,669	(800,669)	9,312,050
Net claims and policyholder benefits	(3,682,491)	(1,891,448)	-	-	(5,573,939)
Change in policyholders assets and liabilities	2,208,757	-	-	-	2,208,757
Fair value adjustments to policyholder liabilities under investment contracts	(828,319)	-	-	-	(828,319)
Acquisition costs	(355,996)	(810,089)	-	-	(1,166,085)
Marketing and administration expenses	(1,155,623)	(1,673,541)	(198,343)	-	(3,207,507)
Impairment of subsidiary	-	-	(630,792)	630,792	-
Profit before taxation	473,937	649,363	(28,466)	(169,877)	924,956
Taxation	(165,468)	(209,963)	-	-	(375,431)
Total earnings	308,469	439,400	(28,466)	(169,877)	549,526
Other comprehensive income/(loss)	2,534	(34,650)	-	-	(32,116)
Total comprehensive income	311,003	404,750	(198,486)	(169,877)	517,410
Attributable to non-controlling interests	-	(44,828)	-	-	(44,828)
Total comprehensive income attributable to shareholders	311,003	359,922	(198,486)	(169,877)	472,582

- In the prior year (2018) the holding company had been combined under the short-term business. A decision was made to separate the holding company results from the segment results for better presentation of performance of the different segments.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

1. Segment information (continued)

2018 KShs '000	Long-term business	Short-term business	Holding company	Consolidation adjustments	IFRS reported
Total assets	23,702,933	11,632,961	2,582,200	(1,339,055)	36,579,039
Property and equipment	67,965	89,974	-	-	157,939
Intangible assets	117,048	51,529	-	1,254,995	1,423,572
Investment in subsidiary	-	-	2,571,541	(2,571,541)	-
Investment property	1,821,528	-	-	-	1,821,528
Financial investments	18,446,952	4,009,851	-	-	22,456,803
Reinsurers share of insurance liabilities	76,171	2,625,590	-	-	2,701,761
Other assets	3,173,269	4,856,017	10,659	(22,509)	8,017,436
Total liabilities	20,959,275	7,991,199	39,989	(30,563)	28,959,900
Insurance contract liabilities	3,190,991	3,452,303	-	-	6,643,294
Policyholder liabilities under investment contracts	9,892,067	-	-	-	9,892,067
Investment contracts with discretionary participation features	5,860,977	-	-	-	5,860,977
Unearned premium reserves	207,894	2,846,218	-	-	3,054,112
Other liabilities	1,807,346	1,692,678	39,989	(30,563)	3,509,450

Other financial detail by financial segment

2018 KShs '000	Long-term business	Short-term business	Holding company	IFRS reported
Additions to property and equipment (note 5.2.1)	82,134	12,026	-	94,160
Additions to intangible assets (note 3)	50,153	28,181	-	78,334

Segment earnings – results by geographical spread

2019 KShs'000	Kenya	Tanzania	IFRS reported
Net insurance premiums	6,029,397	693,502	6,722,899
Investment returns	3,414,750	118,620	3,533,370
Revenue from contracts with customers	534,801	294,923	829,724
Total income	9,978,948	1,107,045	11,085,993
Net claims and policyholder benefits	(4,794,395)	(257,956)	(5,052,321)
Change in policyholders assets and liabilities	695,004	-	695,004
Fair value adjustments to policyholder liabilities under investment contracts	(854,456)	-	(854,456)
Acquisition costs	(1,047,407)	(338,861)	(1,386,768)
Marketing and administration expenses	(2,920,147)	(355,161)	(3,275,308)
Finance costs	(11,267)	(2,005)	(13,272)
Profit before taxation	1,046,310	153,062	1,199,372
Taxation	(403,893)	(55,086)	(458,979)
Total earnings	642,417	97,976	740,393
Other comprehensive income/(loss)	20	(5,638)	(5,618)
Total comprehensive income	642,437	92,338	734,775
Attributable to non-controlling interests	-	(36,746)	(36,746)
Total comprehensive income attributable to shareholders	642,437	55,592	698,029

2018 KShs'000	Kenya	Tanzania	IFRS reported
Net insurance premiums	5,747,544	561,682	6,309,226
Investment returns	2,005,178	137,993	2,143,171
Revenue from contracts with customers	662,559	197,094	859,653
Total income	8,415,281	896,769	9,312,050
Net claims and policyholder benefits	(5,356,176)	(217,763)	(5,573,939)
Change in policyholders assets and liabilities	2,208,757	-	2,208,757
Fair value adjustments to policyholder liabilities under investment contracts	(828,319)	-	(828,319)
Acquisition costs	(968,071)	(198,013)	(1,166,084)
Marketing and administration expenses	(2,749,150)	(278,359)	(3,027,509)
Profit before taxation	722,322	202,634	924,956
Taxation	(312,333)	(63,097)	(375,430)
Total earnings	409,989	139,537	549,526
Other comprehensive income/(loss)	2,534	(34,650)	(32,116)
Total comprehensive income	412,523	104,887	517,410
Attributable to non-controlling interests	-	(44,828)	(44,828)
Total comprehensive income attributable to shareholders	412,523	60,059	472,582

for the year ended 31 December 2019

2. Management of insurance and financial risk

Liberty Kenya Holdings Plc (the group) offers a comprehensive range of financial products and services to the retail and corporate markets, distributing tailored risk, insurance, investment, retirement and health products through its network. The group is committed to increasing shareholder value through the prudent management of risks inherent in the production, distribution and maintenance of these products and services. The group is mindful of achieving this objective in the interests of all stakeholders. The group continues to explore opportunities to develop and grow its business organically, with strategic plans being subject to careful consideration of the trade-off between risk and reward, considering the risk appetite limits approved by the board.

The group's main value creation activities can be summarised into the following categories:

1. Providing risk cover – Liberty Kenya Holdings Plc's core competency is to understand the life, health and asset related risk needs of individuals and groups of individuals, and design sustainable products that provide financial security to policyholders and their families in times of death, sickness or ill health, disability and other losses.
2. Providing wealth creation – primarily through its subsidiaries, the group uses its financial skills to provide competitive investment products and investment advice to a broad range of customers.
3. Assuming market risk – through the management of assets backing shareholder funds and of exposures arising from asset-liability mismatches which the group wishes to retain.

Ultimate responsibility for risk management resides with the board which ensures that all business unit executives are responsible and are held accountable for risk management within all operations. Risks are controlled at the level of individual exposures and at portfolio level, as well as in aggregate across all businesses and risk types.

RISK MANAGEMENT OBJECTIVES

The group's key risk management objectives are to:

- grow shareholder value by generating a long-term sustainable return on capital;
- ensure the protection of policyholder and investor interests by maintaining adequate solvency levels;
- meet the statutory requirements of the Kenyan and Tanzanian Insurance Acts, and other regulations; and
- ensure that capital and resources are strategically focused on activities that generate the greatest value on a risk adjusted basis.

The management of risks is currently focused on managing shareholder exposures within strategic limits whilst ensuring sufficient allocation of capital on both a regulatory and economic capital basis given the limits in place. Liberty Kenya Holdings participates in the broader Liberty group enterprise risk management framework and aligns its risk policies to the group guidelines.

CAPITAL MANAGEMENT

The capital management strategy seeks to ensure that the group is adequately capitalised to support the risks assumed by the group in accordance with the group's risk appetite. It further seeks to fund working capital and strategic requirements, thereby protecting policyholder and customer interests while optimising shareholder risk adjusted returns and delivering in accordance with the group's dividend policy.

Due to varying requirements of different stakeholders, the group reports and manages capital on several different bases. The capital management process ensures that the group's available capital exceeds the capital required both currently and going forward and to ensure that the group always has unfettered access to its capital to meet its requirements.

Company

The company's objective in capital management is to safeguard the company's ability to continue as going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the company may limit the amount of dividends paid to shareholders, issue new shares, raise loan funding or sell assets to reduce debt.

Capital and gearing ratio

KShs'000	2019	2018
Due to group companies (note 34)	12,252	16,923
Net borrowings (note 14)	19,660	23,066
Less: Cash and cash equivalents	(12,859)	(10,659)
Net debt	6,801	12,407
Total equity	2,552,488	2,542,211
Gearing ratio	0.27%	0.49%

Group

The board of directors of the subsidiary companies are responsible for monitoring and ensuring compliance with the regulatory framework as established by the Kenyan and Tanzanian Insurance Regulatory Authorities.

The subsidiaries are regulated by the Kenyan Insurance Act, 2015, the Tanzanian Insurance Act, 2009, Companies Act, 2015, as well as regulations issued by the Kenya and Tanzania Retirement Benefit Authorities and Insurance Regulatory Authorities. The objectives when managing capital are to:

- comply with the capital requirements as set out in the Kenyan Insurance Act, 2015 and Tanzania Insurance Act, 2009;
- comply with regulatory solvency requirements as set out in the Kenyan Insurance Act, 2015 and Tanzania Insurance Act, 2009;
- safeguard the companies' ability to continue as going concerns, so that they can continue to provide returns to shareholders and benefits for other stakeholders; and
- provide an adequate return to shareholders by pricing insurance and investment contracts commensurately with the level of risk.

The Kenyan Insurance Act, 2015 requires general insurance companies to hold the minimum level of paid up capital of KShs 600 million by 30 June 2020. The Companies are also required to maintain minimum required solvency ratio of 200% and above by 30 June 2020.

Long-term insurance businesses is required to maintain solvency ratio of 200% and above by 30 June 2020. The insurance Act requires Life Companies to hold minimum paid up capital of KShs 400 million by 30 June 2020.

The Tanzanian Insurance Act, 2009, requires each insurance company to hold the minimum level of paid up capital of TShs 2,197 million for the year ended 31 December 2019. As at year end, the Heritage Insurance Company (T) Limited had a share capital of 80,000 fully paid up shares totalling to TShs 8 billion. This was well in excess of the minimum requirement. Further, Companies are required to maintain solvency margin where admitted assets exceed admitted liabilities plus 20% of previous year's net written premiums.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

2. Management of insurance and financial risk (continued)

Solvency margin

The solvency margins of the subsidiaries as at 31 December 2019 and 31 December 2018 are set out below. The Kenyan regulator's model for determining minimum solvency requirements uses the minimum capital requirement projected as at 30 June 2020.

Liberty Life Assurance Kenya Limited

KShs'000	Long-term business 2019	Long-term business 2018
Risk-based capital requirement	1,171,771	1,103,513
Total capital available	2,483,508	2,351,894
Capital required		
Absolute amount minimum	400,000	400,000
Volume of business minimum	974,123	924,806
Risk-based capital minimum	1,171,771	1,103,513
Therefore minimum required capital	1,171,771	1,103,513
Solvency ratio	212%	213%

Heritage Insurance Company Kenya Limited

KShs'000	Short-term business 2019	Short-term business 2018
Risk-based capital requirement	939,421	1,107,389
Total capital available	2,909,185	2,746,386
Capital required		
Absolute amount minimum	600,000	600,000
Volume of business minimum	629,241	619,600
Risk-based capital minimum	939,421	1,107,389
Therefore minimum required capital	939,421	1,107,389
Solvency ratio	310%	248%

Heritage Insurance Company Tanzania Limited

KShs'000	Short-term business 2019	Short-term business 2018
Total admitted assets	1,741,991	1,558,651
Total admitted liabilities	1,360,551	1,015,525
Net written premium	721,267	548,352
Add: The greater of TShs 1,131 million (KShs 50 million) or 20% of net written premium	144,253	109,670
Total liabilities and minimum requirement	1,504,804	1,125,195
Solvency margin	237,187	433,456
Solvency ratio	164%	395%

CREDIT RISK

The group has exposure to credit risk, which is the risk that a counterparty will be unable to pay amounts in full when due. Key areas where the company is exposed to credit risk are:

- receivables arising out of insurance arrangements;
- receivables arising out of reinsurance arrangements; and
- reinsurers' share of insurance liabilities.
- cash and cash equivalents, corporate bonds, commercial papers, loans receivable, government securities and deposits with banks and other receivables.

Except for sovereign risk, the group has no significant concentrations of credit risk. The group structures the levels of non sovereign credit risk it accepts by placing limits on its exposure to a single counterparty, or groups of counterparties, and to geographical and industry segments. Such risks are subject to an annual or more frequent review. Limits on the level of credit risk by category and territory are approved quarterly by the board of directors at the operating subsidiary level.

The exposure to individual counterparties is also managed by other mechanisms, such as the right of offset where counterparties are both debtors and creditors of the company. Management information reported to the company includes details of provisions for impairment on loans and receivables and subsequent write-offs. Internal audit makes regular reviews to assess the degree of compliance with the company procedures on credit. Exposures to individual policyholders and groups of policyholders are collected within the ongoing monitoring of the controls associated with regulatory solvency. Where there exists significant exposure to individual policyholders, or homogenous groups of policyholders, a financial analysis equivalent to that conducted for reinsurers is carried out by the company risk department.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to the external credit ratings, if available, or historical information about counterparty default rate. None of the company's credit counterparties has an external credit rating other than the government of Kenya which has a Standard and Poor's rating of B+. For credit risk counterparties without an external credit rating, the group classifies them as follows:

- Group 1 - New customers/related parties
- Group 2 - Existing customers/related parties with no defaults in the past
- Group 3 - Existing customer/related parties with some defaults in the past. All defaults were fully recovered.

All mortgage loans have the property secured as collateral while policy loans have the surrender value of the policy secured as collateral. In the case of car loans, the car's log book acts as security. All receivables that are neither past due or impaired are within their approved credit limits, and no receivables have had their terms renegotiated. Receivables that are past due have adequate provisions for impairment applied.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

2. Management of insurance and financial risk (continued)

Minimum exposure to credit risk before collateral is held

KShs'000	Credit quality	Group		Company	
		2019	2018	2019	2018
Financial investments	Group 2	21,541,857	18,890,797	-	-
Receivables arising from reinsurance	Group 2	320,487	161,224	-	-
Receivables arising from insurance contracts	Refer to analysis below	577,646	824,923	-	-
Reinsurers' share of insurance liabilities	Group 2	2,739,290	2,701,761	-	-
Other receivables	Group 2	137,732	104,237	-	-
Cash and bank balances	Group 2	4,493,680	6,240,923	12,859	10,659
		29,810,692	28,923,865	12,589	10,659

The group applies the simplified approach to providing for expected credit losses on amortised cost measured financial instruments as prescribed by IFRS 9, which permits the use of lifetime expected loss provisions for all trade receivables.

2019 KShs'000	ECL rate %	Gross carrying amount	Impairment allowance	Net carrying amount
Current	-	577,646	-	577,646
1 - 30 days past due	100	5,956	(5,956)	-
31 - 60 days past due	100	13,416	(13,416)	-
61 - 90 days past due	100	2,500	(2,500)	-
>90 days past due	100	456,030	(456,030)	-
		1,055,548	(477,902)	577,646

2018 KShs'000	ECL rate %	Gross carrying amount	Impairment allowance	Net carrying amount
Current	-	824,923	-	824,923
1 - 30 days past due	100	23,470	(23,470)	-
31 - 60 days past due	100	10,029	(10,029)	-
61 - 90 days past due	100	5,800	(5,800)	-
>90 days past due	100	387,601	(387,601)	-
		1,251,823	(426,900)	824,923

Movement in impairment allowance on insurance receivables:

KShs'000	Group	
	2019	2018
Insurance contracts receivables		
Opening impairment loss allowance	(426,900)	(446,401)
Bad debts written off	-	101,733
Charge to profit or loss	(51,002)	(16,686)
IFRS 9 transition adjustment	-	(65,546)
Provision for impairment loss allowance - closing	(477,902)	(426,900)

Write-off policy for premium receivables

Balances due from agents and brokers and direct clients are written off when there is no reasonable expectation of recovery.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

2. Management of insurance and financial risk (continued)

OPERATIONAL RISK

Operational risk is the risk of loss caused by inadequate or failed internal processes, people and systems, or from external events.

Operational risk is recognised as a distinct risk category which the group strives to manage within acceptable levels through sound operational risk management practices. The group's approach to managing operational risk is to adopt practices that are fit for purpose to suit the organisational maturity and business environments.

Executive management defines the operational risk appetite at a group and subsidiary level. This operational risk appetite supports effective decision-making and is central to embedding effective risk management. The objective in managing operational risk is to increase the efficiency and effectiveness of the group's resources, minimise losses and utilise opportunities.

Ownership and accountability

Management and staff at every level of the business are accountable for the day-to-day identification and management of operational risks. It is also management's responsibility to report any material operational risks, risk events and issues identified to senior management through certain pre-defined escalation procedures.

Risk identification, assessment and measurement

The process of operational risk management starts with the operational risk assessment of identified areas. Consideration is then given to the need for a group or business unit policy to define the approach to mitigating this risk.

Risk and compliance policies are developed where necessary to:

- ensure compliance with internal principles and with legal and regulatory requirements;
- address associated risks in the business, define roles, responsibilities and expectations at all levels;
- guide staff at all levels on how to conduct group's business;
- ensure that staff apply consistent processes throughout the group; and
- help management to develop operating processes.

Policies are approved at the appropriate governance level subject to compliance with group policy principles. Once identified, operational risks are assessed to determine the potential impact to the group should the risk events occur and reviewed against the group's risk appetite. Mitigating actions are developed for any operational risks that fall outside of management's assessment of risk appetite.

Risk management activities in relation to operational risks

The following activities represent the material activities conducted by the group in order to manage and mitigate operational risks. However, it is not exhaustive.

Information Technology (IT) risk: The group is highly dependent on and constantly increasing its use of information technology to ensure improved operations and customer service. The group's IT systems enable it to take its products to markets across the East African region and so carry out its expansion strategy. The group is, therefore, exposed to various IT risks which include the disruption of transaction processing, information loss and/or malicious attacks from third parties.

Maintaining technological advantage requires a strong IT risk management culture and function that allows the group to identify and manage IT risks effectively. In order to prevent potential risk events and ensure best practice levels of continuous IT service and security, management review and ensure compliance with relevant IT policies and procedures, conduct control and risk self-assessments and are subject to internal and external audits.

Process risk: The group's approach to process improvement focuses on process efficiency and work quality. The processes undergoing improvement incorporate input from risk and compliance specialists, as well as other generic process stakeholders and group finance.

Regulatory risk: The regulatory environment is monitored closely to ensure that the group implements new or amended legislation requirements promptly to ensure compliance and avoid unnecessary fines and penalties or the revocation of any business license.

Compliance risk: The risk of regulatory sanctions, financial loss or damage to reputation as a result of not complying with legislation, regulation or internal policies is managed through the established compliance functions within the group and a compliance policy. The policy ensures that compliance requirements are identified and implemented through the development of appropriate policies and procedures and that regular monitoring and reporting of breaches is carried out within the business and at the centre to provide the board with assurance on the status of compliance within the organisation.

Human resources: The group remains concerned about the high demand of specialist technical skills in East Africa to provide first world financial services. It focuses on recruitment, development and retention through several group-wide initiatives.

Business continuity management (BCM): BCM is implemented to reduce the risk of not continuing normal business activities should a crisis occur. BCM is an integral component of the group's risk management framework. The subsidiaries are regularly exposed to deployment of updated methodologies, testing and training to ensure increased capability to deal with interruptions to business. The group has established a BCM site at Mlolongo along Mombasa road where critical staff and core services can be relocated in case of disruptions to business at the usual business premises.

Internal and external fraud: The group adopts a 'zero-tolerance' approach to fraud. The group internal audit function supports management in meeting their objective of minimising fraud risk. In terms of the group's anti-fraud policy, line management is responsible for ensuring that controls at all stages of a business process are adequate for the prevention and detection of fraud. Prevention and detection measures are periodically rolled out by forensic services to support management.

LIQUIDITY RISK

Liquidity risk is the risk that the group, although solvent, is not able to settle its obligations as they fall due because of insufficient access to cash in the group. This might arise in circumstances where the group's assets are not marketable or can only be realised at excessive cost. The principal risk relating to liquidity comprises the group's exposure to policyholder behaviour.

Liquidity profile of assets

The majority of the group's assets are liquid, however, given the quantum of investments held relative to the volumes of trading, a substantial short-term liquidation may result in current values not being realised due to demand-supply principles. It is considered highly unlikely, however, that a short-term realisation of that magnitude would occur.

Liquidity risks arising out of obligations to policyholders

On unit-linked business, liquidity risk and asset-liability matching risk arising as a result of changes in lapse and withdrawal experience is limited through policy terms and conditions that restrict claims to the value at which assets are realised. Similarly, the liquidity and asset-liability matching risk arising from a change in withdrawal experience on business with DPF is limited through policy terms and conditions that permit withdrawal benefits to be altered in the event of falling asset prices.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

2. Management of insurance and financial risk (continued)

The table below presents the cash flows receivable and payable by the group under certain assets and liabilities by remaining expected maturities at the reporting date.

KShs '000	1 - 3 months	3 - 12 months	1 - 5 years	>5 years	Total
2019					
Liabilities					
Insurance and investment contract liabilities	1,389,435	972,497	3,589,728	12,712,450	18,664,110
Investment contracts with DPF	-	(79,018)	219,364	4,749,312	4,889,658
Creditors arising from reinsurance	20,113	511,319	-	-	531,432
Creditors arising from direct insurance	3,612	489,631	-	-	493,243
Lease liabilities	1,655	49,806	105,363	19,635	176,459
Other payables	1,212,115	-	-	-	1,212,115
Total Financial liabilities	2,626,930	1,944,235	3,914,455	17,481,397	25,967,017
Assets					
Other receivables	445,639	-	-	-	445,639
Reinsurers share of insurance liabilities	2,739,290	-	-	-	2,739,290
Receivables arising from reinsurance	320,487	-	-	-	320,487
Financial investment	3,148,338	9,916,445	6,925,236	5,644,908	25,634,927
Receivables arising from direct insurance	45,620	532,026	-	-	577,646
Cash and cash equivalents	4,493,680	-	-	-	4,493,680
Total Financial assets	11,193,054	10,448,471	6,925,236	5,644,908	34,211,669
Net liquidity	8,566,124	8,504,236	3,010,781	(11,836,489)	8,244,652

KShs'000	1 - 3 months	3 - 12 months	1 - 5 years	>5 years	Total
2018					
Liabilities					
Insurance and investment contract liabilities	1,539,161	832,838	2,406,969	11,756,393	16,535,361
Investment contracts with DPF	-	(28,245)	1,080,115	4,809,107	5,860,977
Creditors arising from reinsurance	47,032	626,531	-	-	673,563
Creditors arising from direct insurance	-	552,382	-	-	552,382
Other payables	908,226	162,149	-	-	1,070,375
Total financial liabilities	2,494,419	2,145,655	3,487,084	16,565,500	24,692,658
Assets					
Other receivables	276,682	-	-	-	276,682
Reinsurers' share of insurance liabilities	-	2,728,761	-	-	2,728,761
Receivables arising from reinsurance	161,224	-	-	-	161,224
Financial investment	8,087,592	2,276,942	4,973,228	7,119,041	22,456,803
Receivables arising from direct insurance	805,217	19,706	-	-	824,923
Cash and cash equivalents	6,240,923	-	-	-	6,240,923
Total financial assets	15,571,638	5,025,409	4,973,228	7,119,041	32,689,316
Net liquidity	13,077,219	2,879,754	1,486,144	(9,446,459)	7,996,658

Policyholder insurance contracts can be surrendered before maturity for a cash surrender value specified in the contractual terms and conditions. Prudent liquidity risk management includes maintaining sufficient cash balances to cover anticipated surrenders before the contractual maturity dates. In addition, the group invests only a limited proportion of its assets in investments that are not actively traded. The group's listed securities are considered readily realisable, as they are actively traded on the Nairobi Securities Exchange.

Liquidity risk - Company

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the company's short-, medium- and long-term funding and liquidity management requirements.

The company manages liquidity risk by continuous monitoring of banking facilities, cash flow forecasts and actual cash flows.

The table below analyses the company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date.

The amounts disclosed in the table below are the contractual undiscounted cash flows:

KShs'000	<1 year	>1 year	Total
2019			
Due to group companies (Note 34)	12,252	-	12,252
Sundry payables	19,659	-	19,659
	31,911	-	31,911

KShs'000	<1 year	>1 year	Total
2018			
Due to group companies (Note 34)	16,923	-	16,923
Sundry payables	23,066	-	23,066
	39,989	-	39,989

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

2. Management of insurance and financial risk (continued)

Capital requirements

The group's view is that liquidity risk must be managed by means other than capital. If assets and liabilities are not well matched by term, even a large amount of capital may provide only a small buffer in an extreme liquidity event.

Liquidity risk is most likely to arise due to a sharp increase in benefit withdrawals or risk-related claims. The liquidity risk arising from withdrawals is largely managed by policy terms and conditions in the contract that enable the group to reduce withdrawal benefits if asset prices fall. The liquidity risk arising from risk-related claims is managed by having reinsurance arrangements in place for catastrophic events. Liquidity risks arising on maturity benefits are managed by closely monitoring the expected future maturities and realising assets in advance if large outflows are expected.

Liquidity risk is also managed by matching liabilities with backing assets that are of similar maturity, duration and risk nature. The liquidity profile of the total financial position is reviewed on a regular basis to ensure that the cash flow profile of liabilities can be met as they fall due.

As a result of the liquidity risk mitigation measures in place, the group's exposure to liquidity risk is expected to be small and no allowance is currently made for liquidity risk.

MARKET RISK

Market risk is the risk of adverse financial impact due to changes in fair values or future cash flows of financial instruments from fluctuations in equity prices, interest rates and foreign currency exchange rates (as well as their associated volatilities). In addition, considering the group's investment in investment properties, there is exposure to fluctuation in property values.

The group's shareholders are exposed to market risk arising from policyholder asset-liability mismatch risk. This is where the group's property and financial assets do not move in the same direction and magnitude as the obligations arising under its insurance and investment contracts.

Ultimate responsibility for market risk management rests with the board of directors, which has built an appropriate market risk management framework for the management of the company's short-, medium- and long-term management requirements.

The key components of market risk are as follows:

- Price risk: is the risk arising from a change in the value and/or future cash flows of an asset or liability, as a result of securities price and/or dividend changes;
- Interest rate risk: is the risk arising from a change in the value and/or future cash flows of an asset or liability, as a result of interest rate changes.
- Currency risk: is the risk arising from a change in the value and/or future cash flows of an asset or liability as a result of changes in exchange rates. This can either be in the form of a mismatch between currencies of assets and liabilities, or on assets supporting capital, or the functional currency of the local entity being different to the reporting currency of the group.
- Property market risk: is the risk arising from a change in the value and/or future cash flows of an asset or liability, as a result of changes in property market prices and/or rental income.

Risk identification, assessment and measurement

In the case of market risks which arise from shareholder funds, the risk can be identified, assessed and measured by considering the market risks that apply to the assets in which these funds have been invested.

In the case of asset-liability mismatches, risks both to the assets and corresponding liabilities need to be assessed together. The group is exposed to market risk to the extent that these exposures may result in a loss due to the assets increasing by less than the liabilities or the assets falling by more than the liabilities.

The group assesses its asset-liability mismatch exposures with respect to the key components of market risk at subsidiary level.

Price risk

The group is exposed to equity securities price risk because of investments in quoted and unquoted shares classified at fair value through the income statement.

The group is not exposed to commodity price risk.

The group has a significant portion of With Profit business. Under this business, the group gives a minimum bonus guarantee each year, and declares a bonus each year which reflects some 'smoothing' of the investment return earned in line with the published Principles and Practices of Financial Management (PPFM). A Bonus Stabilisation Reserve (BSR) is held per With Profit product line to enable this 'smoothing' of policyholder investment returns from year to year. The BSR effectively absorbs large declines in market value to a limited extent; beyond this level the shareholder is required to fund the shortfall. In particular;

- If the BSR is negative in value, and has a negative value of between 0% and 15.0% of the liabilities of a given With Profit product line, the deficit will be recouped through lower bonus declarations over the following three years. The size of the negative BSR will also be disclosed in the report of the Statutory Actuary if it exceeds 7.5% of the liabilities of that product line.
- If the value of the BSR is negative in value and exceeds 15% of the liabilities of a given With Profit product line, previously declared non-vested bonuses may be removed (where applicable) or shareholder funds will be utilized to restore the BSR value to a minimum of -15% of the liabilities of that product line.

To manage its price risk arising from investments in equity and debt securities, the group diversifies its portfolio. Diversification of the portfolio is done in accordance with limits set by the group in the Investment Policy. All quoted shares held by the group are traded on the Stock Exchange.

At 31 December 2019, if the market prices of equity had increased/decreased by 5% all other variables held constant, the fair value of equities held by the group would have changed by KShs 197,268,000 (2018: KShs 176,297,000). This would result in a change in profit for the year.

Cash flow and fair value interest rate risk

Fixed interest rate financial instruments expose the group to fair value interest rate risk. Variable interest rate financial instruments expose the group to cash flow interest rate risk. The group's fixed interest rate financial instruments are government securities, deposits with financial institutions and corporate bonds.

No limits are placed on the ratio of variable rate financial instruments to fixed rate financial instruments. The group manages its cash flow interest rate risk by diversification of its portfolio mix. The sensitivity analysis for interest rate risk illustrates how changes in the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates at the reporting date.

For liabilities under long-term insurance contracts with fixed and guaranteed terms, changes in interest rate will cause a change to the amount of the liability. Investment contracts with fixed and guaranteed terms, government securities and deposits with financial institutions are accounted for at fair value and their carrying amounts are sensitive to changes in the level of interest rates.

Foreign exchange risk

The group operates regionally and is exposed to foreign exchange risk arising from various foreign currency transactions, primarily with respect to the Tanzania Shilling and US dollar. Foreign exchange risk arises from reinsurance transactions with foreign reinsurance brokers. This risk is not significant and is mitigated using dollar-denominated accounts. In the year ending 31 December 2019, the group had an equivalent of KShs 52,6 million (2018: KShs 12.9 million) in reinsurance balances denominated in foreign currency and foreign currency deposit accounts.

The impact of normal exchange fluctuations in the Kenya and Tanzania shilling against the US dollar would not have a material effect on groups results. The group has a subsidiary in Tanzania whose functional currency is Tanzania Shilling.

INSURANCE RISK

Insurance risk is the risk that future claims (in relation to death, disability, ill health and withdrawal) and expenses will exceed the allowance for expected claims and expenses in the measurement of policyholder liabilities and in product pricing.

In addition to these insurance risks, the group assumes further risks in relation to policyholder behaviour (including lapses and converting recurring premium policies to paid up) and tax which could have adverse impacts on the group's earnings and capital if different from that assumed in the measurement of policyholder liabilities. Management groups these risks under insurance risk.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

2. Management of insurance and financial risk (continued)

Experience shows that the larger the portfolio of similar insurance contracts, the smaller the relative variability about the expected outcome will be. In addition, a more diversified portfolio is less likely to be affected across the board by a change in any subset of the portfolio.

The group has developed its insurance underwriting strategy to diversify the type of insurance risks accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome. Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk, geographical location and type of industry covered.

Ownership and accountability

The management and staff in all subsidiaries taking on insurance risk are responsible for the day-to-day identification, management and monitoring of insurance risk. It is also management's responsibility to report any material insurance risks, risk events and issues identified to senior management through certain pre-defined escalation procedures. The statutory actuaries and the heads of risk in the subsidiaries provide independent oversight of the compliance with the group's risk management policies and procedures and the effectiveness of the group's insurance risk management processes.

Risk identification, assessment and measurement

Insurance risks arise due to the uncertainty of the timing and amount of future cash flows arising under insurance contracts. The timing is specifically influenced by future mortality, longevity, morbidity, withdrawal and expenses about which assumptions are made in the measurement of policyholder liabilities and in product pricing. Deviations from assumptions will result in actual cash flows being different from those expected. As such, each assumption represents a source of uncertainty.

Experience investigations are conducted at least annually on all insurance risks to ascertain the reasons for deviations from assumptions and their financial impacts. If the investigations indicate that these deviations are likely to persist in future, the assumptions will be adjusted accordingly in the subsequent measurement of policyholder liabilities.

Insurance risks are assessed and reviewed against the risk appetite. Mitigating actions are developed for any risks that fall outside of management's assessment of risk appetite in order to reduce the level of risk to within the approved tolerance limits.

Risk management

The management of insurance risk is effectively the management of deviations of actual experience from the assumed best estimate of future experience. On the published reporting basis, earnings are expected as a result of the release of margins that have been added to the best estimate assumptions. The risk is that these earnings are less than expected due to adverse actual experience.

The statutory actuaries provide oversight of the insurance risks undertaken by the group in that they are required to:

- report at least annually on the financial soundness of the life companies within the group; approve policy for assumptions used to provide best estimates plus compulsory and discretionary margins
- oversee the setting of these assumptions; and
- report on the actuarial soundness of premium rates in use for new business, and the profitability of the business, taking into consideration the reasonable benefit expectations of policyholders and the associated insurance and market risks.

The group makes use of reinsurance to reduce its exposures to most insurance risks.

Policyholder behaviour risk

Policyholder behaviour risk is the risk of loss arising due to actual policyholder behaviour being different from expected.

The primary policyholder behaviour risk is persistency risk. This arises due to policyholders discontinuing or reducing contributions or withdrawing benefits partially or in total when this is not in line with expectations. This behaviour results in a loss of future charges that are designed to recoup expenses and commission incurred early in the life of the contract and to provide a profit margin or return on capital. Deterioration in persistency generally gives rise to a loss as the loss of these future charges generally exceeds the charges that the group applies to the policyholder benefits in these events.

Mortality and morbidity risk

Mortality risk is the risk of loss arising due to actual death rates on life assurance business being higher than expected. Morbidity risk is the risk of loss arising due to policyholder health-related claims being higher than expected. The group has the following processes and procedures in place to manage mortality and morbidity risk:

- Premiums are differentiated by factors which historical experience has shown are significant determinants of mortality and morbidity claim experience.
- Terms are built into the policy contracts that permit risk premiums to be reviewed on expiry of a guarantee period. Delays in implementing increases in premiums, and market or regulatory restraints over the extent of the increases may reduce their mitigating effects. Furthermore, charges can only be increased to the extent that they can be supported by gross premiums, although this is not relevant on contracts where gross premiums can be reviewed.
- Underwriting guidelines concerning authority limits and procedures to be followed are in place.
- All retail business applications for risk cover are underwritten. For smaller sums assured, this process is largely automated. For retail and corporate business, larger sums assured in excess of specified limits are reviewed by experienced underwriters and evaluated against established processes. For corporate risk business, these specified limits are scheme specific, based on the size of the scheme and distribution of sums assured.
- Part of the underwriting process involves assessing the health condition and family medical history of applicants. Terms and conditions are varied accordingly.
- The policy terms and conditions contain exclusions for non-standard and unpredictable risks that may result in severe financial loss (e.g. on life policies, a suicide exclusion applies to the sum assured for death within two years from the date of issue).
- The actual claims experience is monitored on a regular basis so that deteriorating experience can be timeously identified. Product pricing and the measurement of the liabilities is changed if the deteriorating experience is expected to continue and cannot be mitigated. Detailed mortality and morbidity investigations are conducted on a biannual basis, but mortality claim ratios are reviewed monthly.
- For morbidity, experienced claims assessors determine the merits of the claim in relation to the policy terms and conditions. In the case of disability annuitants, claim management ensures the continued eligibility for monthly income and includes interventions that may result in the full or partial medical recovery of the claimant. The actual disability experience is highly dependent on the quality of the claim assessments.
- Reinsurance arrangements are put in place to reduce the mortality and morbidity exposure per individual and provide cover in catastrophic events.

The group views mortality and morbidity risks as risks that are core to the business.

Longevity risk

Longevity risk is the risk of loss arising due to annuitants living longer than expected. For life annuities, the loss arises as a result of the group having undertaken to make regular payments to policyholders for their remaining lives, and possibly to the policyholders' spouses for their remaining lives. The most significant risk on these liabilities is continued medical advances and improvement in social conditions that lead to longevity improvements being better than expected.

The group manages longevity risk by:

- annually monitoring the actual longevity experience and identifying trends over time; and
- making allowance for future mortality improvements in the pricing of new business and the measurement of policyholder liabilities – this allowance will be based on the trends identified in experience investigations and external data.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

2. Management of insurance and financial risk (continued)

Expense risk

Expense risk is the risk of loss arising due to expenses incurred in the administration of policies being higher than expected. Allowance is made for expected future expenses in the measurement of policyholder liabilities. These expected expenses are dependent on estimates of the number of in-force and new business policies.

As a result, the risk of expense loss arises due to expenses increasing by more than expected as well as the number of in-force and/or new business policies being less than expected.

The group manages the expense risk by:

- regularly monitoring actual expenses against the budgeted expenses;
- regularly monitoring new business;
- regularly monitoring withdrawal rates including lapses; and
- implementing cost control measures in the event of expenses exceeding budget or of significant unplanned reductions in in-force policies.

Tax risk

Tax risk is the risk of loss arising due to the actual tax assessed being more than the tax expected.

Allowance for tax is made in the measurement of policyholder liabilities at the rates applicable at the financial reporting date. Adjustments may be made for known future changes in the tax regime

CONCENTRATION RISK

The following tables disclose the concentration of insurance liabilities by the class of business in which the contract holder operates and by the maximum insured loss limit included in the terms of the policy.

Cashflows receivable and payable by the group under financial assets and liabilities by remaining expected maturities at the reporting date.

KShs '000		KShs 0 – Kshs 15 million	KShs 15 – Kshs 250 million	Over Kshs 250 million	Total
2019					
General Insurance business					
Personal accident	Gross	2,229,460	34,679,335	28,778,062	65,686,857
	Net	2,195,160	29,026,569	21,070,062	52,291,791
Motor	Gross	53,641,672	25,504,148	584,789	79,730,609
	Net	41,976,080	23,644,935	253,094	65,874,109
Fire	Gross	34,267,851	123,594,919	749,717,242	907,580,012
	Net	34,597,663	107,599,451	39,301,279	181,498,393
Other	Gross	42,522,995	214,688,665	747,282,169	1,004,493,829
	Net	41,591,951	184,109,151	144,857,246	370,558,348
Total	Gross	132,661,978	398,467,067	1,526,362,262	2,057,491,307
	Net	120,360,854	344,380,106	205,481,681	670,222,641
Life insurance business					
Ordinary life	Gross	46,055,169	1,006,992	-	47,062,161
	Net	46,003,198	400,000	-	46,403,198
Annuity	Gross	30,214	-	-	30,214
	Net	30,214	-	-	30,214
Group life	Gross	186,901,644	81,040,873	-	267,942,517
	Net	175,214,714	36,426,743	-	211,641,457
Total	Gross	232,987,027	82,047,865	-	315,034,892
	Net	221,248,126	36,826,743	-	258,074,869

KShs'000		KShs 0 – KShs 15 million	KShs15 – KShs 250 million	Kshs250 – KShs 1,000 million	Total
2018					
General accident business					
Personal accident	Gross	1,257,474	21,028,517	9,058,062	31,344,053
	Net	1,105,756	18,684,151	7,621,662	27,411,569
Motor	Gross	41,595,907	23,459,110	376,930	65,431,947
	Net	35,145,653	22,082,271	171,397	57,399,321
Fire	Gross	27,271,566	96,155,200	632,774,218	756,200,987
	Net	26,983,208	79,239,445	32,466,335	138,688,988
Other	Gross	28,374,464	167,584,491	592,950,266	788,909,221
	Net	23,622,387	69,677,542	197,886,995	291,186,924
Total	Gross	98,499,411	308,227,318	1,235,159,476	1,641,886,208
	Net	86,857,004	189,683,409	238,146,389	514,686,802
Life insurance business					
Ordinary life	Gross	38,362,013	383,080	-	38,745,093
	Net	37,707,439	152,168	-	37,859,607
Annuity	Gross	29,950	-	-	29,950
	Net	29,950	-	-	29,950
Group life	Gross	252,933,982	39,187,835	2,317,593	294,439,410
	Net	175,715,577	17,614,385	-	193,329,962
Total	Gross	291,325,945	39,570,915	2,317,593	333,214,453
	Net	213,452,966	17,766,553	-	231,219,519

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

3. Intangible assets

KShs '000	Group	
	2019	2018
Cost at the beginning of the year	1,873,725	1,795,430
Additions	85,417	78,334
Disposals	(2,408)	-
Currency translation	(140)	(39)
Cost at the end of the year	1,956,594	1,873,725
Accumulated amortisation at the beginning of the year	(450,153)	(390,073)
Amortisation	(74,406)	(60,080)
Accumulated amortisation at the end of the year	(524,559)	(450,153)
Net carrying amount at the end of the year	1,432,035	1,423,572
Summary of net carrying value	Amortisation period (years)	
Goodwill	None	1,254,995
Computer software – purchased ⁽¹⁾	≤ 5	168,577

KShs'000	Group					
	Balance at beginning of year	Additions	Currency translation	Disposals	Amortisation	Balance at end of year
2019						
Cost – movement						
Goodwill	1,254,995	-	-	-	-	1,254,995
Computer software – purchased ⁽¹⁾	618,730	85,417	(140)	(2,408)	-	701,599
Total cost	1,873,725	85,417	(140)	(2,408)	-	1,956,594
Accumulated amortisation and impairment – movement						
Goodwill	-	-	-	-	-	-
Computer software – purchased ⁽¹⁾	(450,153)	-	-	-	(74,406)	(524,559)
Total accumulated amortisation and depreciation	(450,153)	-	-	-	(74,406)	(524,559)
2018						
Cost – movement						
Goodwill	1,254,995	-	-	-	-	1,254,995
Computer software – purchased ⁽¹⁾	540,435	78,334	(39)	-	-	618,730
Total cost	1,795,430	78,334	(39)	-	-	1,873,725
Accumulated amortisation						
Goodwill	-	-	-	-	-	-
Computer software – purchased ⁽¹⁾	(390,073)	-	-	-	(60,080)	(450,153)
Total accumulated amortisation and depreciation	(390,073)	-	-	-	(60,080)	(450,153)

⁽¹⁾ Purchased computer software is not judged to be an integral part of the related hardware and has been recognised as an intangible asset.

For the purpose of impairment testing, goodwill is allocated to the subsidiary which represents the lowest level within the group at which the goodwill is monitored. Each subsidiary to which goodwill has been allocated is tested for impairment at least annually by comparing the carrying amount of the subsidiary, including the goodwill, with the estimated recoverable amount of the subsidiary. The recoverable amount in each case exceeded its carrying amount hence the goodwill was not impaired.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

4. Properties

4.1 Summary

KShs'000	Notes	Group	
		2019	2018
Owner-occupied properties	4.2	1,057,958	1,060,673
Investment properties	4.3	226,729	760,855
Fair value at the end of the year		1,284,687	1,821,528
Investment property held for sale	4.4	660,000	125,000
Total property		1,944,687	1,946,528

Details of property investments are recorded in registers, which may be inspected by members or their duly authorised agents, at the company's registered office.

4.2 Owner-occupied properties

KShs'000	Group	
	2019	2018
Fair value at the beginning of the year	1,060,673	1,140,042
Additions	638	-
Disposals	-	(5,612)
Fair value adjustment	2,826	14,879
Reclassifications from investment properties (note 4.3)	1,300	(77,829)
Depreciation	(7,479)	(10,807)
Fair value at the end the of the year	1,057,958	1,060,673

All owner occupied properties are located in Kenya.

4.3 Investment properties

KShs'000	Group	
	2019	2018
Fair value at the beginning of the year	760,855	876,434
Revaluations	2,174	(68,408)
Classified as held for sale (note 4.4)	(535,000)	(125,000)
Reclassifications to owner-occupied properties (note 4.2)	(1,300)	77,829
Fair value at the end the of the year	226,729	760,855

All investment property is located in Kenya.

Minimum contractual lease income

KShs'000	Group	
	2019	2018
Maturity analysis of undiscounted rental income from investment properties		
Up to 1 year	65,000	58,500
Between 1 and 2 years	68,250	64,350
Between 2 and 3 years	71,663	70,785
Between 3 and 4 years	75,246	77,864
Between 4 and 5 years	79,008	85,650
Over 5 years	82,958	94,215
	442,125	451,364

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

4. Properties (continued)

4.4 Investment properties held for sale

Non-current assets held for sale and assets of disposal

The disposal of property classified as held-for-sale at 31 December 2018 is under agreements of sale subject to various conditions precedent being completed. It is highly probable the transaction will be completed within the next 12 months. Additionally, in 2019 management put Heritage Court, located on Mbaazi Avenue, in the market. The property is available for immediate sale in its present condition.

These investment properties are disclosed as held for sale as:

- management is committed to a plan to sell
- the asset is available for immediate sale
- an active programme to locate a buyer has been initiated
- the sale is highly probable, within 12 months of classification as held for sale (subject to limited exceptions)
- the asset is being actively marketed for sale at a sales price reasonable in relation to its fair value
- actions required to complete the plan indicate that it is unlikely that plan will be significantly changed or withdrawn

The decision was made by the board of directors to discontinue these investments due to an outcome of strategic review by the investment committee.

	Group	
KShs'000	2019	2018
Balance at the beginning of the year	125,000	125,000
Transfer from Investment properties (note 4.3)	535,000	-
Fair value at the end of the year	660,000	125,000

5. Equipment and right-of-use assets

5.1 Summary

		Group	
KShs'000	Notes	2019	2018
Equipment	5.2.1	131,128	157,939
Right-of-use assets	5.2.2	112,158	-
Total equipment and right-of-use assets		243,286	157,939

5.2 Movement analysis of equipment and right-of-use assets

		Group	
KShs'000		2019	2018
Cost at the beginning of the year		866,104	774,703
Recognised on 1 January 2019 on adoption of IFRS 16 (right-of-use assets)		125,344	-
Additions		58,009	94,160
Currency translation		(142)	-
Disposals		(12,109)	(2,759)
Cost at the end of the year		1,037,206	866,104
Accumulated depreciation at the beginning of the year		(708,165)	(663,478)
Depreciation		(85,755)	(44,687)
Accumulated depreciation at the end of the year		(793,920)	(708,165)
Net carrying amount at the end of the year		243,286	157,939
Summary of net carrying value	Depreciation period (years)		
Equipment		131,128	157,939
Computer equipment	3 - 5	39,926	38,632
Fixtures, furniture and fittings	5 - 15	83,755	104,921
Motor vehicles	5	7,447	14,386
Right-of-use assets (refer note 5.2.2)	1-10	112,158	-

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

5. Equipment and right-of-use assets (continued)

5.2 Movement analysis of equipment and right-of-use assets (continued)

5.2.1 Equipment

KShs'000	Balance at the beginning of the year	Additions	Currency translation	Disposals	Depreciation	Balance at the end of the year
2019						
Cost – movement						
Computer equipment	211,132	30,238	-	-	-	241,370
Fixtures, furniture and fittings	600,802	3,317	(142)	(12,109)	-	591,868
Motor vehicles	54,170	-	-	-	-	54,170
Total cost	866,104	33,555	(142)	(12,109)	-	887,408
Accumulated depreciation – movement						
Computer equipment	(172,500)	-	-	-	(28,944)	(201,444)
Fixtures, furniture and fittings	(495,544)	-	-	-	(12,232)	(507,776)
Motor vehicles	(40,121)	-	-	-	(6,939)	(47,060)
Total accumulated depreciation	(708,165)	-	-	-	(48,115)	(756,280)
Net carrying amount at end of the year	157,939	33,555	(142)	(12,109)	(48,115)	131,128
2018						
Cost – movement						
Computer equipment	202,122	9,010	-	-	-	211,132
Fixtures, furniture and fittings	522,287	80,950	-	(2,435)	-	600,802
Motor vehicles	50,294	4,200	-	(324)	-	54,170
Total cost	774,703	94,160	-	(2,759)	-	866,104
Accumulated depreciation – movement						
Computer equipment	(156,415)	-	-	-	(16,085)	(172,500)
Fixtures, furniture and fittings	(471,374)	-	-	-	(24,170)	(495,544)
Motor vehicles	(35,689)	-	-	-	(4,432)	(40,121)
Total accumulated depreciation	(663,478)	-	-	-	(44,687)	(708,165)
Net carrying amount at end of the year	111,225	94,160	-	(2,759)	(44,687)	157,939

5.2.2 Right-of-use assets

KShs'000	Recognised on 1 January 2019	Additions	Depreciation	Balance at the end of the year
2019				
Cost – movement				
Properties	125,344	24,454	-	149,798
Total cost	125,344	24,454	-	149,798
Accumulated depreciation – movement				
Properties	-	-	(37,640)	(37,640)
Total accumulated depreciation	-	-	(37,640)	(37,640)
Net carrying amount at end of year	125,344	24,454	(37,640)	112,158

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

6. Interest in subsidiaries

6.1 Summary

The company's interest in its subsidiaries all of which are unlisted and all of which have the same year-end as the company, were as follows:

Name of Company	Country of incorporation	Company		KShs'000 Carrying amount 2019	KShs'000 Carrying amount 2018
		Beneficial ownership 2019	Beneficial ownership 2018		
Liberty Life Assurance Kenya Limited	Kenya	100%	100%	1,826,254	1,826,254
The Heritage Insurance Company Kenya Limited	Kenya	100%	100%	741,287	741,287
Heritage Insurance Company Tanzania Limited	Tanzania	60%	60%	-	-
CfC Investments Limited	Kenya	100%	100%	4,000	4,000
				2,571,541	2,571,541

6.2 Analysis

KShs'000	Company	
	2019	2018
Shares held at cost	3,202,333	3,202,333
Impairment provision	(630,792)	(630,792)
Total interest in subsidiaries	2,571,541	2,571,541

Subsidiaries impairment testing

Equity investments in subsidiary companies are measured at cost less any impairment losses. The carrying amount of these investments are assessed annually for impairment indicators. If an indicator exists, for semi-dormant, dormant and investment holding subsidiaries, the subsidiaries impairment is referenced to the net asset value calculated on a fair value basis. Operating subsidiaries are assessed against discounted cash flow models or price earnings valuation techniques referenced to approved business plans.

6.3 Intergroup balances with subsidiaries at amortised cost

KShs'000	Company	
	2019	2018
Intergroup balances – at amortised cost under IFRS 9	(12,252)	(16,923)
Total intergroup balances with subsidiaries	(12,252)	(16,923)
6.3.1 Movement analysis of intergroup balances with subsidiaries		
Intergroup balances with subsidiaries at the beginning of the year	(16,923)	(362,008)
Advances	(225,031)	(203,584)
Repayments	229,702	548,669
Intergroup balances with subsidiaries at the end of the year	(12,252)	(16,923)

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

7. Deferred acquisition costs

	Group	
KShs'000	2019	2018
Balance at the beginning of the year	72,268	26,588
Cost of new business acquired	128,529	72,268
Amortisation realised through profit or loss	(72,268)	(26,588)
Balance at the end of the year	128,529	72,268
Current	128,529	72,268
Non-current	-	-

Deferred acquisition costs are amounts incurred on acquiring policyholder investment contracts. They are amortised to income over the contract period.

8. Financial instruments

8.1 Financial investments

	Group	
KShs'000	2019	2018
At fair value through profit or loss		
Equity instruments	4,093,070	3,566,006
Listed	4,052,399	3,525,935
Unlisted	40,671	40,071
Debt instruments	19,750,123	17,073,862
Unlisted term deposits	432,533	1,115,792
Listed government bonds ^(1,2)	19,317,590	15,958,070
Amortised cost		
Loans receivable ^(3,4)	1,791,734	1,816,935
Total financial investments	25,634,927	22,456,803

⁽¹⁾ As at 31 December 2019, Liberty Life Assurance Kenya Limited had a total of KShs 1,335,600,000 (2018: KShs 1,235,600,000) of government securities held under lien in favour of Insurance Regulatory Authority as prescribed by the Insurance Act section 32 (1(a)).

⁽²⁾ As at 31 December 2019, Heritage Insurance Kenya Company Limited had a total of KShs 550 million (2018: KShs 550 million) of government securities held under lien in favour of Insurance Regulatory Authority, as prescribed by the insurance Act section 32.

⁽³⁾ Mortgage loans offered to staff members as a benefit which are collateralised. Liberty Kenya Holdings Plc have the first right to recover mortgage deductions from employment income: and

⁽⁴⁾ Policy loans are to existing policyholders. These are advanced to policyholders and secured against the insurance contract value. The balances are collateralised given that the contract is surrendered automatically as soon as the loan value equates to the contract value. The proceeds from surrender value is applied to pay off the loan.

The risk of default occurring over the expected life of the financial instrument has not increased significantly during the year for the year ended 31 December 2019, any expected impairment losses would therefore be recognised under the 12 months expected credit loss. The mortgage loans and policy loans are assessed to have a negligible expected credit loss impairment as they have a low risk of default. The borrower has a high probability of meeting cash flow obligations due to the loans being recovered either directly from staff salaries or being limited to the surrender value of policyholder investments respectively. The expected credit impairment loss was immaterial as at 31 December 2019, and 31 December 2018.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

8. Financial instruments (continued)

8.2 Movement analysis of financial investments measured at fair value through profit or loss and/or amortised cost

KShs'000	Group		
	Fair value through profit or loss	Financial assets measured at amortised cost	Total
2019			
Balance at the beginning of the year	20,639,868	1,816,935	22,456,803
Additions to financial investments	15,358,290	177,163	15,535,453
Interest on amortised cost instruments	-	167,144	167,144
Maturities/disposals	(15,229,427)	-	(15,229,427)
Repayments	-	(379,007)	(379,007)
Fair value adjustments	3,076,042	-	3,076,042
Net recoveries	-	9,499	9,499
Foreign currency translation	(1,580)	-	(1,580)
Balance at the end of the year	23,843,193	1,791,734	25,634,927
2018			
Balance at the beginning of the year	22,953,408	1,928,552	24,881,960
Additions to financial investments	12,974,840	153,910	13,128,750
Interest on amortised cost instruments	-	176,534	176,534
Maturities/disposals	(16,791,525)	-	(16,791,525)
Repayments	-	(409,243)	(409,243)
Fair value adjustments	1,573,368	-	1,573,368
Net impairments	-	(32,818)	(32,818)
Fair value loss	(62,500)	-	(62,500)
Foreign currency translation	(7,723)	-	(7,723)
Balance at the end of the year	20,639,868	1,816,935	22,456,803

9. Prepayments, insurance and other receivables

KShs'000	Group	
	2019	2018
Insurance contracts	320,487	161,224
Reinsurance recoveries and deposits	320,487	161,224
Prepayments and other receivables at fair value through profit or loss (default)	-	3,300
Investment debtors	-	3,300
Prepayments and other receivables at amortised cost	1,023,285	1,098,305
Agents, brokers and intermediaries ⁽¹⁾	577,646	824,923
Prepayments ⁽²⁾	307,907	169,145
Other debtors ⁽²⁾	137,732	104,237
Total prepayments, insurance and other receivables	1,343,772	1,262,829

⁽¹⁾ Balances are net of expected credit loss allowances.

⁽²⁾ These balances are either not subject to expected credit losses or the expected credit loss is immaterial.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

9. Prepayments, insurance and other receivables (continued)

9.1 Movement in impairment losses on agents, brokers and intermediaries

The group applies the simplified approach to providing for expected credit losses prescribed by IFRS 9, which permits the use of lifetime expected loss provisions for all trade receivables at amortised cost.

KShs'000	2019	2018
Balance at the beginning of the year	(426,900)	(446,401)
Increase in loss allowance recognised in profit or loss during the period	(51,002)	(16,686)
Bad debts written off	-	101,733
IFRS 9 transition adjustment	-	(65,546)
Closing expected credit loss allowance	(477,902)	(426,900)

Due to the amounts being immaterial, the impairment loss adjustment has not been disclosed on the face of the statement of comprehensive income.

Ageing of agents, brokers and intermediaries balances

Carrying amount KShs'000	2019	2018
Current	577,646	824,923
1 - 30 days past due	5,956	23,470
31 - 60 days past due	13,416	10,029
61 - 90 days past due	2,500	5,800
More than 90 days past due	456,030	387,601
Impairment allowance	(477,902)	(426,900)
	577,646	824,923

Write off policy for balances from agents and brokers

Balances due from agents and brokers are written off when there is no reasonable expectation of recovery. Conditions for write-off are that 1) a debt shall be considered to have become bad if it is proved to the satisfaction of the board to have become uncollectable after all reasonable steps have been taken to collect it and 2) a debt shall only be considered uncollectable where the creditor loses the contractual right through a court order, no form of security or collateral is realisable whether partially or in full, the securities or collateral have been realised but the process fail to cover the entire debt, the debtor is adjudged insolvent or bankrupt by a court of law and the cost of recovering the debt exceeds the debt itself.

10. Long-term policyholder liabilities and reinsurance assets

KShs'000	Group		
	Policyholder liabilities	Reinsurance assets	Investment contracts with DPF ⁽¹⁾
2019			
Balance at the beginning of the year	2,884,245	(76,171)	5,860,977
Inflows	3,351,587	(205,070)	1,109,356
Premiums	2,432,476	(205,070)	395,740
Investment returns	919,111	-	713,616
Outflows	(2,765,826)	54,122	(929,455)
Claims and policyholder benefits under insurance contracts	(1,573,758)	54,122	(716,188)
Acquisition costs associated with insurance contracts	(348,443)	-	(42,687)
General marketing and administration expenses	(770,175)	-	(149,396)
Taxation	(73,450)	-	(21,184)
Net income from insurance operations	(352,643)	196,943	(1,151,220)
Balance at the end of the year	3,117,363	(30,176)	4,889,658
Reinsurance assets		(30,176)	
Current	(170,113)	2,699	(79,018)
Non-current	3,287,476	(32,875)	4,968,676

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

10. Long-term policyholder liabilities and reinsurance assets (continued)

KShs '000	Group		
	Policyholder liabilities	Reinsurance assets	Investment contracts with DPF ⁽¹⁾
2018			
Balance at the beginning of the year	3,037,877	(165,895)	7,833,598
Inflows	3,022,976	(192,952)	956,730
Premiums	2,098,072	(192,952)	503,268
Investment returns	924,904	-	453,462
Outflows	(3,001,772)	(11,441)	(2,638,970)
Claims and policyholder benefits under insurance contracts	(1,857,328)	(11,441)	(2,315,746)
Acquisition costs associated with insurance contracts	(392,304)	-	(71,100)
General marketing and administration expenses	(690,929)	-	(234,877)
Taxation	(61,211)	-	(17,247)
Net income from insurance operations	(174,836)	294,117	(290,381)
Balance at the end of the year	2,884,245	(76,171)	5,860,977
Reinsurance assets		(76,171)	
Current	(494,512)	7,432	(771,470)
Non-current	3,378,757	(83,603)	6,632,447

⁽¹⁾ The group cannot reliably measure the fair value of the investment contracts with discretionary participation features (DPF). The DPF is a contractual right that gives investors in these contracts the right to receive supplementary discretionary returns through participation in the surplus arising from the assets held in the investment DPF fund. These supplementary returns are subject to the discretion of the group.

Given the discretionary nature of these investments returns and the absence of an exchange market in these contracts, there is no generally recognised methodology available to determine fair value. These instruments are issued by the group and the intention is to hold the instruments to full contract term.

Movement in insurance liabilities

KShs '000	Group		
	Insurance contract liabilities	Outstanding claims	Total
2019			
At start of the year	2,884,245	306,746	3,190,991
At end of the year	3,117,363	256,502	3,373,865
Movement	(233,118)	50,244	(182,874)
(Charge)/credit to statement of comprehensive income			
Liabilities under insurance contracts	(230,320)	-	(230,320)
Change in long-term policyholder insurance liabilities (application of shadow accounting)	(2,798)	-	(2,798)
Claims and policyholder benefits under insurance contracts	-	50,244	50,244
Total income statement adjustment	(233,118)	50,244	(182,874)
2018			
At start of the year	3,037,877	319,583	3,357,460
At end of the year	2,884,245	306,746	3,190,991
Movement	153,632	12,837	166,469
(Charge)/credit to statement of comprehensive income			
Liabilities under insurance contracts	153,632	-	153,632
Change in long-term policyholder insurance liabilities (application of shadow accounting)	(11,259)	-	(11,259)
Claims and policyholder benefits under insurance contracts	-	12,837	12,837
Total income statement adjustment	142,373	12,837	155,210

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

11. Cash and cash equivalents

KShs '000	Group		Company	
	2019	2018	2019	2018
Cash and cash equivalents at amortised cost	4,493,680	6,240,923	12,859	10,659
Cash at bank and on hand	1,038,411	665,637	12,859	10,659
Short-term cash deposits	3,455,269	5,575,286	-	-
Total cash and cash equivalents	4,493,680	6,240,923	12,859	10,659

Impairments on cash and cash equivalents held at amortised cost are measured on a 12-month expected credit loss basis and reflects the short-term maturities of the exposures. The group considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties. Impairment losses for cash and cash equivalents held at amortised cost were assessed and considered immaterial.

12. Deferred taxation

KShs'000	Group	
	2019	2018
Deferred tax assets (non-current)	230,766	221,494
Deferred tax liabilities (non-current)	(1,064,840)	(1,059,984)

Deferred tax liabilities relate to un-distributed surplus on the statutory funds of Liberty Life Assurance Kenya Limited.

12.1 Deferred tax assets

KShs'000	Group			
	Asset/(liability) at the beginning of the year	IFRS 9 transitional adjustment	(Provision)/release for the year	Asset/(liability) at the end of the year
2019				
Normal taxation				
Property, plant and equipment	23,722	-	354	24,076
Fair value gains	(24,801)	-	-	(24,801)
Currency translation	3,239	-	(330)	2,909
Prepayments, provisions and other temporary differences	219,334	-	9,248	228,582
Total	221,494	-	9,272	230,766
2018				
Normal taxation				
Property, plant and equipment	21,905	-	1,817	23,722
Fair value gains	(24,801)	-	-	(24,801)
Currency translation	5,512	-	(2,273)	3,239
Prepayments, provisions and other temporary differences	225,556	29,421	(35,643)	219,334
Total	228,172	29,421	(36,099)	221,494

12.2 Deferred tax liabilities

KShs'000	1 January 2019	Credit/(charge) to IS	Credit/(charge) to equity	31 December 2019
(Charge)/Credit to profit or loss and other comprehensive income	(1,058,898)	(4,848)	-	(1,063,746)
Fair value gains	(1,086)	-	(8)	(1,094)
	(1,059,984)	(4,848)	(8)	(1,064,840)

KShs'000	1 January 2018	Credit/(charge) to IS	Credit/(charge) to equity	31 December 2018
Charge/(Credit) to profit or loss and other comprehensive income	(1,085,120)	26,222	-	(1,058,898)
Fair value gains	-	-	(1,086)	(1,086)
	(1,085,120)	26,222	(1,086)	(1,059,984)

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

13. Short-term insurance liabilities

13.1 Movement analysis

KShs'000	2019			2018		
	Gross of reinsurance	Reinsurance asset	Net of reinsurance	Gross of reinsurance	Reinsurance asset	Net of reinsurance
Outstanding reported claims	2,965,871	(1,142,370)	1,823,501	2,797,727	(1,066,656)	1,731,071
Claims incurred but not reported	632,170	(277,602)	354,568	654,576	(169,771)	484,805
Unearned premiums	2,995,655	(1,289,142)	1,706,513	2,846,218	(1,389,163)	1,457,055
Total short-term insurance liabilities	6,593,696	(2,709,114)	3,884,582	6,298,521	(2,625,590)	3,672,931
Current	6,593,696	(2,709,114)	3,884,582	6,298,521	(2,625,590)	3,672,931
Non-current	-	-	-	-	-	-

13.2 Movement analysis

Outstanding reported claims						
Balance at the beginning of the year	2,797,727	(1,066,656)	1,731,071	2,219,200	(611,467)	1,607,733
Cash-settled claims	(3,195,315)	1,428,776	(1,766,539)	(3,048,775)	1,336,290	(1,712,485)
Claims provided for	3,376,993	(1,513,468)	1,863,525	3,631,715	(1,794,109)	1,837,606
Currency translation	(13,534)	8,978	(4,556)	(4,413)	2,630	(1,783)
Balance at the end of the year	2,965,871	(1,142,370)	1,823,501	2,797,727	(1,066,656)	1,731,071
Claims incurred but not reported						
Balance at the beginning of the year	654,576	(169,771)	484,805	581,358	(150,427)	430,931
Movements for the year	(21,225)	(108,769)	(129,994)	73,417	(19,574)	53,843
Currency translation	(1,181)	938	(243)	(199)	230	31
Balance at the end of the year	632,170	(277,602)	354,568	654,576	(169,771)	484,805
Unearned premiums						
Balance at the beginning of the year	2,846,218	(1,389,163)	1,457,055	2,898,050	(1,473,762)	1,424,288
Premiums received	8,069,365	(3,727,074)	4,342,291	7,356,257	(3,616,081)	3,740,176
Recognised to revenue	(7,942,948)	3,843,195	(4,099,753)	(7,423,310)	3,715,425	(3,707,885)
Currency translation	23,020	(16,100)	6,920	15,221	(14,745)	476
Balance at the end of the year	2,995,655	(1,289,142)	1,706,513	2,846,218	(1,389,163)	1,457,055

13.3 Claims development

The claims development tables below are based on the actual date of the event that caused the claim (incident year basis).

KShs'000	Incident year						
	Total	2019	2018	2017	2016	2015	2014 and prior
Short-term insurance liabilities – gross claims paid in respect of reporting year at the applicable exchange rate							
2019							
2019	3,195,315	1,604,371	968,368	281,231	146,761	173,665	20,919
2018	3,048,775	-	1,628,345	801,044	280,328	143,671	195,387
2017	3,192,845	-	-	1,925,481	580,682	292,241	394,441
2016	3,175,662	-	-	-	1,435,726	845,031	894,905
2015	3,127,610	-	-	-	-	2,484,630	642,980
Cumulative payments to date	15,740,207	1,604,371	2,596,713	3,007,756	2,443,497	3,939,238	2,148,632

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

14. Insurance and other payables

14.1 Insurance and other payables

	Group	
KShs'000	2019	2018
Long-term insurance contracts	20,113	47,032
Arising from re-insurance	20,113	47,032
Short-term insurance contracts	1,004,562	1,178,914
Arising from direct insurance	493,243	552,382
Arising from reinsurance	511,319	626,532
Other payables at amortised cost	1,212,115	1,070,375
Sundry payables	1,212,115	1,070,375
Total insurance and other payables	2,236,790	2,296,321
Current	2,236,790	2,296,321
Non-current	-	-

14.2 Insurance and other payables

	Company	
KShs'000	2019	2018
Due to group companies (note 6.3)	12,252	16,923
Other payables	19,660	23,066
Total other payables ¹	31,912	39,989

¹ All current

15. Lease liabilities

	Group
KShs'000	2019
Recognised on 1 January 2019	125,344
Lease liability incurred during the year	24,454
Finance cost	13,272
Repayments	(53,278)
Balance at the end of the year	109,792
Current	50,735
Non-current	59,057

15.1 Maturity analysis – contractual undiscounted cash flows

As lessor

	Group	
KShs'000	2019	2018
Up to 1 year	52,160	14,470
Between 1 and 5 years	101,305	126,638
Total undiscounted lease liabilities at the end of the year	153,632	141,108

The group leases properties which are typically used as branch offices for the sales force or as administration offices. The leases of office space typically runs for a period of six years. Some leases include an option to renew the lease for an additional period after the end of the initial contract term. If it is reasonably certain that the lessee will renew, this is included in the lease liability on day one.

As lessee

	Group	
KShs'000	2019	2018
Up to 1 year	51,461	30,287
Between 1 and 5 years	105,363	227,824
Over 5 years	19,635	-
Total undiscounted lease liabilities at the end of the year	176,459	258,111

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

16. Financial liabilities under investment contracts

KShs '000	2019	2018
Balance at the beginning of the year	9,892,067	9,489,513
Funds inflows from investment contracts	2,763,451	2,275,305
Net fair value adjustment	854,456	828,319
Fund outflows from investment contracts	(1,190,755)	(2,084,811)
Service fee income	(627,015)	(616,259)
Balance at the end of the year	11,692,204	9,892,067

17. Fair value hierarchy

Fair value is the amount for which an asset could be exchanged, or liability settled between knowledgeable willing parties in an arm's length transaction. IFRS 7 and IFRS 13 requires disclosure of fair value measurements by level according to the following fair value measurement hierarchies:

- Level 1 – Values are determined using readily and regularly available quoted prices in an active market for identical assets or liabilities. These prices would primarily originate from the Nairobi Securities Exchange, or an international stock or bond exchange.
- Level 2 – Values are determined using valuation techniques or models, based on assumptions supported by observable market prices or rates either directly (that is, as prices) or indirectly (that is, derived from prices) prevailing at the balance sheet date. The valuation techniques or models are periodically reviewed, and the outputs validated.
- Level 3 – Values are estimated indirectly using valuation techniques or models for which one or more of the significant inputs are reasonable assumptions (that is unobservable inputs), based on market conditions.

17.1 The following table presents the group's assets and liabilities that are measured at fair value at 31 December 2019 and 31 December 2018.

Asset hierarchy

KShs'000	Level 1	Level 2	Level 3	Total
2019				
Fair value through profit or loss				
Quoted shares	4,052,399	-	-	4,052,399
Unquoted shares	-	-	40,671	40,671
Listed government bonds ¹	-	19,317,590	-	19,317,590
Unlisted term deposits ²	-	432,533	-	432,533
	4,052,399	19,750,123	40,671	23,843,193
Other assets measured at fair value				
Investment property	-	-	226,729	226,729
Investment property held for sale	-	-	660,000	660,000
Owner occupied property	-	-	1,057,958	1,057,958
	-	-	1,944,687	1,944,687
2018				
Fair value through profit or loss				
Quoted shares	3,525,935	-	-	3,525,935
Unquoted shares	-	-	40,071	40,071
Listed government bonds ¹	-	15,958,070	-	15,958,070
Unlisted term deposits ²	-	1,115,792	-	1,115,792
	3,525,935	17,073,862	40,071	20,639,868
Other assets measured at fair value				
Investment property	-	-	760,855	760,855
Investment property held for sale	-	-	125,000	125,000
Owner occupied property	-	-	1,060,673	1,060,673
	-	-	1,946,528	1,946,528

¹ Listed government bonds include Treasury bond and Treasury Bills

² Unlisted term deposits refers to Corporate bonds

Liability hierarchy

KShs'000	Level 1	Level 2	Level 3	Total
2019				
Financial liabilities under investment contracts	-	11,692,204	-	11,692,204
	-	11,692,204	-	11,692,204
2018				
Financial liabilities under investment contracts	-	9,892,067	-	9,892,067
	-	9,892,067	-	9,892,067

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

17. Fair value hierarchy (continued)

17.2 The following table presents the group's assets and liabilities that are measured at amortised cost at 31 December 2019 and 31 December 2018.

KShs'000	Level 1	Level 2	Level 3	Total
2019				
Financial assets measured at amortised cost				
Loans receivable	-	-	1,791,734	1,791,734
	-	-	1,791,734	1,791,734

KShs'000	Level 1	Level 2	Level 3	Total
2018				
Financial assets measured at amortised cost				
Loans receivable	-	-	1,816,935	1,816,935
	-	-	1,816,935	1,816,935

The fair value of receivables, cash and cash equivalents and other payables that are held at amortised cost approximate their carrying value and are not included in the above hierarchy table as their settlement terms are short-term and therefore from a materiality perspective fair values are not required to be modelled.

18. Share capital

	Group		Company	
KShs'000	2019	2018	2019	2018
Authorised share capital				
535 707 499 ordinary shares with a par value of KShs 1 per share	535,707	535,707	535,707	535,707
Issued share capital				
535 707 499 ordinary shares with a par value of KShs 1 per share	535,707	535,707	535,707	535,707
Share premium	1,490,480	1,490,480	1,490,480	1,490,480
Total issued share capital	2,026,187	2,026,187	2,026,187	2,026,187

19. Premiums

	Group	
KShs'000	2019	2018
Insurance premiums	10,771,164	10,217,603
Long-term	2,828,216	2,794,293
Short-term	7,942,948	7,423,310
Reinsurance premiums	(4,048,265)	(3,908,377)
Long-term	(205,070)	(192,952)
Short-term	(3,843,195)	(3,715,425)
Net insurance premiums	6,722,899	6,309,226

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

20. Revenue from contracts with customers

	Group	
KShs'000	2019	2018
Fee income		
Reinsurance arrangements	829,724	844,015
Service fee income from re-insured business	829,724	844,015
Fee revenue	29,212	58,409
Other fee revenue	29,212	58,409
Total fee income	858,936	902,424

IFRS 15 requires disclosure of information relating to the timing of revenue recognised from contracts with customers. All revenue from contracts with customers is recognised over time.

Service fee income on policy holder investment contracts comprise of administration services and is recognised over time as services are rendered, with reference to the contract terms (agreed fee and service). These fees are generally recognised on a daily basis at these services are rendered consistently over the contract period and include utilisation of skilled professionals' time and applicable support services including IT systems.

21. Investment income and interest income on financial assets using the effective interest rate method

21.1 Investment income

	Group	
KShs'000	2019	2018
Investment properties – rental income	73,992	98,448
Sundry income	1,110	(2,289)
Total investment income	75,102	96,159

	Company	
KShs'000	2019	2018
Dividends from subsidiaries	494,000	800,669

21.2 Interest income on financial assets using the effective interest rate method

	Group	
KShs'000	2019	2018
Interest income on cash and cash equivalents	183,696	239,218
Loan receivables	167,144	176,534
Total interest income on financial assets using the effective interest rate method	350,840	415,752

22. Fair value adjustments to assets held at fair value through profit or loss

	Group	
KShs'000	2019	2018
Investment properties	2,174	15,121
Financial assets at fair value through profit or loss (default)	3,076,042	1,573,368
Total fair value adjustments to assets held at fair value through profit or loss	3,078,216	1,588,489

Included in the fair value adjustments for 2019 was KShs 229 million (2018: KShs 113 million) related to dividends received, and KShs 1,923 million (2018: KShs 2,111 million) related to interest income.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

23. Impairment of subsidiary

KShs'000	Company	
	2019	2018
Impairment in subsidiary*	-	(630,792)

* In 2018 the company made a impairment adjustment to reflect the investment in the subsidiary at net asset value. This adjustment had no impact in the group consolidated results.

24. Claims and policyholder benefits

KShs'000	Group	
	2019	2018
Insurance claims and policyholder benefits	6,728,680	7,376,181
Long-term	3,372,912	3,671,049
Short-term	3,355,768	3,705,132
Total claims and policyholder benefits	6,728,680	7,376,181
Insurance claims recovered from reinsurers	(1,676,359)	(1,802,242)
Long-term	(54,122)	11,441
Short-term	(1,622,237)	(1,813,683)
Net claims and policyholder benefits	5,052,321	5,373,939
Comprising:		
Long-term insurance – retail	917,650	1,321,046
Death and disability claims	64,458	31,690
Policy maturity claims	837,783	1,035,217
Policy surrender claims	15,409	254,139
Long-term insurance – institutional	2,401,140	2,361,444
Death and disability claims	310,214	401,653
Scheme terminations and member withdrawals	2,049,735	1,920,144
Annuity payments	41,191	39,647
Short-term insurance	1,733,531	1,891,449
Medical risk	546,275	395,231
Motor, property and other	1,187,256	1,496,218
Total claims and policyholder benefits	5,052,321	5,573,939

25. Acquisition costs

KShs'000	Group	
	2019	2018
Long-term insurance	436,640	355,996
Insurance contracts	360,550	287,872
Investment contracts	76,090	68,124
Short-term insurance	949,628	810,088
Total acquisition costs	1,386,268	1,166,084
Incurred during the year	1,442,529	1,211,764
Deferred acquisition costs	(128,529)	(72,268)
Amortisation of deferred acquisition costs	72,268	26,588

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

26. Other operating expenses

26.1 Staff costs

KShs'000	Group		Company	
	2019	2018	2019	2018
Salaries and wages	1,160,482	1,075,491	85,281	79,633
Social security benefits costs	62,061	58,453	-	-
Group life and medical contributions	90,500	88,977	-	-
Staff and management incentives	19,100	24,277	-	-
Retirement benefits costs	34,025	35,088	-	-
Termination costs	15,468	-	-	-
Other staff emoluments	123,238	109,724	-	-
	1,504,874	1,392,010	85,281	79,633

26.2 Other operating expenses

KShs'000	Group		Company	
	2019	2018	2019	2018
Advertising	247,079	235,120	2,885	3,194
Agency expenses	261,071	249,659	-	-
Amortisation and impairment of intangible assets (refer note 3)	74,406	60,080	-	-
Auditor's remuneration	24,392	23,172	2,836	3,201
Communication expenses	31,771	31,956	-	2
Depreciation owned assets (refer note 4 and 5)	93,234	55,494	-	-
Directors' fees	34,609	20,204	6,060	4,350
Impairment charge for doubtful receivables	34,508	5,503	-	-
Legal and other professional fees	123,859	91,489	-	-
Office expenses	186,000	61,518	7,998	5,978
Rent and related expenses	112,666	198,744	-	-
Premium tax, stamp duty and collection charges	99,126	112,525	-	-
Repairs and maintenance	28,179	56,906	-	-
Sponsorships and awards	16,161	31,626	-	-
System costs	54,934	59,171	-	-
Training costs	21,785	14,504	-	-
Group management services	168,735	180,369	-	-
Other	157,919	147,459	110,809	101,985
	1,770,434	1,635,499	130,588	118,710
Total other operating expenses	3,275,308	3,027,509	215,869	198,343

27. Finance costs

KShs'000	Group	
	2019	2018
Lease liability finance costs (note 15)	13,272	-
Total finance costs	13,272	-

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

28. Non-controlling interests (NCI)

	Heritage Tanzania 2019	Heritage Tanzania 2018
NCI percentage	40%	40%
KShs'000		
Non-current assets	85,008	133,660
Current assets	3,120,538	2,556,795
Current liabilities	(2,543,987)	(1,987,839)
Net assets	661,559	702,616
Net assets attributable to NCI	264,624	281,046
Revenue	2,357,036	1,895,055
Total Comprehensive income	97,975	139,534
Profit allocated to NCI	39,190	55,815
Foreign currency translation differences	(2,444)	(10,987)
Cashflows from operating activities	115,160	90,936
Cashflows from investing activities	66,323	67,320
Cashflows from financing activities	(53,168)	(55,332)
Net increase/(decrease) in cash and cash equivalents	128,315	102,924

29. Taxation

29.1 Sources of taxation

	Group	
KShs'000	2019	2018
Kenyan normal taxation	403,893	312,334
Current year taxation	413,880	318,824
Current year deferred taxation	1,344	(6,490)
Prior year tax under/(over) provision	(11,331)	-
Foreign normal taxation	55,086	63,096
Current year taxation	39,284	46,731
Prior year under/(over) provision	10,239	-
Current year deferred taxation	5,563	16,365
Total taxation	458,979	375,430
Charged through profit or loss	458,979	375,430

29.2 Taxation rate reconciliation

	Group	
KShs'000	2019	2018
Profit before income tax	1,199,372	924,956
Tax at statutory tax rate of 30% (2018: 30%)	359,812	277,487
Tax effect of:		
Income not subjected to tax	(16,453)	(8,894)
Tax effect of Interest income	(442)	(1,293)
Prior year tax under/(over) provision	(1,092)	-
Expenses not deductible for tax purposes	117,154	108,130
Income tax expense	458,979	375,430
%		
Effective rate of shareholder taxation	38.3	40.6
<i>Adjustments due to:</i>		
Income exempt from normal taxation	1.4	1.0
<i>Non-tax deductible expenses:</i>		
Provisions and non-deductible expenses	(9.8)	(11.7)
Tax effect of interest income	-	0.1
Over/(under) provision of taxes in respect of prior years	0.1	-
Standard rate of Kenyan taxation	30.0	30.0

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

29. Taxation (continued)

29.3 Tax (payable)/recoverable movement

KShs'000	Group	
	2019	2018
As at 1 January	(58,223)	(11,040)
Current tax charge for the year	(463,403)	(365,557)
Instalment tax paid	487,410	318,374
As at 31 December	(34,216)	(58,223)
Comprising		
Current taxation recoverable	30,882	94,922
Current taxation payable	(65,098)	(153,145)
	(34,216)	(58,223)

30. Earnings per share

The Calculation of basic earnings per share has been based on the following profit attributable to ordinary shareholders and weighted-average number of ordinary shares outstanding

Basic and diluted earnings per share

KShs'000	Group		Company	
	2019	2018	2019	2018
Profit for the year, attributable to the owners of the company	701,203	493,711	278,131	(28,609)
Number of shares				
Weighted and diluted average number of ordinary shares	535,707	535,707	535,707	535,707
Earnings per share (KShs)	1.31	0.92	0.52	(0.05)
The company did not issue new shares in the year.				

31. Cash utilised by operations

Reconciliation of profit before income tax to cash generated from operations

Notes	Group		Company	
	2019	2018	2019	2018
KShs'000				
Reconciliation of total earnings to cash utilised by operations				
Profit before taxation	1,199,372	924,956	278,131	(28,466)
Adjustments for:				
Interest received	(350,840)	(415,752)	-	-
Interest paid	13,272	-	-	-
Net fund (outflows)/inflows after service fees on policyholder investment contracts	945,681	(425,765)	-	-
Deferred acquisition costs on new business	(128,529)	(72,268)	-	-
	1,678,956	11,171	278,131	(28,466)
Adjustments for non-cash items:				
Policyholder liability transfers	10, 16	64,333	(1 393,275)	-
Net movement on short-term insurance liabilities net of reinsurance	13	209,530	211,731	-
Amortisation of deferred acquisition costs	7	72,268	26,588	-
Amortisation and impairment of intangible assets	3	74,406	60,080	-
Depreciation of equipment	5	48,115	44,687	-
Depreciation of right-of-use assets	5	37,640	-	-
Depreciation of owner occupied properties	4	7,479	10,807	-
Loss on disposal of equipment and intangible assets		9,843	-	-
Fair value adjustments to assets held at fair value through profit and loss	22	(3,078,216)	(1,588,489)	-
Impairment of subsidiary		-	-	630,792
	(875,646)	(2,616,700)	278,131	602,326
Working capital changes:	(138,353)	1,590,426	(8,076)	(341,161)
Prepayments, insurance and other receivables	(78,822)	2,069,575	-	101
Insurance and other payables	(59,531)	(479,149)	(8,076)	(341,262)
Cash generated/(utilised) by operations	(1,013,999)	(1,026,274)	270,055	261,165

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

32. Change in accounting and presentation policies

Changes in accounting policies

The group adopted all the new, revised or amended accounting pronouncements as issued by the International Accounting Standards Board (IASB) which were effective for the group from 1 January 2019. In particular, the following standards had an impact on the group's financial statements.

Adoption of IFRS 16 Leases

As a lessee

The group has applied IFRS 16 retrospectively from 1 January 2019, using the modified retrospective approach. Comparatives are not restated under this approach and therefore the comparative information continues to be reported under IAS 17 and IFRIC 4. There was no impact to the group's opening retained earnings on adoption of IFRS 16.

Previously, the group determined at contract inception whether an arrangement is or contains a lease under IFRIC 4. Under IFRS 16, the group assesses whether a contract is or contains a lease based on the definition of a lease, refer to accounting policy 6.3. On transition to IFRS 16, the group elected to apply the practical expedient, i.e. to apply IFRS 16 only to contracts that were previously identified as leases. Contracts that were not identified as leases under IAS 17 and IFRIC 4 were not reassessed for whether there is a lease. Therefore, the definition of a lease under IFRS 16 was applied only to contracts entered into or changed on or after 1 January 2019.

At transition, lease liabilities were measured at the present value of the remaining lease payments, discounted at the group's incremental borrowing rates as at 1 January 2019. The rates applied to discount the operating lease commitments ranged from 13% to 14%, due to the multiple jurisdictions the group operates within. The total discounted operating lease commitments and anticipated lease extensions for properties as at 1 January 2019 amounted to KShs 125 million.

A right-of-use property asset was recognised on the same date at an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments relating to that lease recognised in the statement of financial position immediately before the date of initial application (KShs 125 million).

Depreciation on the right-of-use asset and finance costs on the finance lease liability is recognised in the income statement, rather than the previously recognised operating lease charges (under IAS 17). The net impact to earnings for the year ended 31 December 2019 resulting from the difference between operating lease charges under IAS 17 and the IFRS 16 income statement expenses (depreciation and finance costs) is not significant (less than KShs 8 million). As the impact is immaterial, disclosure on the impact of earnings per share has not been provided.

In applying IFRS 16 for the first time, the group used certain other practical expedients permitted by the standard, namely the use of a single discount rate for a portfolio of leases with reasonably similar characteristics, the accounting for operating leases with a remaining lease term of less than 12 months as at 1 January 2019 as short-term leases (as long as there was no option to extend), the exclusion of initial direct costs for the measurement of the right-of-use asset at the date of initial application, and the use of hindsight in determining the lease term where the contract contains options to extend or terminate the lease.

As a lessor

Liberty Kenya Holdings Plc is not required to make any adjustments on transition to IFRS 16 for leases in which it acts as a lessor.

Changes in presentation

IAS 1 Presentation of Financial Statements, prescribes that materiality applies to the complete set of financial statements and that the inclusion of immaterial information can inhibit the usefulness of financial disclosures. As a consequence, the group undertook a project to assess the appropriateness of disclosures in the annual financial statements and removed or amended immaterial disclosures, resulting in a more streamlined and concise set of annual financial statements.

Key changes made to the primary financial statements include:

Statements of financial position

- Reordering the statement of financial position by order of liquidity.
- Combining owner-occupied and investment properties into one-line item named: Properties.
- Disclosing loan receivables separately from financial instruments

Statements of profit or Loss and other Comprehensive income.

- The combining of the statements of profit or loss and statements of other comprehensive income into statements of comprehensive income.
- Service fee income from long-term policyholder investment contracts, fee revenue and reinsurance commission are combined into one-line item in the statement of comprehensive income named: Revenue from contracts with customers.
- Fair value adjustment to long-term policyholder liabilities under investment are disclosed contracts on the face of the statements of comprehensive income.

33. Contingent liabilities and commitments

As is common with the insurance industry in general, the group is subject to litigation arising in the normal course of insurance business. The directors are of the opinion that this litigation will not have a material effect on the financial position or profits of the group.

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

34. Related party disclosures

The group is controlled by Liberty Holdings Limited incorporated in the Republic of South Africa. The ultimate parent of Liberty Holdings Limited is Standard Bank Group Limited, which is incorporated in South Africa. There are other companies which are related to Liberty Kenya Holdings Plc through common shareholdings or common directorships.

The following transactions were carried out with related parties:

	Group		Company	
KShs'000	2019	2018	2019	2018
Gross written premium				
Stanbic Bank Kenya Limited	363,072	339,049	-	-
STANLIB Kenya Ltd.	15,936	14,469	-	-
	379,008	353,518	-	-
Management services				
Liberty Holdings limited	168,735	180,369	-	-
Claims Incurred				
Stanbic Bank Kenya Limited	114,228	92,921	-	-
	114,228	92,921	-	-
Rental income				
Rent received from:				
Stanbic Bank Kenya Limited	572	559	-	-
STANLIB Kenya Limited	10,014	10,012	-	-
	10,586	10,571	-	-
Interest income				
Stanbic Bank Kenya Limited	44,004	27,464	-	-
	44,004	27,464	-	-
Dividend income				
The Heritage Insurance Company Kenya Limited	-	-	223,000	328,000
Liberty Life Assurance Kenya Limited	-	-	271,000	370,000
CfC Investments Limited	-	-	-	102,669
	-	-	494,000	800,669
Investment management expenses				
STANLIB Kenya Limited	74,604	66,836	-	-
	74,604	66,836	-	-
Financial investments				
Amounts due from:				
Liberty Life Assurance Uganda Limited	2,175	1,751	-	-
Liberty General Insurance Company Uganda Limited	1,650	-	-	-
Liberty General Insurance (Malawi)	2,162	1,549	-	-
STANLIB Uganda Limited	431	-	-	-
Liberty Holdings Limited	52	-	-	-
	6,470	3,300	-	-
Financial investments				
Amounts due to:				
Stanbic Bank Kenya Limited	1,232	359	-	-
Liberty Life Assurance Kenya Limited	-	-	6,514	52
CfC Investment Limited	-	-	4,000	4,000
The Heritage Insurance Company Kenya Limited	-	-	1,738	12,871
STANLIB Kenya Limited	7,205	3,807	-	-
Liberty Holdings Limited	14,455	6,149	-	-
	22,892	10,315	12,252	16,923
Financial Investments				
Stanbic Bank Kenya Limited balances and deposits	268,118	931,714	-	-
Stanbic Bank Kenya Limited corporate bonds	85,403	84,018	-	-
Stanbic Kenya Holdings Plc equity investments	-	27,847	-	-
STANLIB Fahari I-REIT	173,386	190,275	-	-
	526,907	1,233,854	-	-
Directors remuneration				
Key management compensation	180,661	122,261	105,671	96,795
Fees for services as a non-executive director	28,345	25,241	5,850	4,350
	209,006	147,502	111,521	101,145

Notes to the annual financial statements (CONTINUED)

for the year ended 31 December 2019

35. Subsequent events

On 11 March 2020, the World Health Organization declared the Coronavirus (COVID-19) outbreak to be a pandemic due to its rapid spread across the globe. Many governments including the Kenyan Government, are taking stringent measures to help contain the virus, including: requiring self-isolation/quarantine by those potentially affected, implementing social distancing measures, and controlling or closing borders. This has resulted to a weaker economic outlook and uncertainties across the globe. As a result the Group and Company may likely experience a decrease in profitability especially during the second quarter of the year as insured businesses continue to be affected by the pandemic.

As at the date of this report, there is no sufficient data to quantify the effects of the pandemic. However, as the pandemic continues to evolve, directors and management will assess its impact to the Group and Company in the next 12-month from the date of approval of the financial statements.

On 25 April 2020, the Kenya government enacted the Tax Laws (Amendment) Act, 2020 which reduced the corporate tax rate from 30% to 25, effective from 25 April 2020. This decrease does not affect the amounts of current or deferred income taxes recognised as at 31 December 2019. However, this change will decrease the Company's future current tax charge accordingly. If the new tax rate were applied to calculate taxable and deductible temporary differences recognised as at 31 December 2019, the effect would be that net deferred tax assets disclosed at Note 12 would decrease by KShs 32 million and the net deferred tax liability disclosed at Note 12 would decrease by KShs 177 million.

The accounting policies summarise those policies, and the potential impacts of new IFRS standards or interpretations, which are useful to users of these financial statements. These should be read in conjunction with 'Accounting principles (including accounting policy elections)' (page 66), 'Key judgements in applying assumptions on application of accounting policies' (page 66) and 'Change in accounting policies' (page 98). Accounting policies for which no choice is permitted in terms of IFRS have been included only if management concluded that the disclosure would assist users in understanding the financial statements as a whole, taking into account the materiality of the item being discussed. Accounting policies which are not applicable from time to time have been removed but will be included if the type of transaction occurs in the future.



Detailed accounting policies

for the year ended 31 December 2019

1. New IFRS standards and amendments

1.1 New standards not yet effective that will impact on the group and company results or disclosures

The following new standards have been issued by the IASB, however, are not yet effective for the current financial year. The group and company will comply with the new standards from the effective date and has elected not to early adopt any at this stage.

Standard	Scope	Potential impact to the group and company
IFRS 17 Insurance Contracts Effective for years commencing 1 January 2023 (following IASB due process) with three transitional approaches permitted, namely: - retrospective; - modified retrospective; and - fair value approach. Early adoption is permitted.	IFRS 17 replaces IFRS 4, which was issued in 2004 as an interim standard. IFRS 4 permits various accounting models relating to insurance contracts, allowing reporting entities to account for insurance contracts (particularly measurement thereof) using the local actuarial practices, resulting in a multitude of different approaches. Consequently, the financial position and financial performance of otherwise similar companies are not always comparable. IFRS 17 prescribes a single accounting model under which insurance contracts are measured using current estimates. The application of IFRS 17 will enable investors to understand and compare the financial positions and performances of those reporting entities that issue insurance contracts. In addition, financial results of insurance companies will be comparable with companies in other industries and jurisdictions. Under IFRS 17, a general measurement model (GMM) is applicable to long-term insurance contracts, and is based on a fulfilment objective (risk-adjusted present value of best estimate future cash flows). It requires the use of current estimates, which are those informed by actual trends and investment markets. IFRS 17 establishes a contractual service margin (CSM) at initial measurement of the liability. The CSM represents the unearned profit on the contract and results in no gain on initial recognition. The CSM is released over the life of the contract in line with the level of service provided in each period. The interest rate on the CSM is locked in at the rate at inception. The CSM will be utilised as a "shock absorber" in the event of changes to best estimate cash flows. On loss making (onerous) contracts, there is no CSM and the full loss will be recognised as soon as it is expected that the group of contracts will be onerous in terms of the initial recognition criteria in IFRS 17. The GMM is modified for contracts that have participation features and this is the variable fee approach. An optional simplified premium allocation approach (PAA) is available for contracts that have a coverage period of 12 months or less. The PAA is similar to the current unearned premium reserve profile recognised over time.	The impact to the group is expected to be significant specifically in areas such as profit recognition, presentation in the statement of comprehensive income and level of transparency of components of reserving. Data collection and storage, modelling and general ledger configuration will require significant development. An entity may re-assess its classification and designation of financial instruments under IFRS 9, on adoption of IFRS 17. IFRS 17 Project governance Liberty Holdings Limited has formed an IFRS 17 steering committee, sponsored by the group's financial director, which is responsible for providing overall strategic direction to the project and to monitor progress and interdependencies with other group initiatives. The committee comprises representation from Finance, Risk, Actuarial, IT, Internal Audit and business. The committee is supported by a number of working groups responsible for various work streams. In addition, an IFRS 17 Africa Steering Committee has been formed comprising members of Liberty SA, Heritage Insurance Kenya, Liberty Life Kenya and members of management representing Finance, Risk, Actuarial, IT, Internal Audit and business. The committee is supported by a number of working groups responsible for various work streams and is accountable to the Liberty Holdings IFRS 17 Steering Committee. The group has progressed well with design decisions Education training sessions have taken place and continue in South Africa and Kenya. The financial impact of IFRS 17 has not yet been fully assessed. It is anticipated that the impact will only be quantified with reasonable certainty in 2020.

Detailed accounting policies (continued)

for the year ended 31 December 2019

1. New IFRS standards and amendments (continued)

Standard	Scope	Potential impact to the group and company
IFRS 7 Financial Instruments Disclosures, IFRS 9 Financial Instruments (amendments) and IAS 39 Financial Instruments: Recognition and Measurement.	Interest Rate Benchmark Reform resulted in amendments to IFRS 9, IAS 39 and IFRS 7 requirements for hedge accounting to support the provision of useful financial information during the period of uncertainty caused by the phasing out of interest-rate benchmarks such as interbank offered rates (IBORs) on hedge accounting. The amendments modify some specific hedge accounting requirements to provide relief from potential effects of the uncertainty caused by the IBOR reform. In addition, the amendments require companies to provide additional information to investors about their hedging relationships which are directly affected by these uncertainties.	The group is still assessing the impact of this amendment, however it is unlikely to have a significant impact currently as the group has limited hedge accounting.
Effective 1 January 2020 with early adoption permitted.		

1.2 Amendments and improvements to standards

IAS 1 Presentation of Financial Statements (IAS 1) and IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors (IAS 8), the amendments clarify the definition of material and how it should be applied by including in the definition guidance that until now has featured elsewhere in IFRS Standards. In addition, the explanations accompanying the definition have been improved. The amendments ensure that the definition of material is consistent across all IFRS Standards. The amendments will be applied prospectively.

Other amendments to standards that are effective for annual periods beginning on or after 1 January 2020, but not mentioned previously, are not expected to have a significant impact on the group and company's reported assets and liabilities.

Annual improvements effective 1 January 2020 that were not early adopted are not expected to have a significant impact on the group and company's reported assets and liabilities and disclosures.

2. Basis of consolidation

The group annual financial statements consolidate the annual financial statements of the company and its subsidiaries.

Type	Measurement
Interests in subsidiaries	Subsidiaries are defined as entities that are controlled by the group. In order for control to exist, the group must have: 1. power over the investee; 2. exposure or rights to variable returns from involvement with the investee; and 3. the ability to use power over the investee to affect the amount of the group's returns. The group must possess all three elements to conclude that it controls an investee. Refer to key judgements for assessment of control. Subsidiaries are consolidated from the date on which control is transferred to the group (effective date of acquisition) and are no longer consolidated from the date that control ceases (effective date of disposal). Gains and losses on disposal of subsidiaries are included in profit or loss. The accounting policies for subsidiaries are consistent, in all material respects, with the policies adopted by the group. Intergroup transactions, balances and unrealised gains and losses are eliminated on consolidation.
Separate financial statements	Interests in subsidiary companies in the company financial statements comprise shares, which are measured at cost less any required impairment. Acquisition costs are recorded as an expense in the period in which they are incurred, except for the costs to issue debt or equity securities, which are part of the consideration transferred. The carrying amounts of these investments are reviewed annually for impairment. Intergroup balances with subsidiaries, under the IFRS 9 business model assessment for 2018, are measured at amortised cost. These are subject to the expected credit loss impairment model.



Detailed accounting policies (continued)

for the year ended 31 December 2019

2. Basis of consolidation (continued)

Type	Measurement
Business combinations	The group uses the acquisition method of accounting to account for the acquisition of subsidiaries. The cost of an acquisition is measured as the sum of the fair value of the assets given, equity instruments issued, and liabilities incurred or assumed at the date of exchange. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. The cost of an investment in a subsidiary is adjusted to reflect changes in consideration arising from contingent consideration amendments. Transaction costs are recognised within profit or loss as and when they are incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any non-controlling interest. The excess of the consideration transferred, being the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired, is recorded as goodwill. The group elects to measure non-controlling interests on the acquisition date at either fair value or at the non-controlling interest's proportionate share of the subsidiary's identifiable net assets on an acquisition-by-acquisition basis. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the statement of comprehensive income.
Interests in associates	An associate is an entity over which the group has the ability to exercise significant influence, but not control or joint control, through participation in the financial and operating policy decisions of the investment. Judgement is applied in assessing which entities the group has the ability to significantly influence. In the case of voting rights, it is generally demonstrated by the group holding 20% or more of the voting power of the investee. Interests in associates are accounted for at cost less any impairment in the company financial statements. The carrying amounts are reviewed annually for impairment.
Transactions with non-controlling interests	The group applies a policy of treating transactions, including partial disposals with non-controlling interests that do not result in the gain or loss of control, as transactions with equity owners of the group. For purchases of additional interests from non-controlling interests, the excess of the purchase consideration over the group's proportionate share of the subsidiary's additional net asset value acquired is accounted for directly in equity. Profits or losses on the partial disposal of the group's interest in a subsidiary to non-controlling interests are also accounted for directly in equity.

3. Foreign currencies

The group's presentation currency is Kenya Shillings (KShs). All amounts are shown in KShs'000 unless otherwise indicated. The functional currency of the group's operations is the currency of the primary economic environment where each operation physically has its main activities.

3.1 Transactions and balances

Transactions in foreign currencies are translated into the functional currency at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies that differ from the functional currency at the statement of financial position date are translated into the functional currency at the ruling rate at that date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of transaction, and those measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Foreign exchange gains or losses are recognised as part of fair value adjustments on financial instruments in profit or loss.

3.2 Group foreign operations

Assets and liabilities of group foreign operations whose functional currency is different from the presentation currency are translated from their respective functional currency into the group's presentation currency at closing rates ruling at statement of financial position date. The income and expenditure and equity movements are translated into the group's presentation currency at rates approximating the foreign exchange rates ruling at the date of the various transactions.

All resulting translation differences arising from the consolidation and translation of foreign operations are recognised in other comprehensive income and accumulated in equity as a foreign currency translation reserve.

When a foreign operation is partially disposed of or sold, the cumulative amount of the exchange differences in the foreign currency translation reserve relating to that foreign operation is reclassified from the reserve to profit or loss when the gain or loss on disposal is recognised.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

Detailed accounting policies (continued)

for the year ended 31 December 2019

4. Financial instruments

Initial recognition and measurement

Financial instruments at fair value through profit or loss are initially recognised at fair value and the transaction costs are immediately recognised in profit or loss. All other financial instruments are measured initially at fair value plus directly attributable transaction costs and fees. Financial instruments are recognised (derecognised) on the date the group commits to purchase (sell) the instruments (trade date accounting).

4.1 Financial assets

Financial assets include financial investments, assets held for trading and for hedging, interests in associates and interests in joint ventures measured at fair value through profit or loss, repurchase agreements, scrip and collateral assets, components of receivables that are not measured under IFRS 4, cash and cash equivalents and intercompany balances.

Financial assets

Financial assets are classified based on the business model and nature of cash flows associated with the instrument.

Nature

Amortised cost	A debt instrument that meets both of the following conditions (other than those designated at fair value through profit or loss): • Held within a business model whose objective is to hold the debt instrument (financial asset) in order to collect contractual cash flows. • The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. This assessment includes determining the objective of holding the asset and whether the contractual cash flows are consistent with a basic lending arrangement.
Fair value through OCI	The group and company have no equity instruments that have been elected to be measured at fair value through other comprehensive income. A debt instrument that meets both the following conditions (other than those designated at fair value through profit or loss): • held within a business model in which the debt instrument (financial asset) is managed to both collect contractual cash flows and sell financial assets; and • the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. This assessment includes determining the objective of holding the asset and whether the contractual cash flows are consistent with a basic lending arrangement.
Held for trading	Those financial assets acquired principally for the purpose of selling in the near term (including all derivative financial assets) and those that form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit taking.
Designated at fair value through profit or loss	Financial assets are designated to be measured at fair value through profit or loss to eliminate or significantly reduce an accounting mismatch that would otherwise arise.
Fair value through profit or loss (default)	Financial assets that are not classified into one of the abovementioned financial asset categories; and/or where the business model is that performance is assessed on a fair value basis.



Detailed accounting policies (continued)

for the year ended 31 December 2019

4. Financial instruments (continued)

4.1 Financial assets (continued)

Subsequent measurement

Subsequent to initial measurement, financial assets are classified, according to the business model assessment, in their respective categories and measured at either amortised cost or fair value as follows:

Amortised cost (loans receivable)	Amortised cost using the effective interest method with interest recognised in interest income, less any expected credit impairment losses which are recognised as part of credit impairment charges. Directly attributable transaction costs and fees received are capitalised and amortised through interest income as part of the effective interest rate. Interest income is shown as a separate line on the face of the income statement (combined with interest income on financial assets held at fair value through OCI).
Fair value through OCI	Debt instrument: Fair value, with gains and losses recognised directly in the fair value through OCI reserve. When a debt financial asset is disposed of, the cumulative fair value adjustments, previously recognised in OCI, are reclassified to fair value adjustments on financial instruments. Expected credit impairment losses are recognised as part of impairment charges. However the loss allowance shall be recognised in other comprehensive income and shall not reduce the carrying amount of the financial asset in the statement of financial position. Interest income on debt financial assets is recognised in interest income in terms of the effective interest method. Interest income from these assets is shown as a separate line on the face of the statement of profit or loss (combined with interest from financial assets held at amortised cost).
Held for trading (derivatives)	Fair value, with gains and losses arising from changes in fair value recognised in fair value adjustments.
Designated at fair value through profit or loss	Fair value gains and losses (including interest and dividends) on financial assets are recognised in the income statement as part of fair value gains or losses on financial instruments.
Fair value through profit or loss (default)	Fair value gains and losses on the financial asset are recognised in the income statement as part of fair value gains or losses on financial instruments.

Impairment

Expected credit losses (ECL) are recognised on debt financial assets classified as at either amortised cost or fair value through OCI.

The measurement basis of the ECL of a financial asset includes assessing whether there has been a significant increase in credit risk (SICR) at the reporting date which includes forward-looking information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions. A significant change in credit risk (SICR) is when there is a material change in the probability of default, since origination. The measurement basis of the ECL, which is set out in the table that follows, is measured as the unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes, the time value of money and forward-looking information.

Stage 1	A 12-month ECL is calculated for financial assets which are neither credit-impaired on origination nor for which there has been a SICR.
Stage 2	A lifetime ECL allowance is calculated for financial assets that are assessed to have displayed a SICR since origination and are not considered low credit risk.
Stage 3 (credit impaired assets)	A lifetime ECL is calculated for financial assets that are assessed to be credit impaired. The following criteria are used in determining whether the financial asset is impaired: • Default: A financial asset is considered to be in default when there is objective evidence of impairment. Exposures which are overdue for more than 90 days are also considered to be in default. • Significant financial difficulty of borrower and/or modification • Probability of bankruptcy or financial reorganisation • Disappearance of an active market due to financial difficulties.

ECLs are recognised as a deduction from the gross carrying amount of asset measured at amortised cost. Therefore, assets subject to ECLs are disclosed on a net basis, in the statement of financial position. The gross ECLs are disclosed in the note.

Financial assets are written off when there is no reasonable expectation of recovery. Financial assets which are written off may still be subject to enforcement activities.

Detailed accounting policies (continued)

for the year ended 31 December 2019

4. Financial instruments (continued)

4.1 Financial assets (continued)

Cash and cash equivalents

Cash and cash equivalents comprise:

- balances with banks;
- highly liquid short-term funds on deposit; and
- cash on hand.

Instruments included in this category are those with an initial term of three months or less from the acquisition date. It does not include money market securities held for investment. Cash and cash equivalents are classified according to the business model assessment, either at fair value through profit or loss default, or at amortised cost. Due to the short-term nature of cash and cash equivalents, the amortised cost approximates fair value.

Prepayments and other receivables

Other receivables are initially measured at fair value through profit or loss, with subsequent measurement at fair value through profit or loss (default) or at amortised cost. Those balances at amortised

cost are subject to ECL impairment testing. The group has elected to apply the simplified approach for trade receivables that do not contain a significant financing component, contract assets and lease receivables. This means that the entity assesses lifetime losses on day one and does not have to do the three-stage testing as per the general ECL calculation. Prepayments are not financial instruments as defined.

Reclassification

Reclassifications of financial assets under IFRS 9 are permitted when, and only when, the group changes its business model for managing financial assets, in which case all affected financial assets are reclassified.

Derecognition

Financial assets are derecognised when the contractual rights to receive cash flows from the investments have expired or on trade date when they have been transferred and the group has also transferred substantially all risks and rewards of ownership.

4.2 Financial liabilities

Financial liabilities include financial liabilities under investment contracts and other payables.

Nature

Held-for-trading	Those financial liabilities incurred principally for the purpose of repurchasing in the near term and those that form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit taking.
Designated at fair value through profit or loss	Financial liabilities are designated to be measured at fair value if in doing so it would eliminate or significantly reduce an accounting mismatch that would otherwise arise where the financial liabilities are managed and their performance evaluated and reported on a fair value basis.
Amortised cost	All other financial liabilities not included in the above categories.

Subsequent measurement

Held-for-trading	• Fair value, with gains and losses arising from changes in fair value recognised in fair value adjustments on financial instruments.
Designated at fair value through profit or loss	• Fair value, with gains and losses arising from changes in fair value (including finance costs but excluding fair value gains and losses attributable to own credit risk) recognised in the fair value adjustments on financial instruments. • Fair value gains and losses attributable to changes in own credit risk are recognised within OCI, unless this would create or enlarge an accounting mismatch in which case the own credit risk changes are recognised within profit or loss.
Amortised cost	• Amortised cost using the effective interest method recognised in interest expense.

Other payables

Other payables are initially measured at fair value through profit or loss, with subsequent measurement either at fair value through profit or loss (default) or at amortised cost, depending on the business model assessment.

Inter-company loans

Based on an assessment of the business model and contractual cash flows under IFRS 9, in the company financial statements, inter-company loans (being financial instruments) are classified at amortised cost.

Reclassification

A financial liability may not be reclassified.

Derecognition

Financial liabilities are derecognised when they are extinguished, that is when the obligation is discharged, cancelled or expires.



Detailed accounting policies (continued)

for the year ended 31 December 2019

4. Financial instruments (continued)

4.3 Fair value

Fair value is applied as defined in IFRS 13. It is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

For financial instruments, where the fair value of the financial instrument differs from the transaction price, the difference is commonly referred to as day one profit or loss. Day one profit or loss is recognised in profit or loss immediately where the fair value of the financial instrument is either evidenced by comparison with other observable current market transactions in the same instrument or is determined using valuation models with only observable market data as inputs. Day one profit or loss is deferred where the fair value of the financial instrument is not able to be evidenced by comparison with other observable current market transactions in the same instrument or determined using valuation models that utilise non-observable market data as inputs.

Subsequent to initial recognition, fair value is measured based on quoted market prices or dealer price quotations for assets and liabilities that are traded in active markets and where those quoted prices represent fair value at the measurement date. If the market for an asset or liability is not active or the instrument is unlisted, the fair value is determined using other applicable valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analyses, net asset values, pricing models and other valuation techniques commonly used by market participants.

IFRS 13 requires disclosure of fair value measurements by level according to the following fair value hierarchies:

- Level 1 – Values are determined using readily and regularly available quoted prices in an active market for identical assets or liabilities. These prices would primarily originate from the Nairobi Securities Exchange or an international stock or bond exchange.
- Level 2 – Values are determined using valuation techniques or models, based on assumptions supported by observable market prices or rates either directly (that is, as prices) or indirectly (that is, derived from prices) prevailing at the financial position date. The valuation techniques or models are periodically reviewed, and the outputs validated.
- Level 3 – Values are estimated indirectly using valuation techniques or models for which one or more of the significant inputs are reasonable assumptions (that is unobservable inputs), based on market conditions.

Realised and unrealised gains or losses arising from changes in the fair value of these financial assets are recognised in profit or loss within net fair value gains on financial assets at fair value in the period in which they arise. The fair value of financial assets with standard terms and conditions and traded on active liquid markets is determined by reference to regulated exchange quoted ruling market prices at the close of business on the last trading day on or before the statement of financial position date. If quoted market prices are not available, reference is also made to readily and regularly available broker or dealer price quotations. For units in mutual funds and shares in open-ended investment companies, fair value is determined by reference to published repurchase prices.

If a market for a financial asset is not active, the group establishes fair value by using various valuation techniques detailed in the fair value hierarchy note to the annual financial statements. These include the use of recent arm's length transactions, reference to the current market value of other instruments that are substantially the same, discounted cash flow analysis and option pricing models making maximum use of market inputs and relying as little as possible on entity-specific inputs.

Where the fair value of financial instruments is determined using discounted cash flow techniques, estimated future cash flows are based on management's best estimates and the discount rate used is a market-related rate for a similar instrument. Certain financial instruments are valued using pricing models that consider, among other factors, contractual and market prices, correlation, time value of money, credit risk, yield curve volatility factors and prepayment rates of the underlying positions. The use of different pricing models and assumptions could produce materially different estimates of fair values.

Detailed accounting policies (continued)

for the year ended 31 December 2019

4. Financial instruments (continued)

Fair value adjustments for unquoted instruments are included in investment gains and losses and are determined as follows:

Instrument	Valuation technique	Method of valuation
Fixed and variable rate preference shares, bonds and inflation-linked bonds	Discounted cash flow (DCF) model	Cash flows are projected by using either the applicable fixed dividend/ coupon, or by extrapolating the future variable dividend/ coupon using an applicable market implied curve. These dividends/ coupons are then valued using a discount curve which allows for the credit risk of the particular issuer, where the credit spread is derived from instruments which display similar credit risk characteristics.
Unlisted equities and debt (including unlisted variable rate preference shares)	Fair valued using appropriate valuation techniques such as DCF analysis or recent arm's length market transactions in respect of the equity instrument.	
Fixed deposits and negotiable certificates of deposit	Fair valued by unbundling the deposit into a floating rate deposit and an interest rate swap.	The floating rate deposit is valued at face value and adjusted where necessary for the probability of default of the issuer. The interest rate swap is valued using the appropriate market implied curve. The sum of these two components is used as the value of the deposit.

5. Insurance and investment contracts

In terms of IFRS 4, insurance contracts are measured under existing local practice at the date of adoption of IFRS 4.

5.1 Insurance and investment contract classification

The group issues contracts that transfer insurance risk or financial risk or both.

Insurance contract	A contract under which one party (the insurer) accepts significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affects the policyholder or, in the case of life annuities, the lifespan of the policyholder is greater than that assumed. Such contracts may also transfer financial risk. The group defines significant insurance risk as the possibility of having to pay benefits on the occurrence of an insured event that are significantly more than the benefits payable if the insured event did not occur. Where the value of policyholder contracts is negative or positive in aggregate, this is shown as long-term policyholder liabilities – insurance contracts and long-term policyholder assets – insurance contracts. Insurance contracts where the group accepts significant insurance risk from the policyholder are classified depending on the duration of or the type of insurance risk, as follows: • long-term insurance; and • short-term insurance. Insurance contracts where another insurer (or reinsurer) accepts significant insurance risks from the group are reinsurance contracts.
Investment contract	A contract that transfers financial risk with no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index or other measurable variable. Policyholder investment contracts are classified depending on the duration of or the type of investment benefit, as follows: • long-term investment with discretionary participation feature (DPF); • and long-term investment without DPF.



Detailed accounting policies (continued)

for the year ended 31 December 2019

5. Insurance and investment contracts (continued)

5.2 Discretionary participation features (DPF)

A number of insurance and investment contracts contain a DPF. This feature entitles the holder to receive, as a supplement to guaranteed benefits, additional benefits or bonuses:

- that are likely to be a significant portion of the total contractual benefits;
- whose amount or timing is contractually at the discretion of the group; and
- that are contractually based on:
 - the performance of a specified pool of contracts or a specified type of contract;
 - realised and/or unrealised investment returns on a specified pool of assets held by the group; or
 - the profit or loss of the group, fund or other entity that issues the contract.

The terms and conditions or practice relating to these contracts set out the bases for the determination of the amounts on which the additional discretionary benefits are based (the DPF eligible surplus) and limits within which the group may exercise its discretion as to the quantum and timing of the payment to policyholders.

The terms reversionary bonus and smoothed bonus refer to the specific forms of DPF contracts underwritten by the group.

All components in respect of DPFs are included in the policyholder liabilities.

5.3 Insurance contract classification

Insurance contracts are classified into two main categories, depending on the duration of risk and as per the provisions of the Insurance Act, which are:

Long-term insurance business	Long-term insurance business includes insurance business of all or any of the following classes, namely, life assurance business, superannuation business, industrial life assurance business and business incidental to any such class of business. Life assurance business means the business of, or in relation to, the issuing of or the undertaking of a liability to pay money on death (not being death by accident or in specified sickness only) or on the happening of any contingency dependent on the termination or continuance of human life (either with or without provision for a benefit under two continuous disability insurance contracts) and include a contract which is subject to the payment of premiums for term dependent on the termination or continuance of human life and any contract securing the grant of an annuity for a term dependent upon human life. Superannuation business means life assurance business, being business of, or in relation to, the issuing of or the undertaking of liability under superannuation, group life and permanent health insurance policy.
Short-term insurance business	It is insurance business of any class or classes that is not long-term insurance business. Classes of short-term (also known as general insurance) include engineering insurance, fire insurance - domestic risks, fire insurance - industrial and commercial risks, liability insurance, marine insurance, motor insurance - private vehicles, motor insurance - commercial vehicles, personal accident insurance, medical insurance, theft insurance, workmen's compensation and employer's liability insurance and miscellaneous insurance (i.e., class of business not included under those listed above). Motor insurance business means the business of affecting and carrying out contracts of insurance against loss of or damage to or arising out of or in connection with the use of motor vehicles, inclusive of third-party risks but exclusive of transit risks. Personal accident insurance business means the business of affecting and carrying out contracts of insurance against risks of the persons insured sustaining injury as the result of an accident or of an accident of a specified class or dying as the result of an accident or of an accident of a specified class or becoming incapacitated in consequence of disease or of disease of a specified class. It also includes business of effecting and carrying out contracts of insurance against risk of persons insured incurring medical expenses. Fire insurance business means the business of affecting and carrying out contracts of insurance, otherwise than incidental to some other class of insurance business against loss or damage to property due to fire, explosion, storm and other occurrences customarily included among the risks insured against in the fire insurance business, damage to property due to fire, explosion, storm and other occurrences customarily included among the risks insured against in the fire insurance business

Detailed accounting policies (continued)

for the year ended 31 December 2019

5. Insurance and investment contracts (continued)

5.3.1 Long-term insurance contracts

Measurement	A liability for contractual benefits that are expected to be incurred in the future is recorded when the premiums are recognised. The liability is determined as the sum of the expected discounted value of the benefit payments and the future administration expenses that are directly related to the contract, less the expected discounted value of the theoretical premiums that would be required to meet the benefits and administration expenses based on the valuation assumptions used (the valuation premiums). The liability is based on assumptions as to mortality, persistency, maintenance expenses and investment income that are established at the time the contract is issued. A margin for adverse deviations is included in the assumptions. Where insurance contracts have a single premium or a limited number of premium payments due over a significantly shorter period than the period during which benefits are provided, the excess of the premiums payable over the valuation premiums is deferred and recognised as income in line with the decrease of unexpired insurance risk of the contracts in-force or, for annuities in force, in line with the decrease of the amount of future benefits expected to be paid. The liabilities are recalculated at each financial reporting date using the assumptions established at inception of the contracts. Shadow accounting is applied to policyholder insurance contracts where the underlying measurement of the policyholder insurance liability depends directly on the fair value of any owner-occupied properties. Any unrealised gains and losses on such owner-occupied properties are recognised in other comprehensive income as described in accounting policy note 6. The shadow accounting adjustment to policyholder insurance contracts is recognized in other comprehensive income to the extent that the unrealised gains or losses, together with any related taxation on owner occupied properties backing policyholder insurance liabilities are also recognised directly in other comprehensive income.
Claims	For long-term insurance business, benefits are recorded as an expense when they are incurred. Claims arising on maturing policies are recognised when the claim becomes due for payment. Death claims are accounted for on notification. Surrenders are accounted for on payment.
Commissions earned and payable and deferred acquisition costs	Commissions earned and payable are recognised in the period in which relevant premiums are written. A proportion of commissions payable is deferred and amortised over the period in which the related premium is earned. Deferred acquisition costs (DAC) represent a proportion of acquisition costs that relate to policies that are in force at the year end.
Liability adequacy test	At each financial reporting date, liability adequacy tests are performed to ensure the adequacy of the contract liabilities net of related DAC. In performing these tests, current best estimates of future contractual cash flows and claims handling and administration expenses, as well as investment income from the assets backing such liabilities, are used. Any deficiency is immediately charged to profit or loss as part of claims incurred. Contracts entered by the group with reinsurers under which the group is compensated for losses on one or more contracts issued by the group and that meet the classification requirements for insurance contracts are classified as reinsurance contracts held. Contracts that do not meet these classification requirements are classified as financial assets. Insurance contracts entered by the group under which the contract holder is another insurer (inwards reinsurance) are included with insurance contracts.



Detailed accounting policies (continued)

for the year ended 31 December 2019

5. Insurance and investment contracts (continued)

5.3.2 Short-term insurance

Provision for unearned premiums on short-term contracts	The provision for unearned premiums represents the portion of the current year's premiums that relates to risk periods extending into the following year. The unearned premiums are calculated using the 365ths method, except for those insurance contracts where allowance is made for uneven exposure.
Claims	The estimation of the ultimate liability arising from claims made under insurance contracts is the company's most critical accounting estimate. There are several sources of uncertainty that need to be considered in the estimate of the liability that the company will ultimately pay for such claims. Estimates are made at the end of the reporting period for both the expected ultimate cost of claims reported and for the expected ultimate costs of claims incurred but not reported ('IBNR'). Liabilities for unpaid reported claims are estimated using the input for assessments of individual cases reported to the company. At the end of each reporting period, prior year claim estimates are reassessed for adequacy and changes are made to the provision. Both of these provisions are discounted to present day which is in line with current accounting standards that indicate that discounting presents a more market consistent view of financial obligations. The provision for IBNR is an estimate of claims which are expected to be reported subsequent to the date of statement of financial position, for which the insured event has occurred prior to this date. The primary technique adopted by management in estimating this cost is that of using the past claims reporting and settlement trends to predict future claims for which the company will be liable. A range of actuarial methods such as the Basic Chain-Ladder, Bornhuetter-Ferguson Method and Expected Loss Ratio Method are used to determine these provisions. Underlying these methods are a number of explicit or implicit assumptions relating to the expected settlement amount and settlement pattern of claims. Given the uncertainty associated with setting these assumptions, it is standard actuarial practice to also calculate a risk margin that is added to the best estimate IBNR reserves to allow for this uncertainty and ensure that adequate provisions are held to meet obligations as they arise. This risk margin requires the application of actuarial judgement in determining an appropriate level of sufficiency that considers materiality and the potential shortcomings and nature of the valuation process, as well as the volume, relevance and accuracy of the historical data available. At present, the risk margin has been determined using a stochastic reserving process parameterised such that the reserve is expected to be sufficient to meet 75% of all expected outcomes in the presence of adverse deviation.
Deferred acquisition costs (DAC)	Commissions that vary and are related to securing new contracts and renewing existing contracts are deferred over the period in which the related premiums are earned, and recognised as an asset. All other costs are recognised as expenses when incurred.
Liability adequacy test	Provision is made for underwriting losses that may arise from unexpired risks when it is anticipated that unearned premiums will be insufficient to cover future claims, as well as claims-handling fees and related administrative costs.
Provision for reported claims and claims incurred but not reported (IBNR)	Provision is made on a prudent basis for the estimated final cost of all claims that had not been settled on the accounting date, less amounts already paid. Claims and loss adjustment expenses are charged to income as incurred based on the estimated liability for compensation owed to contract holders or third parties damaged by the contract holders. The group's own assessors or contracted external assessors individually assess claims. The claims provisions include an estimated portion of the direct expenses of the claims and assessment charges. Provision is also made for claims arising from insured events that occurred before the close of the accounting period, but which had not been reported to the group at that date (IBNR claims). This provision is calculated using the chain ladder run-off triangle technique. These provisions for claims are not discounted for the time value of money due to the expected short duration to settlement.

5.4 Investment contracts

Measurement and initial recognition	The group issues investment contracts, as follows:	
	Without fixed benefits (investment-linked and structured products). Fair value of these financial liabilities is dependent on the fair value of the underlying financial assets, derivatives and/or investment property and are designated at inception as at fair value through profit or loss. The best evidence of the fair value at initial recognition is the transaction price (i.e. the fair value of the consideration received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets. The group's valuation methodologies incorporate all factors that market participants would consider and are based on observable market data. The fair value of a investment-linked financial liability is determined using the current unit price multiplied by the number of units attributed to the policyholder at the statement of financial position date. If an investment contract is subject to a put or surrender option exercisable at the reporting date, the fair value of the financial liability is never less than the amount payable on the put or surrender option.	With fixed and guaranteed benefits (term certain annuity). Future benefit payments and premium receipts are discounted using market-related rates at the relevant statement of financial position date. Profit on initial recognition is amortised over the life of the contract.

Detailed accounting policies (continued)

for the year ended 31 December 2019

5. Insurance and investment contracts (continued)

5.4 Investment contracts (continued)

Service fees on investment management contracts and deferred revenue liability (DRL)	Service fee income on investment management contracts is recognised on an accrual basis as and when the services are rendered. A DRL is recognised in respect of upfront fees, which are directly attributable to a contract, that are charged for investment management services. The DRL is then released to revenue when the services are provided, over the expected duration of the contract on a straight-line basis. Regular charges billed in advance are recognised on a straight-line basis over the billing period, which is the period over which the service is rendered. Outstanding fees are accrued as a receivable in terms of the investment management contract.
Amounts received and claims incurred on investment management contracts	Amounts received under investment contracts, such as premiums, are recorded as deposits to investment contract liabilities, whereas claims incurred are recorded as deductions from investment contract liabilities.
Deferred acquisition costs (DAC) in respect of investment contracts	Commissions paid and other incremental acquisition costs are incurred when new investment contracts are obtained or existing investment contracts are renewed.

5.5 Reinsurance contracts held

The benefits to which the group is entitled under its reinsurance contracts held are recognised as reinsurance assets. These assets consist of short-term balances due from reinsurers, as well as longer term receivables that are dependent on the expected claims and benefits arising under the related reinsured insurance contracts.

Amounts recoverable from or due to reinsurers are measured consistently with the amounts associated with the reinsured insurance contracts and in accordance with the terms of each reinsurance contract. Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognised as an expense when due.

5.6 Receivables and payables related to insurance contracts and investment contracts

Receivables and payables are recognised when due. These include amounts due to and from agents, brokers and insurance contract holders. Receivables and payables related to insurance contracts are subsequently measured under IFRS 4, whilst those related to investments contracts are under IFRS 9. The group gathers the objective evidence that a receivable is impaired using the same process adopted for loans and receivables.

5.7 Salvage and subrogation reimbursements

Some insurance contracts permit the group to sell (usually damaged) property acquired in settling a claim (for example, salvage). The group may also have the right to pursue third parties for payment of some or all costs (for example, subrogation). Estimates of salvage recoveries are included as an allowance in the measurement of the insurance liability for claims, and salvage property is recognised in other assets when the liability is settled. The allowance is the amount that can reasonably be recovered from the disposal of the property. Subrogation reimbursements are also considered as an allowance in the measurement of the insurance liability for claims and are recognised in other assets when the liability is settled. The allowance is the assessment of the amount that can be recovered from the action against the liable third party.



Detailed accounting policies (continued)

for the year ended 31 December 2019

6 Non-financial assets

6.1 Investment properties

Investment properties include property that is being constructed or developed for future use as investment property. They are held to earn rental income and capital appreciation.	If the fair value of investment property under construction or development cannot be measured reliably, it is measured at cost until such time as construction is complete or fair value can be reliably measured. The open-market fair value is determined annually by independent professional valuers. The fair value adjustments on investment properties are included in profit or loss as investment gains in the period in which these gains or losses arise and are adjusted for any double counting arising from the recognition of lease income on the straight-line basis compared to the accrual basis normally assumed in the fair value determination.
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6.2 Owner-occupied properties

Nature	Measurement	Depreciation
Owner-occupied properties are held by the group for use in the supply of services or for its own administration purposes.	Owner-occupied properties are stated at revalued amounts, being fair value at the date of valuation less subsequent accumulated depreciation for buildings and accumulated impairment losses. If the open-market valuation information cannot be reliably determined, the group uses alternative valuation methods such as discounted cash flow projections or recent prices on active markets. The fair value adjustments on owner-occupied properties are recognised in OCI and accumulated in a revaluation reserve in equity to the extent that the accumulated adjustment is a surplus. Any accumulated deficits are recorded in profit or loss. On disposal or transfer (change in use) of owner-occupied properties to investment properties, the amounts included in the revaluation reserve are transferred directly to retained surplus. The deemed cost for any reclassification (between investment properties and owner-occupied properties) is at fair value, at the date of reclassification.	Depreciation is recognised in profit or loss at rates appropriate to the expected useful lives of owner-occupied buildings and any significant component part. Land is not depreciated. Depreciation is calculated on the opening open-market fair value less any expected residual value. If the expected residual value is greater than or equal to the carrying value, no depreciation is provided for. On the date of the revaluation, any accumulated depreciation is eliminated against the gross carrying amount of the property and the net amount restated to the revalued amount. Subsequent depreciation charges are adjusted based on the revalued amount for each property. Any difference between the depreciation charge on the revalued amount and that which would have been charged under historic cost is directly transferred net of any related deferred taxation, between the revaluation reserve and retained earnings as the property is utilised.

6.3 Leases

With effect from 1 January 2019, IFRS 16 replaced IAS 17 as well as the related interpretations. The core principal of this standard is that the lessees and lessor should recognise all rights and obligations arising from lease arrangements on the statement of financial position. The most significant change pertaining to the accounting treatment for operating leases is from the lessees' perspective. IFRS 16 eliminates the classification of leases for lessees as either operating or finance leases, as was required by IAS 17, and introduces a single lessee accounting model, where a right-of-use (ROU) asset together with a lease liability for the future payments is recognised for all leases with a term of more than 12 months, unless the underlying asset is of low value. IFRS 16 did not introduce significant changes for lessors, as a result the accounting policies applicable to the group and company as a lessor are not different from those under IAS 17.

On adoption of IFRS 16 a ROU asset was recognised, refer to note 32, change in accounting policies for further details.

Detailed accounting policies (continued)

for the year ended 31 December 2019

6. Non-financial assets (continued)

IFRS 16 Lessee accounting policies (effective from 1 January 2019)

Type and description	Statement of financial position	Statement of comprehensive income
Single lessee accounting model All leases are accounted for by recognising a right-of-use asset and a lease liability except for: - leases of low value assets; and - leases with a duration of twelve months or less.	Lease liabilities: Initially measured at the present value of the contractual payments due to the lessor over the lease term, with the discount rate determined by reference to the rate implicit in the lease unless (as is typically the case for the group) this is not readily determinable, in which case the group's incremental borrowing rate on commencement of the lease is used. Variable lease payments are only included in the measurement of the lease liability if they depend on an index or rate. In such cases, the initial measurement of the lease liability assumes the variable element will remain unchanged throughout the lease term. Other variable lease payments are expensed in the period to which they relate. On initial recognition, the carrying value of the lease liability also includes: - Amounts expected to be payable under any residual value guarantee; - The exercise price of any purchase option granted in favour of the group, should it be reasonably certain that this option will be exercised; - Any penalties payable for terminating the lease, should the term of the lease be estimated on the basis of this termination option being exercised. Subsequent to initial measurement, lease liabilities increase as a result of interest charged at a constant rate on the balance outstanding and are reduced for lease payments made.	Interest expense on lease liabilities: A lease finance cost, determined with reference to the interest rate implicit in the lease or the group's incremental borrowing rate, is recognised within interest expense over the lease period.

Impact on transition

On transition to IFRS 16, the group and company recognised additional right-of-use assets, and additional lease liabilities. The impact on transition is summarised below.

	1 January 2019
Right-of-use assets (note 5.2.2)	125,344
Lease liabilities (note 15)	125,344
When measuring lease liabilities for leases that were classified as operating leases, the group and company discounted lease payments using its incremental borrowing rate at 1 January 2019. The weighted-average rate applied is 13% to 14% per annum.	
Operating lease commitments at 31 December 2018 as disclosed under IAS 17 in the group and company's financial statements	258,111
Discounted using the incremental borrowing rate at 1 January 2019 (note 5.2.2)	125,344
Lease liabilities recognised at 1 January 2019 (note 15)	125,344



Detailed accounting policies (continued)

for the year ended 31 December 2019

6. Non-financial assets (continued)

IFRS 16 and IAS 17 - Lessor accounting policies

Type and description	Statement of financial position	Statement of comprehensive income
	Right-of-use assets: Initially measured at the amount of the lease liability, reduced for any lease incentives received, and increased for: • lease payments made at or before commencement of the lease; • initial direct costs incurred; and • the amount of any provision recognised where the group is contractually required to dismantle, remove or restore the leased asset. The group applies the cost model subsequent to the initial measurement of the right-of-use assets. Termination of leases: When the group or lessor terminates or cancels a lease, the right-of-use asset and lease liability are derecognised.	Depreciation on right-of-use assets: Subsequent to initial measurement, the right-of-use assets are depreciated on a straight-line basis over the remaining term of the lease or over the remaining economic life of the asset should this term be shorter than the lease term unless ownership of the underlying asset transfers to the group at the end of the lease term, whereby the right-of-use assets are depreciated on a straight-line basis over the remaining economic life of the asset. This depreciation is recognised as part of general marketing and administration expenses. Termination of leases: On derecognition of the right-of-use asset and lease liability, any difference is recognised as a derecognition gain or loss together with termination or cancellation costs in profit or loss.
All leases that meet the criteria as either a lease of a low value asset or a short-term lease are accounted for on a straight-line basis over the lease term.	Accruals for unpaid lease charges, together with a straight-line lease asset or liability, being the difference between actual payments and the straight-line lease expense are recognised.	Payments made under these leases, net of any incentives received from the lessor, are recognised in operating expenses on a straight-line basis over the term of the lease. When these leases are terminated before the lease period has expired, any payment required to be made to the lessor by way of a penalty is recognised as operating expenses in the period in which termination takes place.
Reassessment and modification of leases	Reassessment of lease terms and lease modifications that are not accounted for as a separate lease: When the group reassesses the terms of any lease (i.e. it re-assesses the probability of exercising an extension or termination option) or modifies the terms of a lease without increasing the scope of the lease or where the increased scope is not commensurate with the stand-alone price, it adjusts the carrying amount of the lease liability to reflect the payments to be made over the revised term, which are discounted at the applicable rate at the date of reassessment or modification. The carrying amount of lease liability is similarly revised when the variable element of future lease payments dependent on a rate or index is revised. For reassessments to the lease terms, an equivalent adjustment is made to the carrying amount of the right-of-use asset, with the revised carrying amount being depreciated over the revised lease term. However, if the carrying amount of the right-of-use asset is reduced to zero any further reduction in the measurement of the lease liability, is recognised in profit or loss. For lease modifications that are not accounted for as a separate lease, an equivalent adjustment is made to the carrying amount of the right-of-use asset, with the revised carrying amount being depreciated over the revised lease term. However, for lease modifications that decrease the scope of the lease the carrying amount of the right-of-use asset is decreased to reflect the partial or full termination of the lease, with any resulting difference being recognised in profit or loss as a gain or loss relating to the partial or full termination of the lease. Lease modifications that are accounted for as a separate lease: When the group modifies the terms of a lease resulting in an increase in scope and the consideration for the lease increases by an amount commensurate with a stand-alone price for the increase in scope, the group accounts for these modification as a separate new lease. This accounting treatment equally applies to leases which the group elected the short-term lease exemption and the lease term is subsequently modified.	

Detailed accounting policies (continued)

for the year ended 31 December 2019

6. Non-financial assets (continued)

IFRS 16 and IAS 17 - Lessor accounting policies

Type and description	Statement of financial position	Statement of comprehensive income
Operating leases		
All leases that do not meet the criteria of a financial lease are classified as operating leases.	The asset underlying the lease continues to be recognised and accounted for in terms of the relevant group accounting policies. Accruals for outstanding lease charges, together with a straight-line lease asset or liability, being the difference between actual payments and the straight-line lease income are recognised.	Operating lease income net of any incentives given to lessees, is recognised on the straight-line basis, or a more representative basis where applicable, over the lease term and is recognised in operating income. When an operating lease is terminated before the lease period has expired, any payment received/(paid) by the group by way of a penalty is recognised as income/(expense) in the period in which termination takes place.

IAS 17 - Lessee accounting policies (effective until 31 December 2018)

Type and description	Statement of financial position	Statement of comprehensive income
Operating leases		
All leases that do not meet the criteria of a financial lease are classified as operating leases.	Accruals for unpaid lease charges, together with a straight-line lease asset or liability, being the difference between actual payments and the straight-line lease expense are recognised.	Payments made under operating leases, net of any incentives received from the lessor, are recognised in operating expenses on a straight-line basis over the term of the lease. Contingent rentals are expensed as they are incurred. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of a penalty is recognised as operating expenses in the period in which termination takes place.



Detailed accounting policies (continued)

for the year ended 31 December 2019

6. Non-financial assets (continued)

6.4 Intangible assets

Type and description	Initial recognition	Subsequent measurement, impairment and amortisation
Goodwill	Goodwill represents the excess of the cost of acquisition of a business combination over the fair value attributable to Liberty's share of the net identifiable assets, liabilities and contingent liabilities at the date of acquisition. Goodwill on acquisition of subsidiaries is included in intangible assets. Goodwill is capitalised at opening net carrying value for business combinations prior to that date, or cost in respect of subsequent acquisitions. Goodwill is allocated to cash-generating units (CGU) being the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.	Goodwill is tested annually for impairment and carried at capitalised value less accumulated impairment losses. Any impairment calculated is expensed to profit or loss. Gains and losses on disposal of an entity include the carrying amount of goodwill relating to the entity sold. Each CGU containing goodwill is tested annually for impairment. An impairment loss is recognised whenever the carrying amount of an asset or its CGU exceeds its recoverable amount. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to a CGU and then to reduce the carrying amount of the other assets on a <i>pro rata</i> basis. Impairment losses relating to goodwill are not reversed.

6.5 Equipment

The group's equipment provides it with the necessary infrastructure to operate effectively. Equipment principally comprises computer equipment and fixtures and fittings. The cost of these assets is recognised in the income statement over time as a depreciation charge. Where purchased software is an integral part of the related hardware, it is accounted for as equipment, however where that software is not integral to the related hardware, it is accounted for as an intangible asset. Depreciation periods are detailed in note 5 of the group annual financial statements.

6.6 Impairment of other non-financial assets

Assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised in profit or loss immediately when incurred for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed through profit or loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

7. Equity

Equity shares	Shares are classified as equity when there is no obligation to transfer cash or other assets to the holder. Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds. Incremental costs directly attributable to the issue of equity instruments as consideration for the acquisition of a business reduce the proceeds from the equity issue.
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Detailed accounting policies (continued)

for the year ended 31 December 2019

8. Other significant accounting policies

8.1 Employee benefits

Type of benefit	Description
Leave pay provision	The group recognises a liability for the amount of accumulated leave if the group has a present or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.
Incentive scheme	Incentive scheme bonuses are short-term bonuses which are recognised as an expense as incurred when the group has a present or constructive obligation and the amount can be reliably measured.
Pension obligations (defined contribution plans)	The group operates a defined contribution retirement benefit scheme for its employees. A defined contribution plan is a pension plan under which the group companies pay fixed contributions into a separate entity. The group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the group and employees. The group and all its employees also contribute to the appropriate National Social Security Fund, which is also a defined contribution scheme. The group's contributions to the defined contribution schemes are charged to profit or loss in the year to which they relate.

8.2 Revenue recognition

Revenue is recognised either when the performance obligation has been satisfied ('point in time') or as control of the goods or service is transferred to the customer ('over time'). This requires an assessment of the group and company's performance obligations and of when control is transferred to the customer. Where revenue is recognised over time, this is in general due to the group and company performing and the customer simultaneously receiving and consuming the benefits over the life of the contract as services are rendered. For each performance obligation over time, the group and company applies a revenue recognition method that faithfully depicts the group and company's performance in transferring control of the service to the customer. Due to the nature of the group's business, the majority of its revenue from contracts with customers is considered to be recognised 'over time'. If performance obligations in a contract do not meet the over time criteria, the group recognises revenue at a point in time.

Revenue is measured based on the consideration specified in contracts with customers, excluding amounts collected on behalf of third parties and, including an assessment of any variable consideration dependent on the achievement of agreed key performance indicators. Such amounts are only included based on the expected value or most likely outcome method, and only to the extent that it is highly probable that no significant revenue reversal will occur. In assessing whether a significant reversal will occur, the group considers both the likelihood and the magnitude of the potential revenue reversal.

As a result of the contracts which the group enters into with its customers, a number of different assets are recognised on the group's statement of financial position. Further details are included in note 9 of the group annual financial statements. Payment terms and conditions included in customer contracts are typically due in full within 30 days.

Revenue type	Description	Recognition and measurement
Insurance premium income (recognised under IFRS 4)	Life-insurance premiums and short-term (including health) insurance premiums	For long term insurance business, premiums are recognised as revenue when they become payable by the contract holder. Premiums are shown before deduction of commission. For short-term insurance business, premium income is recognised on assumption of risks, and includes estimates of premiums due but not yet received, less an allowance for cancellations, and less unearned premium. Unearned premiums represent the proportion of the premiums written in periods up to the accounting date that relates to the unexpired terms of policies in force at the financial reporting date and is computed using the 365ths method. Premiums gross of any taxes or duties levied on premiums.



Detailed accounting policies (continued)

for the year ended 31 December 2019

8. Other significant accounting policies (continued)

8.2 Revenue recognition (continued)

Revenue type	Description	Recognition and measurement
Investment income (for financial instruments, and for rental income, under IFRS 16 / IAS 17)	Comprises rental income from properties	Dividends – recognised when the right to receive payment is established, dividends received are included in the fair value adjustments for financial assets at fair value through profit or loss. Rental income – accounted for on a straight-line basis under IFRS 16/ IAS 17 <i>Leases</i> . Interest income and expenses for all interest-bearing financial instruments: For financial instruments measured at fair value through profit or loss – recognised within fair value adjustments under IFRS 9 in profit or loss. For financial assets held at amortised cost or classified at fair value through other comprehensive income, as interest income on financial assets at amortised cost and financial assets classified at fair value through other comprehensive income; using the effective interest method.
Revenue recognition from contracts with customers Revenue from contracts with customers arises from transactions not associated with financial instruments, insurance contracts or investment properties.		
Fee revenue	Management fees on assets under management	Management fees on assets under management are recognised over the period for which the services are rendered, in accordance with the substance of the relevant agreements.
Reinsurance commission	Commission earned from reinsurers on placement of short-term reinsurance contracts.	Recognised over the term of the contract.

Deferred revenue

Upfront fees received on short-term insurance business and long-term investment contracts are recognised as a prepayment. These amounts are non-refundable and released to income as the services are rendered over the expected duration of the contract on a straight-line basis. Refer to note 20 of the group annual financial statements for the details of amounts recognised in profit or loss.

8.3 Taxation

Income taxation on the profit or loss for the periods presented comprises current and deferred taxation.

Current taxation

Current taxation is the expected taxation payable, using taxation rates enacted at the reporting date, including any prior year under or overprovisions.

The group is subject to taxation in a number of jurisdictions. There may be transactions and calculations for which the ultimate tax determination has an element of uncertainty during the ordinary course of business. The group recognises liabilities based on objective estimates of the quantum of taxes that may be due. Where the final tax determination is different from amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Deferred taxation

Deferred taxation is provided in full using the liability method. Provision is made for deferred taxation attributable to temporary differences in the accounting and taxation treatment of items in the financial statements. A deferred taxation liability is recognised for all temporary differences, at enacted or substantially enacted rates of taxation at the statement of financial position date, except for differences:

- relating to goodwill;
- arising from initial recognition of assets or liabilities which affect neither accounting nor taxable profits or losses; and
- relating to investments in subsidiaries and joint arrangements (excluding mutual funds) where the group controls the timing of the reversal of temporary differences and it is probable that these differences will not reverse in the foreseeable future.

Detailed accounting policies (continued)

for the year ended 31 December 2019

8. Other significant accounting policies (continued)

8.3 Deferred taxation (continued)

In respect of temporary differences arising on fair value adjustments on investment properties, deferred taxation is provided at the use rate if the property is considered to be a long-term strategic investment or at the capital gains effective rate if recovery is anticipated to be mainly through disposal.

A deferred taxation asset is recognised for the carry forward of unused taxation losses, unused taxation credits and deductible temporary differences to the extent that it is probable that future taxable profit will be available against which they can be utilised. Deferred taxation assets are assessed for probable recoverability based on applicable estimated future business performance and related taxable projected income.

The major categories of assets and liabilities giving rise to a deferred taxation balance are investment properties revaluation surpluses, policyholder valuation basis, life fund special transfers, deferred acquisition costs, deferred revenue, unrealised gains on investments, intangible assets and provisions.

8.4 Provisions

Provisions are recognised when the group has a known present legal or constructive obligation of uncertain timing or amount, as a result of past events and it is probable that an outflow of the group resources will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Judgement is applied as to the quantum and timing of these resources considering all available information. Provisions are discounted using a pre-tax discount rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

8.5 Segment information

The results of the business units are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. The primary segments operate within two main geographic clusters, being Kenya (including the operations of the long-term and short-term insurance subsidiaries) and Tanzania (being the operations of the short-term insurance subsidiary). The Kenyan long-term insurance business includes the results of our investment and savings products. The results of our health products are included with the results of the two short-term insurance subsidiaries. The group's IFRS 8 reportable segments are aligned to these operations.

8.6 Assets held for sale

Non-current assets, that are expected to be recovered primarily through sale or distribution to owners rather than continuing use, are classified as held for sale or for distribution and are accounted for as follows:

Non-current assets held as investments for the benefit of policyholders as part of the group's investment management and life insurance activities are not classified as held for sale as ongoing investment management implies regular purchases and sales in the ordinary course of business.

- Immediately before classification as held for sale or for distribution, the assets are remeasured in accordance with the group's accounting policies and tested for impairment. Impairment losses on initial classification as held for sale or for distribution as well as subsequent gains and losses on remeasurement of these assets or disposal groups are recognised in profit or loss.
- Assets are presented separately in the statement of financial position.
- Property and equipment and intangible assets once classified as held for sale, are not depreciated or amortised.

In presenting the group's non-current assets and liabilities as held for sale, intercompany balances are eliminated in full.

8.7 Offsetting

Assets and liabilities are offset, and the net amount reported in the statement of financial position when:

- there is a current legally enforceable right to offset the recognised amounts; and
- there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the company or the counterparty.



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Supplementary information

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Five-year financial review: Liberty Kenya Holdings Plc

Five-year consolidated statement of profit and loss

KShs'000	2019	2018	2017	2016	2015
Net insurance premium revenue	6,722,899	6,309,226	6,330,749	5,573,336	5,525,834
Investment and other income	4,363,094	3,002,824	4,092,743	3,451,537	2,745,822
Total income	11,085,993	9,312,050	10,423,492	9,024,873	8,271,656
Net insurance benefits and claims	(5,211,773)	(4,193,501)	(4,982,709)	(3,952,115)	(3,126,117)
Operating expenses and commissions	(4,674,848)	(4,193,593)	(4,336,513)	(4,130,873)	(4,191,837)
Profit before income tax	1,199,372	924,956	1,104,270	941,885	953,702
Income tax expense	(458,979)	(375,430)	(429,697)	(314,051)	(217,652)
Profit for the year	740,393	549,526	674,573	627,834	736,050
Non-controlling interests	39,190	55,815	20,782	42,254	60,797
Costs to income ratio	42%	45%	42%	46%	51%
Basic and diluted earnings per share (KShs)	1,31	0,92	1,26	1,17	1,37

Five-year consolidated statement of financial position

KShs'000	2019	2018	2017	2016	2015
Total equity	8,032,892	7,619,139	7,493,565	6,864,408	6,233,113
Assets					
Property, equipment and intangible assets	1,366,126	1,387,189	1,401,681	1,341,566	1,185,433
Right-of-use assets	112,158	-	-	-	-
Investment property	226,729	760,855	876,434	907,626	1,035,500
Goodwill	1,254,995	1,254,995	1,254,995	1,254,995	1,254,995
Financial investments	25,634,927	22,456,803	24,983,002	21,896,541	19,064,519
Other assets	5,133,239	4,478,274	5,133,354	4,760,587	5,236,069
Cash and cash equivalents	4,493,680	6,240,923	3,689,506	4,936,638	6,757,174
Total assets	38,221,854	36,579,039	37,338,972	35,097,953	34,533,690
Liabilities					
Insurance and investment contract liabilities	18,664,110	16,535,361	15,107,307	12,045,276	11,060,752
Investment contracts with discretionary participation features	4,889,658	5,860,977	7,833,598	10,367,517	11,463,105
Other liabilities	6,635,194	6,563,562	6,904,502	5,820,752	5,776,720
Total liabilities	30,188,962	28,959,900	29,845,407	28,233,545	28,300,577
Net assets	8,032,892	7,619,139	7,493,565	6,864,408	6,233,113

Supplementary information continued

Shareholder information as at 31 December 2019

i) Top ten shareholders	Number of shares held	Shareholding %
Liberty Holdings Limited	309,333,535	57.74
African Liaison and Consultant Services Limited	82,250,289	15.35
Standard Chartered Kenya Nominees Ltd A/C KE22446	39,159,077	7.31
Standard Chartered Kenya Nominees Non - Resd. A/C 9866	33,974,282	6.34
Genghis Nominee A/C 029	27,000,000	5.04
Stanbic Nominees Ltd A/C NR1031142	5,345,350	1.00
Standard Chartered Kenya Nominees Ltd A/C KE22816	5,039,493	0.94
The Permanent Secretary to the Treasury of Kenya (On behalf of the Govt of Kenya)	4,602,008	0.86
Peter Kingori Mwangi	2,408,656	0.45
Co-op Custody Account	1,490,597	0.28
Total	510,603,287	95.31

ii) Distribution of shareholding	Number of shareholders	Number of shares held	Shareholding %
1 - 500	2,824	381,508	0.0712
501 - 1,000	589	436,399	0.0815
1,001 - 5,000	999	2,177,221	0.4064
5,001 - 10,000	420	3,162,869	0.5904
10,001 - 50,000	304	5,738,191	1.0711
50,001 - 100,000	53	3,701,281	0.6909
100,001 - 500,000	31	6,121,156	1.1426
500,001 - 1,000,000	3	1,917,187	0.3579
1,000,001 - 999,999,999,999	11	512,071,687	95.5879
Total	5,234	535,707,499	100.0000



LIBERTY

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